BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Case 25-E-0072, 25-G-0073

June 2025

Rebuttal Testimony of:

Information Technology Panel

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Q. Would the members of the Information Technology (IT) Panel (Panel) please state your names?

A. Our names are Kamran Ziaee, Joseph Miller, Shakira Wilson, Jeannine Haggerty, Allisyn Glasser, and Michael Murphy.

Q. Have any panel members previously submitted testimony in this proceeding?

A. Yes. We, the Panel, submitted initial and update testimony in this proceeding.

Purpose

Q. What is the purpose of the Panel's rebuttal testimony?

A. This testimony responds to the testimony and adjustments recommended by Department of Public Service Staff witness Andrew Carpenter (Staff), the Staff Markets and Innovation Panel, the New York City (NYC) Electric Infrastructure Panel and Policy Panel; and New York Energy Consumers Council (NYECC) witness Andy Anderson, and AGREE.

To the extent that an issue is raised by Staff or intervenors but not addressed specifically by this Panel, the positions stated therein should not be viewed or considered to have been accepted by the Company.

Q. How is this testimony organized?

A. This testimony provides an overview of Con Edison's IT strategy, IT infrastructure, Business Applications, and the lifecycle of IT products and platforms. The Company then addresses the methodologies used for project scoping and contingency planning, as well as the relationship between capital and O&M costs. The Company also addresses Staff's reduction methodologies, providing clarity on how the Company scopes and adds contingency to its projects and programs. Further, the Company addresses Staff's assumptions on IT's project management labeling in relation to the EPMO, quality issues in its initial testimony, and quality issues with Staff's testimony; and speaks to recommendations regarding reporting. Finally, the Company addresses the party's recommendations associated with each adjusted project.

Q. Do you have any exhibits that accompany this testimony?

A. Yes, the IT Panel is presenting 5 new exhibits, Exhibit___(IT-13) through Exhibit___(IT-17).

Q. Were these exhibits prepared under the Panel's direction and supervision?

A. Yes. The Panel describes each of these exhibits below and will refer to them in our testimony:

- Exhibit___(IT-13) Company responses to Intervener discovery questions relied upon in testimony
- Exhibit___(IT-14) Staff responses to Company discovery questions relied upon in testimony
- Exhibit___(IT-15) Con Edison Corporate Instruction CEI-215 "Acquisition Deployment and Support of Information Technology"
- Exhibit___(IT-16) Con Edison's Software Development Life Cycle (SDLC) Guide
- Exhibit___(IT-17) DCX Website Personalization Survey Results

IT Strategy

Q. What is the Company's general IT strategy?

A. As explained in our initial testimony, the Company's IT strategy focuses on five areas and guides the work we do. These areas are Security, Operational Excellence, Customer Experience, Technology Modernization, and Innovation.

Q. Where does cybersecurity fit into IT?

A. Cybersecurity is embedded into IT investment decisions, operational planning, and service delivery. It is a critical underpinning of Con Edison's IT strategy, protecting systems, networks, and data from threats and

unauthorized access. As digital infrastructure becomes more integral, cybersecurity provides the integrity, confidentiality, and availability of information assets. It encompasses practices, tools, and policies to safeguard data, mitigate risks, and prevent breaches through controls, monitoring, and reducing vulnerabilities. By embedding cybersecurity into IT frameworks, Con Edison enhances resilience against threats, complies with regulations, and maintains customer and stakeholder trust, thereby forming a foundation for secure and reliable operations. Specific cyber projects are covered in the Cyber and Physical Security Panel, ensuring all IT components meet security requirements.

Q. Is cybersecurity a byproduct of the Company's proposed projects and programs?

A. No. Cybersecurity is not a byproduct of these projects and programs. Rather, cybersecurity is an integral part of how we design, operate and manage IT infrastructure, applications and services. The Company used the term "byproduct" in its initial testimony merely to note that the Cyber and Physical Security Panel would describe projects and programs where cybersecurity is a primary driver, while the IT Panel would address IT projects and programs where cybersecurity elements

are a noted benefit but not the primary driver. To be clear, cybersecurity is not a bolt-on, it is the strategic core of IT.

Key Components of IT Infrastructure

Q. What is IT infrastructure and what are its key components?

A. IT infrastructure consists of hardware, software, networking components, and services to manage and deliver IT services. IT infrastructure serves as the foundation to run and operate applications, and includes servers, storage systems, mainframe systems, network devices, operating systems, and applications that facilitate business operations and communications. It provides application and communication reliability, scalability, and security.

Q. Please describe what is meant by hardware.

A. Hardware refers to the physical components of a computer or IT system, including devices such as central processing unit(s) (CPU), memory, servers, storage, mainframe, laptops, desktop tablets, and peripherals, such as keyboards and monitors. Hardware enables computing tasks.

Q. Please explain infrastructure software.

A. Infrastructure software is comprised of:

- Operating systems on laptops and desktops;
- Server and storage management systems;
- Server virtualization tools;
- Backup and recovery technology;
- Mainframe management systems;
- Network operations tools; and
- Cybersecurity tools to protect devices and networks.

Q. Does the Company have a mainframe system?

A. Yes. However, as networking and cloud computing have grown over the years, the Company has moved most of its systems from the mainframe - as mainframes do not have the computing power that networks and clouds do. It is also becoming more difficult to hire programmers that know mainframe languages.

Q. What is the Company's plan for its mainframe?

A. The Company plans to decommission the mainframe by December 2028, after the remaining mainframe applications and data are fully migrated to new platforms.

Q. What is networking?

A. Networking connects computers and devices to share resources, including data, and communicate with one another. The Company uses various networking technologies, including fiber optics networks, Local Area Networks (LAN),

Wide Area Networks (WAN), and Voice Over IP (VOIP) to support operations. This technology allows for information exchange within local networks or over the internet, including emails and file transfers.

Q. What is an on-premises data center and does the Company have on-premises data centers?

A. On-premises (or on prem) refers to IT infrastructure and software that are hosted and managed within an organization's physical data center, rather than being accessed through the cloud. This setup requires the organization to maintain its own infrastructure. The Company has four on-premises data centers.

Q. Are data centers part of IT infrastructure?

A. Yes. Data centers are a critical part of IT infrastructure, housing applications, servers, storage systems, and networking equipment.

Q. What is meant by cloud computing?

A. The cloud is a network of remote servers that store, manage, and process data over the internet. The cloud allows users to access resources and services on-demand. The cloud enables scalable computing power and storage without the need for an on-premises data center

infrastructure and networking, thereby, facilitating flexibility and cost-efficiency. Cloud services are provided by major technology vendors, such as Microsoft, Amazon Web Services and Google. Cloud providers operate and maintain these platforms and data centers, including performing upgrades and patching, without requiring any user actions.

Q. What is the Company's data center and cloud strategy?

A. The Company's strategic approach is to migrate and consolidate workloads within existing data center footprints, while also transitioning workloads and modernizing applications. The goal is to maximize resource utilization within the current infrastructure and update and modernize applications to be able to use the cloud. As an example, the Company migrated our EBS application to cloud servers, enabling the Company to free up our on-premises data center footprint for new workloads. Balancing workload and migrating from the data center footprint is essential to reducing the need to build a new data center, at an approximate cost of $50 million.

Q. How do IT infrastructure components support business applications?

A. IT infrastructure components provide the necessary resources and connectivity that enable business applications to operate efficiently and reliably.

Key Components of Business Applications

Q. What are business applications?

A. Business applications are software programs designed to perform specific tasks or functions for users to manage work, both administratively and operationally. They can range from a single department application to complex, multi-department applications. Examples include a Law Department Work Management platform that may have ten integrations to other applications for Law to manage its day-to-day work, to our Finance platform that has very complex processes and hundreds of integrations and controls for the accurate creation of the Company's financial statements.

Q. Does the Company have an overall IT strategy for applications?

A. Yes. Our IT strategy consists of two main approaches: (1) we purchase and implement enterprise-wide solutions that enable our business units to efficiently manage day-to-day operations, and (2) when suitable solutions are not

available in the industry, we develop applications internally to address specific needs within our business units.

Q. What is meant by an enterprise-wide solution?

A. An enterprise-wide solution refers to software or platforms provided by large vendors, such as Microsoft (M365) or Oracle (which include applications like HR, Payroll, Finance, Supply Chain, and Billing), that are implemented across the entire Company. As noted in our initial testimony, we are standardizing and transitioning to these larger platforms. For example, enterprise standards include Oracle's Human Capital Management, IBM's Maximo Work and Asset Management and Esri GIS platforms. These platforms are used by many employees to do their daily work.

Q. How do business applications fit into the overall IT process?

A. Business applications integrate with IT infrastructure and other systems for smooth data flow and operational efficiency. These applications collect and analyze data, providing interfaces and functionality for end users that inform decision-making and strategic planning. Throughout their lifecycle, they are managed by IT teams for security,

compliance, and alignment with business goals. Business applications such as Oracle EBS Finance and Supply Chain, Oracle Human Capital Management (HCM), Oracle Customer Care and Billing (CC&B), Oracle's Outage Management System (OMS), and IBM's Maximo Work & Asset Management platforms are examples of enterprise platforms that are key parts of the IT process.

Infrastructure and Application Maintenance

Q. Must IT applications and infrastructure be upgraded and/or patched?

A. Yes. Applications and infrastructure require regular maintenance, including upgrades and patches, to maintain optimal performance, security, and compliance. These updates enhance functionality, fix vulnerabilities and defects, maintain system reliability and compatibility with evolving technology and infrastructure, and reduce the risk of data breaches. Staff's testimony suggests that upgrades allow for a la carte choosing of features that will be included in a given upgrade, which is generally not the case.

Q. What is an update?

A. An update is the process of enhancing software or hardware according to the vendor's roadmap, typically including improved security, performance enhancements, and new features. Regular updates are essential for maintaining vendor support, staying current with supported technologies (operating systems, databases, programming languages, etc.), and protecting against potential cybersecurity threats.

Q. What is a patch?

A. A patch is a software update designed to address specific issues, vulnerabilities, or bugs in applications, operating systems, databases, or hardware (such as routers and firewalls). Vendors regularly release patches and applying them is critical for maintaining system security and stability, as they help protect against cyber threats and can also enhance overall performance.

Lifecycle Management of IT Products and Platforms

Q. How do IT product lifecycles relate to business applications?

A. IT product lifecycles are closely related to business applications because they effectively manage the technology supporting these applications throughout its lifespan. This

lifecycle management encompasses planning, development, deployment, maintenance, and retirement of IT products and platforms. A well-managed IT lifecycle provides the stable and reliable infrastructure that business applications depend on to operate smoothly. By keeping IT products updated and secure, lifecycle management aligns business applications with organizational goals, ultimately improving processes.

Q. What is the IT infrastructure and networking lifecycle?

A. Similar to application product lifecycles, this lifecycle includes planning, development or configuration, deployment maintenance, optimization, and retirement.

Q. What is the lifecycle of IT products and platforms?

A. The lifecycle of IT products and platforms varies based on factors, like vendor support, technology, business requirements, and the pace of technological advancements. Most vendors typically support their products and platforms for two to five years, during which they release new versions. Organizations regularly assess their IT products and platforms to confirm they remain effective, reliable, secure, and aligned with strategic objectives.

Q. What is a vendor roadmap?

A. A vendor roadmap is a strategic plan outlining a vendor's planned future product developments, features, and enhancements over a specified timeline and it provides dates as to when their platform will not be supported. The roadmap provides insights into the vendor's priorities, goals, and direction, and helps customers understand how the vendor intends to evolve its offerings to align with market trends. IT and business units leverage these roadmaps to properly plan for either upgrades or migration to new platforms and incorporate those costs into our long term plan.

Q. Do these products and platforms become obsolete over time?

A. Yes. Given the pace of computing evolution, products become obsolete within two to five years. As products and platforms become obsolete, operational issues and vulnerabilities associated with the product become more frequent. As new technologies emerge, older systems may no longer meet current demands or integrate effectively. Regular updates and assessments are essential to mitigate obsolescence risk.

Software Development Lifecycle

Q. Please explain the software development lifecycle.

A. As discussed above, the Software Development Lifecycle (SDLC) consists of several key phases: design, build, test, implementation stabilization, and maintenance and support.

Q. Please explain each phase of the SDLC at a high level.

A. The phases are:

- The **design** phase identifies, defines, and documents IT project requirements.
- The **build** phase involves constructing and deploying the planned solution through software installation, hardware configuration, and data migration.
- The **testing** phase validates the solution through unit, integration, and user acceptance testing to address any issues.
- **Implementation** focuses on user training and support for a smooth transition to the new system.
- **Stabilization** occurs immediately after implementation, when a new system or application has moved into the live production environment and generally lasts three months.
- **Maintenance and support** refer to the ongoing activities that occur once a system or application has been implemented and stabilized.

Q. Are there different methods of implementing software products and system?

A. Generally, there are two methods of implementing software products and systems – Waterfall and Agile, both of which fall within SDLC.

Q. Please explain Waterfall and Agile methodologies.

A. Waterfall and Agile approach process differently:

- Waterfall framework is a traditional project management approach that follows a linear and sequential process. A plan is developed and agreed to by all parties to the project. Each phase must be completed before moving on to the next. Waterfall adheres strictly to the initial scope and requirements, making it less flexible in adapting to changes during the project lifecycle.
- The Agile framework looks at the overall process but takes changes one step at a time, allowing flexibility for iterative changes. It emphasizes flexibility, collaboration, and continuous improvements.

Q. What project management framework does the Company use to implement an IT project?

A. The Company uses both frameworks, depending on the project or system.

Q. When does the Company use Waterfall framework?

A. Our large enterprise platforms, such as HR, Payroll, Billing, GIS, Finance, and Supply Chain, initially follow the Waterfall approach. Once the platform(s) is built and operational using Waterfall, we move to the Agile methodology to enhance and evolve the system through iterative improvements and ongoing collaboration with stakeholders.

Q. Does the Company agree that using an Agile framework is a relevant justification for reducing project scope to fit within Staff's recommended budget?

A. No. While the Agile framework allows for quicker re-prioritization and easier scaling than a Waterfall-managed project, using Agile should not affect program funding. While Agile may reprioritize the order in which items are handled, all required project elements must still be completed. For example, in DCX, we reprioritized a Financial Assistance tool to help customers better manage their energy costs but still implemented a feature to provide a Spanish version of energy savings tips in a subsequent release.

Overview of Artificial Intelligence

Q. What is meant by Artificial Intelligence (AI)?

A. Artificial Intelligence (AI) refers to machines simulating human intelligence, e.g., the machines are programmed to think, learn, and perform tasks that would otherwise require human cognition, such as problem-solving, language understanding, and decision-making. It is comprised of various technologies, including machine learning (ML), Generative AI (GenAI) and Agentic AI.

Q. Explain ML, GenAI and Agentic AI.

A. These three categories are types of AI:

- ML is a subset of artificial intelligence that enables systems to learn from data, identify patterns, and make decisions or predictions. It uses algorithms to improve its performance as it processes more data over time. Con Edison uses ML for identifying possible safety conditions, forecasting call center volumes and optimizing staffing, and understanding impacts of new grid technologies to support the clean energy transition.
- Generative AI is a type of artificial intelligence that creates content, like new text, images, or videos.
- Agentic AI is a type of AI that can act autonomously and make decisions based on its understanding of the environment. It performs tasks, solves problems, and adapts to new situations without human intervention, leveraging machine learning and reasoning capabilities.

Q. What is a large language model (LLM)?

A. LLM is a type of artificial intelligence algorithm designed to understand and generate human language. By analyzing a wide variety of data, it learns to predict and create coherent, contextually relevant responses, making it useful for writing, translation, and conversation. These LLMs can be found and accessed on AI platforms offered by companies like Microsoft and Google.

Q. Has Con Edison implemented ML, Gen AI or Agentic AI systems?

A. The Company has implemented applications that use ML for predictive analytics. The Company is in the early stages of developing generative AI pilots. The Company has not implemented Agentic AI systems.

Q. Does the Company's use of AI make Company data available to the public?

A. No. Company data is not used for training models that are accessible by the public. Further, the outputs of models that use Company data are not made accessible to the public.

Q. Are vendors including AI in their technology?

A. Yes. AI is rapidly becoming a standard feature in enterprise platforms, incorporating native AI capabilities

into upgrades. As a result, organizations have no choice but to adopt AI in vendor offerings. For example, in future upgrades, Oracle HCM will use Gen AI to help HR professionals quickly compose content for various tasks, such as performance reviews and job postings to streamline day-to-day tasks. In addition, IBM's Maximo Work and Asset platform will use AI models to analyze historical data to predict when equipment is likely to fail, allowing for proactive maintenance. This helps in reducing downtime and extending the lifespan of assets.

Q. Can the Company choose to not use AI?

A. No. Depending on the platform, AI will be embedded in upgrades.

Q. Does the Company have an AI governance process?

A. Yes. The Company has implemented an AI governance process designed to provide responsible and secure use of AI technologies. IT evaluates all AI requests through a process known as Corporate Request for Evaluation and Approval of Technologies (CREATe).

Q. Please discuss AI development.

A. AI development follows the same SDLC process as applications. Testing is required prior to deploying AI

solutions. The testing phase validates the solution through unit, integration, and user acceptance testing to address any issues and identify potential bias. This validation is required to understand the outputs of these solutions.

Q. Please discuss the lack of transparency argument that Staff makes.

A. Staff asserts that AI is inherently a "black box," but this does not accurately reflect the Company's SDLC practices. Our use of AI includes thorough requirements, design, testing, independent validation, and ongoing monitoring. These controls provide transparency and accountability in any AI deployment. The Company addresses Staff's request for reporting in the Reporting section below.

Q. Is using AI cost-effective?

A. Using AI can be cost-effective, particularly for automating tasks and enhancing efficiency, but its value varies by use case. The Company's approach to AI uses a consumption plan, confirming that costs are directly linked to actual usage, which helps align expenses with specific needs.

Capital and O&M Costs in IT Projects

Q. Please explain the interplay between IT capital and O&M costs.

A. For IT projects and programs, capital and O&M costs are tightly tied together. Costs during design, build, and deployment phases use capital funding. After a brief stabilization period, the costs to operate and maintain the system are required to use O&M funding. Once the system or application is deployed, it immediately incurs costs to be reliably operated and maintained. Examples of these costs include vendor licensing fees, vendor support, and resources to monitor the system, remediate operational issues, and apply patches.

Q. Is this need for immediate maintenance and support costs typical for traditional utility projects?

A. No. IT projects do not follow the traditional utility infrastructure model. Traditionally, once gas, electric, or steam utility infrastructure is built, its maintenance needs are somewhat limited for the initial 5-10 years, as the assets are brand new and have yet to be affected by wear and tear.

IT projects and programs must be maintained, upgraded and patched, and sometimes require new coding to meet users' needs, from the first day they are deployed. It's akin to putting a pool in the backyard. From day one, the pool must be regularly maintained, cleaned, and new equipment

purchased for the pool to maintain its utility. And once a crack emerges, it must be addressed immediately, or the condition will grow to require a more extensive and expensive solution.

Staff's Justification for Recommended Budget Reductions

Q. What was the total amount of capital and incremental operational and maintenance (O&M) requested by the Company's IT panel?

A. The total capital request is $2,646.195 million; $984.346 million, $894.363 million, and $767.486 million for RY1-RY3, respectively. The total incremental O&M request is $230.121 million; $141.689 million, $57.935 million, and $30.467 million for RY1-RY3, respectively.

Q. Does Staff recommend any reductions to IT's capital and O&M funding?

A. Yes. Staff recommends revised capital levels of $495.155 million, $484.155 million and $484.126 million for RY1, RY2, and RY3, respectively. This is a reduction of $1,182.848 million, or 45 percent, over the three rate years. Staff recommends revised incremental O&M levels of $92.316 million, $45.231 million and $22.918 million for RY1, RY2, and RY3, respectively. This is a reduction of $69.626 million, or 30 percent over the three rate years.

Q. Does the Company agree with the recommended adjustments?

A. No. We address the adjustments in several different ways. We first refute the reasoning and the different methodologies applied to make the adjustments. We then explain why the adjustment for each project is incorrect.

Q. Does Staff provide any overarching reasons for reducing the Company's requests?

A. Staff provides several different justifications for its adjustments.

Q. What are the reasons provided?

A. Generally, for each adjustment, Staff claims that there is insufficient justification for the project, which Staff explains to mean that the work to be done is either unnecessary to meet or maintain current operational standards or that the benefit of the project is not "substantially certain" to outweigh the cost of the project.

Other justifications used by Staff in the testimony are:

- Using the Enterprise Program Management Office of Capital Projects Playbook (Playbook), discussed subsequently herein, Staff claims that many projects are not operational but strategic and thereby makes adjustments.
- Staff also notes that it adjusted another project that is correlated to the project being discussed, thereby

affecting the project and decreasing its need by a commensurate amount. Examples include Enterprise Data & Analytics Foundations, IT System Testing COE, and IT Telecom O&M.

- Staff also suggests delaying work in other cases. In delaying the work, Staff assumes, without any basis, that the cost will be less.
- Staff also offers that the overall IT workload is beyond what the Company can effectively do, so the project should be postponed.

Q. Are there other justifications?

A. Yes. Some projects have project specific justifications which are discussed specifically below.

Q. Is it correct to say that Staff reduces many projects/programs for failing to deliver what Staff considers to be sufficient cost avoidance or cost savings?

A. Yes. This alleged "shortcoming" is consistently referred to in Staff's testimony. Staff approaches its review assuming that the main driver for IT work is cost reduction, which is simply not the case. The Company has noted the primary drivers for our work in testimony and white papers, as well as in many of the discovery responses cited by Staff. Cost avoidance is more typically an ancillary benefit from work being driven for other reasons. The Company seeks to obtain savings whenever possible.

Q. Please address the non-operational but strategic adjustment.

A. Staff's bases these adjustments on the opinion that the Company misapplies the term "operationally required" to projects that are not required for maintaining existing operations (i.e., there is no evidence that absent the project current operational standards will diminish) or otherwise contain strategic elements. Staff uses narrowly interpreted definitions from the EPMO playbook as a basis for adjustments that use this justification, failing to consider how entwined operational and strategic elements can be for IT projects.

Q. Please explain.

A. **Misclassification of Strategic Elements**: Staff argues that many projects labeled as "operationally required" contain elements that are strategic in nature. These include enhancements, upgrades, or expansions that they claim go beyond what is necessary to maintain current operational standards. Staff recommends budget reductions for projects misclassified as operationally required when they include strategic elements. Staff emphasizes that these elements often lack sufficient justification, such as clear cost-

benefit analysis or evidence of necessity, and, therefore, should not be funded at the same level.

Flawed Use of Definitions: The testimony critiques Con Edison's application of the term "operationally required," stating that it often includes aspirational or enhancement-driven work that does not meet the Company's own definition of operational necessity. This includes projects that aim to improve customer experience, add new functionalities, or modernize systems without a clear operational mandate.

Disagreement with Company Assertions: Although the Company notes that its proposed budgets represent the minimum necessary to support continued operations, Staff's testimony disputes this, stating that many projects include enhancements or expansions that are not essential and should be treated as strategic.

Q. Please address Staff's statements about correlated projects.

A. There are many projects in here that may appear to have similar work but are, in fact, different.

Q. Please comment on the delayed work adjustment.

A. Staff justifies delaying work on the basis that projects that are not immediately necessary to maintain current

operational standards, especially those it sees as having low scope development or speculative benefits, can and should be delayed, to reduce customer burden. For example, Staff recommends delaying the Outage Scheduling System Replacement project. The Company responds to Staff's rationale later in this testimony.

Q. Should scope maturity be a relevant criterion?

A. Staff uses scope completion (e.g., 25% or 50%) as a proxy for readiness. However, many IT project use Agile methodologies, where, as noted above, scope evolves iteratively. While Staff argues that immature projects should be delayed due to uncertainty, deferring them can lead to escalating costs, technical debt (costs associated with additional future work by not doing the work now as well as risk of being on an unsupported platform that vendor may not provide any type of support, or we must pay vendor to provide "extended" support for a limited timeframe), and lost opportunity costs for initiatives that could improve operational efficiency or customer experience.

Q. Several times, Staff essentially asserts that the project is too big to do now given other ongoing projects. Do you agree?

A. No. We reject the assertion that the Company cannot support multiple large-scale IT projects simultaneously. We can and, in fact, have undertaken large scale IT projects simultaneously in the past. For example, we worked on AMI, CORE and eGIS simultaneously. As such, the presence of other large-scale IT projects should not be used as a blanket rationale to defer or deny critical initiatives.

Q. Does IT have a process that governs projects?

A. Yes. The IT Board (ITB) governs all projects undertaken by IT. Moreover, the IT Capital Project Management Procedure confirms that each initiative — regardless of timing — is evaluated on its own merits through a structured process.

Staff's Methodologies for Reductions

Q. How did DPS Staff determine its recommended adjustments?

A. For projects and programs that Staff felt contained "insufficiently justified project elements," Staff applied four adjustment methods to arrive at their recommended level of funding.

- They provided specific funding levels or a complete removal of requested funding, based on specific project/program considerations, which are provided.

- A "standard" reduction of the capital and/or O&M budget to 70 percent of the proposed amount,
- A "standard" adjustment reducing the project budget to the average of historical spending, inflated to 2026 dollars.
- A "standard" adjustment reducing the project budget to the amount indicated from a linear forecast of available spending data.

Q. Does the Company agree with Staff's reductions?

A. No. We disagree with Staff's reductions and believe that the funding requested is associated with work that is important and necessary, whether it is operationally needed or strategic. We will discuss each project/program reduction and how either the specific considerations or the more global methodologies presented by Staff are inappropriate for each later in our testimony. However, we will first discuss, holistically, the flaws that are apparent in the general methodologies listed above.

Q. Please continue.

A. Each of the methodologies provided are inherently flawed and are frequently applied in a way that is illogical.

Q. Are there any common flaws across multiple methods?

A. Yes. First, Staff uses the same methodologies to cut capital and O&M requests across all three methods. This approach is illogical in most circumstances.

Q. Why?

A. Capital and O&M funding is generally aimed at two different goals. Capital is used to either replace a degraded asset or to create a new one. O&M addresses the daily cost of operating and maintaining existing assets. The "O&M tail" accompanying most projects increases O&M costs as capital spending increases. But that is the only instance of this type of relationship, and the timing of the funding needs are different.

Capital and O&M costs can be impacted by different cost drivers. For example, capital is driven by software development, project management, data migration, testing, and contingency costs. In comparison, O&M costs can be driven by the frequency of needed updates, user base size, technology advancements, and Service Level Agreements. For example, Staff recommends decreases to the Telecommunications O&M Program, citing reductions to what they believe are associated capital programs and would theoretically reduce the Company's need for the level of O&M funding requested. However, the incremental increase in telecommunications operating and maintenance expenses is primarily driven by expected tariff increases imposed by public carriers. This instance and others like it are discussed in more detail later in our testimony.

Q. Are there other common flaws in the methodologies discussed?

A. Yes. The methodologies discussed ignore the timing issues that would occur if funding was cut as recommended by Staff. The historic spend plus inflation and linear projection methods are most flawed in this respect, but the global reduction to 70 percent of the ask also presents issues, especially as it relates to O&M funding.

Q. Please explain.

A. The funding requests represent the project/program implementation workplan needs. Using the reduction methodologies presented will result in insufficient funding in certain years and unneeded funding in others, and serve to do little other than delay the delivery of the expected project benefits or reduce the efficiency of the overall project plan. For example, the Enterprise Geographic Information System (eGIS) Phase 3 project is due to be completed by the end of 2026. However, rather than approving the funding as requested in RY1, Staff has spread it across RY1 to RY3 (without reducing the total ask), which would increase the overall cost of the project and delay the benefits of the implementation. Another example is the Outage Scheduling System Replacement, Staff basically recommends straight lining our ask across RY1-RY3

without reducing the total, which will do little more than disrupt our workplans, delay the realization of the project benefits, and potentially increase the total implementation costs.

Q. Do the historic spend plus inflation and linear projection methods have any additional common flaws?

A. Yes. The stated premise of both, as stated by Staff, is flawed. Regarding the historic spend plus inflation methodology, Staff states (p. 13) "For all projects and programs proposed by the Company's IT Panel, where historical spend information was provided, I calculated and analyzed the average capital and O&M costs, adjusted for inflation, and inflated that amount to 2026 dollars. This amount, absent other circumstances, should enable a project or program to continue existing work processes but reduce the development of strategic project elements." Regarding the linear forecast method, Staff states (p. 14) "The amount provided by a linear forecast analysis, absent other circumstances, would enable a project or program to continue existing work processes and incorporates historical project growth."

Q. What is the issue with these statements?

A. Both state that they rely on the need to be "absent other circumstances" to be effective. In short, Staff is ignoring

future trends and adjustments that could drive costs increases. For example, since the time of the original filing on January 31, 2025, the United States has increased tariffs on other countries. Basing funding for projects and programs on historical information would leave them unable to manage such events and trends. Moreover, there are other forward focused trends that must be addressed by the Company's IT Panel funding request, including but not limited to device inventory growth, maintenance costs for infrastructure equipment, automated process abilities, increasing telecommunication costs, and data center modernization. These are presented both holistically and on a project-specific basis in the Company's filing materials and cannot be ignored. If the premise of "Absent other circumstances" was accepted, it would severely undercut the Company's ability to deliver service as required through future filings.

Q. Why is DPS Staff's reduction of certain IT project budgets to the **average of historical spending**, inflated to 2026 dollars, an unreasonable adjustment methodology?

A. In addition to the reasons mentioned above, the testimony recommends reducing budgets to the average of historical capital and O&M costs, adjusted for inflation. While this may provide a baseline, it risks ignoring the unique

demands of forward-looking projects, particularly those driven by new or evolving compliance obligations or technological shifts. Historical averages do not reflect future cost structures or innovation needs. Using historical averages as a benchmark anchors budgets to legacy baselines and assumes that past spending is a reliable predictor of future needs, which is often not the case in IT.

Q. Does this method account for projects with no historical spend or those in early development stages?

A. No. Some projects lack historical spending data, rendering this method inapplicable or misleading. Applying it uniformly risks arbitrary or unjustified reductions. We leverage our existing platforms, experience, benchmarking with other utilities, and consultants to build estimates for these projects.

Q. Does this method risk reinforcing outdated spending patterns rather than encouraging strategic transformation?

A. Yes. By using historical trends, this method may entrench legacy systems and delay necessary modernization. It could also negatively impact departments that have historically underspent due to resource constraints or deferred investments.

Q. Why is reduction of an IT project budget to the amount indicated by a **linear forecast** an unreasonable adjustment methodology?

A. IT investments often follow a "step-function" pattern—large, upfront capital outlays for system overhauls, followed by periods of lower maintenance spending. Linear forecasting assumes smooth, incremental growth, which is rarely the case in IT. Projects often involve step-function investments (e.g., platform migrations) or cyclical upgrades, making linear extrapolation an oversimplification. Further, each IT project has a unique lifecycle: planning, development, testing, deployment, and maintenance. Linear forecasting flattens these phases into a trend line, ignoring the fact that costs are not evenly distributed across time. In addition, Staff states that the trending method "incorporates actual real-world market conditions and the Company's current practices and spending patterns." (pg. 13). However, it fails to note that these are historic "real world conditions" that are changing and will continue to do to. As virtually every mutual fund prospectus tells us "Past success does not guarantee future performance," yet Staff would seem to assert that it does.

Q. Why is adjusting certain IT project requests to **70 percent** of their proposed value an unreasonable adjustment methodology?

A. Applying a blanket 70 percent funding level assumes homogeneity in project maturity, risk, and necessity, which undermines the principle of individualized project evaluation. This approach risks underfunding critical infrastructure while overcorrecting for perceived inefficiencies in others.

Q. Is this method consistent with Agile methodologies?

A. No. Modern IT projects often use Agile methodologies, where, as previously discussed, scope and priorities evolve based on feedback and iterative development. Linear forecasting assumes fixed trajectories, which contradicts Agile's adaptive nature.

Q. Are there other issues with Staff's reduction to 70 percent methodology?

A. Yes. Staff provides (p. 9, 11, 13) five distinct reasons in support of this methodology:

- First – "The projects proposed by the Company have, in the aggregate, considerably unrefined scopes. When projects have unrefined defined scopes and have not fully determined the business requirements driving project costs adjustments must necessarily be

arbitrary, particularly when detailed estimations of project costs have not yet been finalized.

- Second – "the budgets of individual projects reflect, in part, assumptions and considerations of other projects; a precise adjustment to one project can potentially decrease the precision of an adjustment to another project."
- Third – "projects with relatively more refined scopes do not necessarily break down costs in a manner that enables a precise adjustment."
- Fourth – "…projects categorized as "Operationally Required" contain project elements best understood at strategic elements, and the Company is not always capable of providing project costs parsed by work category."
- Fifth – "some project budgets estimations are primarily based on the costs incurred for projects the Company considers sufficiently similar."

These five reasons address completely different aspects of the project/program materials provided and the logic of applying one uniform reduction percentage based on this disparate reasoning is not apparent.

Q. Please explain.

A. First, it seems that the 70 percent factor was derived from a single data point. In supporting its reason four, Staff states (p. 11) that "the Company provided the costs associated with the IT System COE project parsed by work

category, and the strategic costs accounted for approximately 30 percent of the total costs--which means a reduction to 70 percent accurately reflects the removal of strategic elements." Using this single data point to develop the most common adjustment method Staff applies implies a lack of rigor in Staff's assessment. Second, we would note that this single data point is derived from and used as a proxy to separate out strategic work from operationally required work, but it was taken to another step and applied to at least 11 projects that Staff notes are Strategic or Operationally Required in nature.

Q. Please continue.

A. Staff's reason one states that a 30 percent reduction is warranted because, in Staff's opinion, the scopes are unrefined and can therefore be reduced. This is counterintuitive, as basic project management principles recognize that early scoping is generally subject to increased cost, rather than decreased. The Company would also note that a basis for using a factor of 70 percent for the reductions due to this issue is not provided.

Q. Do any of the other reasons provided lack a basis for using 70 percent as the adjustment factor?

A. Yes. The basis for using a 70 percent factor is not presented for any of the other reasons and, since they have

no relation whatsoever to reason four, they should be rejected.

Scope/Contingency Discussion

Q. Do you agree with Staff's assertion that projects with unrefined scopes should be subject to downward adjustments?

A. No. Unrefined scope should not be treated as a deficiency warranting project funding reductions. Rather, it should be recognized as a normal and manageable phase of project development. Preliminary scoping activities—such as defining objectives and preparing baseline documentation—already provide meaningful insight into expected costs. These early inputs are not speculative; they are grounded in structured planning processes and historical analogs. While the Company bucketed the scoping percentages as spelled out in our response to DPS-25-596, these percentages reflected the overall status of every activity that must be completed before a project is 100% scoped. But the preliminary phases of the process provides more intelligence to the final expected costs than Staff appears to give it credit for.

Q. And do you agree with Staff that the contingency levels applied to projects at this level are inappropriate?

A. No. It is true that additional contingency is typically applied at these earlier stages of development, as it appropriately represents the uncertainty that exists. However, Staff seems to be making the case that the perceived uncertainty in scope justifies removing project contingency, when uncertainty is one of the primary reasons for including contingency. The Company's contingency levels reflect effective risk management, not poor planning or lack of due diligence. And while Staff points to the Company's Cost Estimating Guide's statement that "Contingency reserve is not intended to account for major scope changes" (pg. 34), the 30 percent contingency provided at this level is to account for scope refinement, rather than "major" scope changes.

Q. Is it reasonable to expect full scope definition for multi-year IT projects at the time of rate filing?

A. No. Many IT projects evolve over time due to changing technology, regulatory requirements, or stakeholder input. Expecting complete scope definition in a rate case filing one to three years before a project is started or completed disregards the iterative nature of IT development. These evolutions of IT projects are reflected in the contingency of our projects. Projects with less refined scope have

larger contingencies. For example, of the projects/programs Staff adjusted in Exhibit __ (AC2), the average contingency for projects/programs with a scope of 25 percent complete was 21 percent, while projects/programs with full (100%) scope completion had an average of 12 percent contingency.

Q. How does Staff's testimony account for the Company's use of the Capital Project Playbook (CPP), which allows for phased scope development?

A. While the testimony critiques deviations from the CPP, it does not acknowledge that the CPP itself permits phased development and evolving scope. This interpretation undermines the credibility of scope-based reductions and may misrepresent internal planning standards.

Q. Staff asserts that some projects are "strategic" and therefore less justified. Isn't strategic alignment a valid basis for investment?

A. Yes. Strategic initiatives often support long-term goals, such as digital transformation, customer experience, or regulatory readiness. Dismissing them due to undefined scope overlooks their broader value in forward-looking planning.

Q. Staff recommends reducing contingency where scope is not fully defined. Isn't that precisely when contingency is most needed?

A. Yes. Staff's testimony asserts that the Company uses contingency to cover undefined scope rather than true risk exposure. However, as previously noted, contingency is designed to address unknowns. In capital planning, especially for IT projects, contingency is included to account for scope evolution, unforeseen technical challenges, and integration risks. Penalizing projects for not having fully defined scope at early stages contradicts the purpose of contingency and may result in cost overruns or delays when unforeseen issues inevitably arise. Staff's testimony does not provide project-specific evidence of contingency as a source of budget inflation. Instead, it relies on generalizations and assumptions about intent rather than documented misuse or overestimation.

Q. Does reducing contingency where scope is not fully defined create an appropriate incentive to over-specify scope prematurely, potentially locking in flawed assumptions?

A. Yes. Forcing full scope definition too early can lead to rigid planning and missed opportunities for optimization. Contingency allows for flexibility and iterative

refinement, which is especially important in dynamic IT environments.

Q. Do Staff's recommendations account for the risk of cost overruns or delays if contingency is removed and unforeseen issues arise?

A. No. Eliminating contingency without a mitigation plan increases the likelihood of project delays, scope reductions, or emergency funding requests — outcomes that are undesirable and ultimately cost more.

EPMO Playbook/White Paper Discussion

Q. Does Staff's testimony cite any Company project management procedures or playbooks?

A. Yes. Staff highlights the Enterprise Program Management Office Capital Projects Playbook (CPP).

Q. What does Staff claim relating to the CPP?

A. Staff takes issue with certain items in the Company's white papers and testimony. For example, Staff claims that IT's categorization of certain projects are inconsistent with the CPP.

Q. Are there flaws in Staff's discussion of the CPP?

A Yes. There are two reasons Staff's use of the CPP is flawed.

First, the CPP is used to manage construction projects. The Company manages its IT projects through a Corporate Instruction, *CEI-215 CI Acquisition Deployment and Support of Information Technology Procedure and Software Development Lifecycle Guide* (SDLC). (See Exhibits __ (IT-15) and __ (IT-16)).

Q. Please continue.

A. Second, the definitions for and use of the work plan categories Regulatory Mandated, Operationally Required, and Strategic Projects are part of the Capital Optimization Guideline. The Capital Optimization Guideline states (p. 3) "The purpose of this Guideline is to set forth enterprise-wide standards for selecting projects and programs (Capital Optimization) for the capital budget process, which is an internal budgeting process."

Q. Are the three work plan categories of Regulatory Mandated, Operationally Required, and Strategic the only ways the Company prioritizes their projects?

A. No. Company projects are also compared against ten corporate strategic drivers. This is in alignment with

Electric, Gas, and Steam projects. Furthermore, IT projects are compared against an additional four IT drivers:

- Promote "One Enterprise"
- Excel at the Basics
- Foster/Promote Innovation and
- Implementation Methodology Ensures Speed, Flexibility and Simple Design.

Q. Has this process ever been evaluated?

A. Yes. In 2022, Staff's Management auditor, NorthStar, reviewed this process in detail and had no findings.

Q. Is the Company consistently and correctly applying the Work Plan Categories?

A. Yes.

Q. Does the Company believe that projects can be both operationally required and strategic?

A. Yes. For example, an upgrade to an application can have separate modules that are operationally required updates, such as cybersecurity updates and bug fixes, but are also strategic elements, such as new enhancements and user interface improvements. However, due to vendor

restrictions, complexity, or cost, the Company cannot separate the modules.

Q. As noted earlier, Staff adjusts projects stating that they are strategic. Is that appropriate?

A. No. Whether considered operationally required or strategic, the projects must still be completed. Moreover, the cost for the project does not decrease merely because the bucket for the category is different.

Q. Is parsing the two categories an issue?

A. The Company may not always have the flexibility to parse the two categories, particularly when upgrades are essential for security, compliance, or compatibility with other systems. If the system is not upgraded, patching may become less effective, as patches are often designed to work with the latest software versions; failing to upgrade can leave systems vulnerable to threats that patches alone cannot address, potentially compromising overall system integrity.

Filing Quality Issues

Q. Does Staff present any general concerns with the quality of the Company's filing?

A. Yes. Staff discusses (pp. 46-53) general concerns with the quality of the Company's filing.

Q. What are the issues that Staff discusses?

A. Staff discusses "breakages" in general, as well as four specific issues - breakages in values, breakages in identification, breakages in classification, and breakages in content.

Q. Does the Company agree with Staff's concerns?

A. In part, but the Company disagrees with the implied magnitude of the errors encountered in some of the categories discussed.

Q. Which of Staff's concerns do you agree with?

A. The Company acknowledges that our initial filing had more "breakages in values" (as discussed on pp. 47-49) than it should have. While the Company strives to provide filing information that is consistent and accurate, given the sheer volume of data presented, some amount of breakage is inevitable. This issue is exacerbated by the fact that the IT Panel testimony covers initiatives across the entire Company, rather than in one specific organization or operational area.

Q. Please explain how this happened.

A. The primary driver of the errors noted in this area was a sorting error that occurred on some reference materials that were used to track the financial aspects of the testimony documents and supporting exhibits. This caused transcription errors that carried through the materials and generated the errors.

Q. Were the underlying capital and O&M amounts used to generate the revenue requirement correct?

A. At the conclusion of the resolution process (p. 53), it was apparent that the vast majority of the data in the revenue requirement models were correct, and the level of breakage there was much more consistent with what would be expected.

Q. Please discuss the resolution process undertaken, from the Company's perspective.

A. Upon learning of Staff's concerns on this issue in late February, the Company immediately put a team together to cross check every number, identify correct values for any inconsistent items, and verify the values that were used in the Company's revenue requirement model. We provided corrections within approximately two weeks of the issue being raised, and the Company confirmed that our Update/Corrections filing reflected these changes.

Q. Please discuss the other breakage types Staff points to in their testimony.

A. Staff calls out three other types of breakage:

- Breakages in identification (pp. 49-50)
- Breakages in classification (pp. 50-51)
- Breakages in content (pp. 51-52)

Q. What are your observations regarding these breakage types?

A. For the breakages noted in these classifications, the Company believes that what Staff observed was quite limited in magnitude. Beyond the individual example of breakages in identification and content that Staff provides in its testimony, we are unaware of any other instances where this occurred.

Q. And what about breakages in classification?

A. Again, breakage of this type was also moderate in nature. To our knowledge only 12 of 116 project and programs presented by the IT Panel had data entries that were misassigned to another panel in the workpaper discussed here – which is highly complex and has historically required walkthrough with Staff. The Company notes we used a new methodology to build the workpaper information for

this rate case and will use Staff's stated concerns to help improve future filings.

Q. What recommendations does Staff make based on the data quality issues presented?

A. Staff recommends that "The Company should be ordered to include in its subsequent rate filings a comprehensive mapping document that identifies and accounts for breakages in classification and identification." (p. 53).

Q. Does the Company agree with this recommendation?

A. No. While the Company strives to provide materials that are as accurate and consistent as possible, the breakage issues in values noted were anomalous and that the other breakage categories were moderate in nature. In addition, the Company notes that it will continue to work with Staff to provide the suggested mapping on an informal basis, based on their specific questions or concerns.

Corrections

Q. Did the Company note any items in Staff's testimony or exhibits that required clarification or correction?

A. Yes. There were several instances where the Company noted inconsistencies in data provided in Staff's testimony and Exhibits.

Q. Were any of these items material?

A. No. Staff worked with the Company to quickly clarify and correct the noted items. However, to promote an accurate record, we are providing Staff's responses to discovery questions CECONY-7-84 and CECONY-7-85 regarding these issues within Exhibit___(IT-14) which addresses the items noted.

Reporting

Q. Does Staff recommend any new reporting requirements for the Company?

A. Yes, Staff has recommended several new reporting requirements for the Company.

Feasibility Reports

Q. What is the first reporting recommendation made by Staff?

A. The first reporting recommendation made by Staff was that, in future filings, the Company should be directed "to parse all IT projects to isolate, where feasible, the costs associated with maintaining current systems as-is and the costs arising from hardware and software upgrades that result in new functionalities or incremental improvements to system performance or cybersecurity."

Q. Please respond to this recommendation.

A. From an IT governance and operational standpoint, this approach introduces more complexity than value. IT projects cannot remain in an as-is state without increased cyber risks, reduced performance and support, and, eventually, becoming obsolete. The Company must align applications with vendor roadmaps. Staff's recommendation to parse all IT projects into "maintenance" versus "enhancement" components, while well-intentioned, is impractical, inefficient, and misaligned with how modern IT systems are developed and managed.

Q. Please explain.

A. Most IT initiatives are inherently integrated. A single system upgrade may simultaneously replace aging infrastructure (maintenance), improve performance (enhancement), address security vulnerabilities (compliance), and enable new features (strategic).

Attempting to isolate these elements into discrete cost categories would be artificial and misleading. It would also risk misrepresenting the true scope and value of the investment. Furthermore, the line between "maintaining current systems" and "adding new functionality" is often

blurred. Is replacing an aging server with a faster model maintenance or enhancement? Is improving a user interface to reduce errors a performance upgrade or a reliability fix? These distinctions are not only subjective but also vary across teams and projects, potentially leading to inconsistent reporting and reduced comparability.

PSR Reports

Q. Please comment on Staff's recommendation that the Commission direct the Company to include Project Status Reports (PSRs) in its quarterly capital project reporting.

A. The existing Quarterly Capital Expenditure Report and meetings, along with the regularly established communication channels are sufficient for this purpose. Internal PSRs are currently prepared consistent with established IT Project Management guidelines and are shared by Project Managers with their project teams. Staff already receives and meets with the Company to review the Quarterly Capital Expenditure Report. During the meeting Staff can request information on the status of any project in the IT portfolio.

***Additional* Information in White Papers**

Q. Staff recommends that the Company parse total costs by feasibility, design, development, and production/implementation for all IT White Papers in future rate case filings. How does the Company respond to this recommendation?

A. While cost transparency is essential, the proposed parsing requirement is not the right mechanism. It imposes a rigid structure on a dynamic process, increases administrative burden, and risks distorting the true nature of IT investments. A more balanced approach would be to enhance narrative justifications and cost-benefit clarity within existing documentation frameworks. Forcing a Waterfall-style cost breakdown misrepresents how IT work is actually performed, may lead to inaccurate or arbitrary allocations, and is unlikely to yield meaningful insight.

***Artificial Intelligence* (AI) Reports**

Q. Did Staff recommend reporting requirements for AI?

A. Yes. Staff recommended that the Company do ongoing reporting on all AI projects and programs, or any other plans to utilize AI in any capacity.

Q. What specific reporting requirements did Staff propose?

A. Staff proposes that all current and future AI-related initiatives be categorized and quantified by models as "locked boxes," "opaque boxes," or "true black boxes." Additionally, yearly reports detailing technical and financial information, including training costs, descriptions of training data, current validation practices, and example use-cases.

Q. Are there any other requirements?

A. Yes. Staff also proposes that the reports must address the character and magnitude of model drift, the frequency of model use, and any business decisions influenced by the AI outputs.

Q. Does Con Edison agree with this recommendation?

A. No. The Company will only implement industry-benchmarked AI models that meet our security requirements within enterprise platforms. The Company is approving, testing, and validating AI models to understand decision making logic and accuracy, allowing users to understand how AI processes data and arrives at conclusions. The framework for this has been discussed in this testimony. With this evolving landscape and the status of pilots in the Company, it is premature to mandate reporting requirements.

Specific Project/Program Discussions

Q. What data source is referenced in discussions on the Staff-recommended funding levels in the sections that follow?

A. For the discussions of the projects and programs that follow, references to the Staff-recommended funding levels refer to the data provided in Staff Witness Carpenter's Exhibit AC-2, unless otherwise noted. In general, the Company is responding to the projects in the same order discussed in our initial filing through the testimony and exhibits.

I. O&M Programs

IT Hardware and Software Maintenance

Q. Please explain the IT Hardware and Software Maintenance project.

A. As we discussed in our initial testimony (Exhibit __ (IT-4-Upd)), the IT Hardware and Software Maintenance Project encompasses necessary third-party support contracts, license renewals and managed services to support the Company's technology. Specifically, the scope of the investment includes hardware and software license renewal and maintenance support of servers, storage arrays, data backup products, server operating systems, database

products, network tools, mainframe products, cloud, and enhanced managed data center services. These products and services are essential for the maintenance and continued operation of the production, testing, and development environments.

Q. Please discuss Staff's adjustments to the IT Hardware and Software Maintenance project.

A. Staff recommends an incremental O&M budget of $21.132 million, $10.932 million, and $1.953 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $41.978 million.

Q. What was the Staff's justification for its recommendations?

A. Staff applied its 70% adjustment methodology, claiming that the Company's estimates are based on major enterprise initiatives and projects which have been adjusted and, therefore, an adjustment in the project's incremental funding is warranted. Staff also notes that the historic period already contains major enterprise projects.

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. This work is required to maintain critical hardware and software for the Company's on-premises datacenter and cloud infrastructure systems.

This program encompasses costs for many different items, and

- incorporates costs to renew maintenance and address subscription-based licensing and multi-year hardware/software third party maintenance support;
- includes managed service provider support for datacenter locations enabling expanded 24x7 operational coverage;
- upkeeps current tools, platforms and services with Hardware and software replacement and/or for instances where lifecycles reach end-of-support;
- enhances the reliability of critical systems, while improving operational efficiency:
- Enables 24/7 onsite personnel at the Worth Street Data Center, and partial onsite and roaming support at the other corporate data centers;
- contains software license renewals essential for continued and improved operations, including renewing the Enterprise Agreement with Microsoft;
- encompasses upgrading the end-of-life CECONY mainframe from microcode to newer hardware technology; and

- covers investments to maintain over 5,300+ Cisco & Nutanix hyper-converged servers and Dell EMC storage products, 22+ Petabyte of stored data, 2300 virtual desktops, as well as all our cloud-based assets, Microsoft support extensions for operating systems and databases, and Cohesity backup system infrastructure platforms, critically necessary maintenance and license renewals for Oracle and RedHat software products.

Q. Please explain why the managed service provider costs are necessary.

A. The managed services provide necessary operational support and therefore, reliability. Without managed services support, we would experience reduced response times in addressing UPS, power distribution and HVAC issues, which can adversely impact services while reducing system performance. Extended power or HVAC issues may lead to downtime for applications hosted in data centers, such as AMI, OMS, CC&B, affecting the company's service and customer restoration capabilities.

Q. Please discuss the Microsoft costs included in this program.

A. This agreement includes all server, database and desktop device OS, for Windows server, SQL, Exchange/ Office 365, M365 Copilot, and Defender endpoint security.

Q. Please explain the license and support costs in this program.

A. These license and support upgrades are necessary to maintain the integrity of our technology infrastructure platforms while protecting against emerging cyber threats.

Q. Is Staff correct that the scope of the investment is concerned with new projects and major initiatives?

A. No. The investments emphasize services that are necessary for operational continuity. Although this budget will grow with other initiatives throughout the rate years, the incremental costs are independent of other Company projects and must be implemented for the maintenance of the current hardware and software installation base. Additional and ongoing maintenance, along with providers shifting to subscription-based pricing, necessitates the growth in this budget. The examples Staff provided in their testimony, referencing "Customer Care & Billing" and "AMI System Sustainability Program," are distinct projects with their own funding and, as such, are not included in this proposed

project. (These projects and recommendations are discussed herein.)

Q. Why is the project required now?

A. The proposed initiatives must be implemented for the maintenance and upkeep of the current installation base. The requested funding is needed to address costs for hardware/software licenses and to replace end-of-life infrastructure. Notably, regarding the O&M costs, the move from perpetual licensing to subscription-based licensing has increased the infrastructure licensing costs, treated as O&M. This support enables issue resolution, critical software updates, cybersecurity vulnerability patches, improved hardware failure monitoring, and new product features.

Q. What would be the impact of delaying license renewals and upgrades?

A. Not pursuing timely license renewals and upgrades would result in loss of vendor support and services, including software updates. Unsupported hardware poses an operational risk to critical systems, impacting, among other things. the Company’s ability to address and remediate cyber vulnerabilities timely.

IT Telecom O&M

Q. Please explain IT Telecom O&M project.

A. As discussed in our initial filing (Exhibit __ (IT-4-Upd, pp. 1-5), the IT Telecom O&M project funds the operations and maintenance of the Company's telecommunications infrastructure, systems, and services. These components include Company-owned and operated telecommunications infrastructures and systems, the required internal and external support services, and all monthly recurring costs for telecommunications wireline and wireless services provided by public carriers.

Q. Please discuss Staff's adjustments to IT Telecom O&M project.

A. Staff recommended an incremental O&M increase of $2.712 million, $262,000, and $8,000 for RY1, RY2, and RY3, respectively, decreasing the overall incremental request by $1.278 million.

Q. What was Staff's justification for its recommendations?

A. Staff applied its 70 percent methodology, basing its reduction on corresponding reductions to the capital projects related to telecommunications O&M, including CCTN, Data Center and LAN Improvements, and XM8. Staff also

asserts there is no evidence that the incremental O&M spending is necessary to prevent system degradation and, further, that the Company did not provide an analysis quantifying the rate of degradation that would occur. Finally, Staff alleges that there is no evidence that the value of benefits that Staff believes are strategic in nature will outweigh the costs of implementing them.

Q. Do you agree with Staff's rationale for its reduction?

A. No. As explained earlier, this is funding for the Company's telecommunications program.

Q. Please respond to Staff's first claim that the decrease is commensurate with a decreased funding for other programs.

A. The investments in the three associated capital projects cited by Staff are justified in their respective rebuttal responses below. Accordingly, there should be no reduction to this program based on the other reductions.

Q. Are there additional reasons why the recommended cuts should not be implemented?

A. Yes. In addition to the telecom infrastructure and systems expansions related to the capital projects, the incremental increase in telecommunications operating and maintenance expenses is primarily driven by expected tariff increases

imposed by public carriers. These increases affect the monthly recurring costs for existing legacy carrier circuits that support essential operations and systems such as Electric, Gas, and Steam SCADA (Supervisory Control and Data Acquisition) systems as well as certain types of bulk power transmission relay protection. The overall impact is projected to be a 125% increase in monthly expenditures phased in over the rate period.

Q. Does current maintenance funding effectively address the growing demands and challenges of our telecommunications infrastructure?

A. No. There has been an 80% increase in trouble tickets submitted from 2022 to 2024 (141 in 2022, 190 in 2023, 254 in 2024), a attributable to the normal degradation of telecom systems over time. TO correct this requires increasing preventative maintenance to preserve system performance as the systems age. The incremental funding request is crucial to reversing this trend. The additional investment will enable us to enhance the reliability and performance of our telecommunications systems, thereby reducing trouble tickets and providing uninterrupted service - especially in our critical energy control centers, where reliable communications are essential to

responding to emergency situations that threaten the stability of the energy distribution and transmission systems.

Q. Does the requested funding address emerging vulnerabilities?

A. Yes. The proposed funding will allow for timely inspections and proactive maintenance, which are critical for mitigating cybersecurity risks and safeguarding our infrastructure against potential threats. Delaying these necessary improvements not only jeopardizes system integrity but also undermines our ability to respond effectively to emerging vulnerabilities.

Q. Does the Company agree with Staff's rationale related to degradation?

A. No. As our systems continue to age, without proper maintenance, the risk of severe outages and operational disruptions increases, potentially leading to significant financial losses and reputational damage. Delaying this work will result in further degradation of our telecommunications infrastructure, making future repairs more costly and complex. The longer we postpone upgrades, the more difficult it will become to manage and rectify the avalanche of issues that will undoubtedly result.

For example, failure to promptly complete repairs on the outside fiber optic plant can escalate a minor incident into major outages that disrupt communications among critical facilities (e.g., control centers, substations, generating stations, data centers, and work out locations). This can also impact critical applications like SCADA and tele-protection. Similarly, in the case of fixed and mobile wireless communications systems, escalating incidents can result in insufficient radio coverage, which negatively affects communication between the control center and field crews performing daily work or responding to emergencies. Increased preventative maintenance in the form of more frequent inspections of the fiber optic cables, radio frequency cables and antenna infrastructures, and backup battery and generator plants have resulted in fewer component failures, fewer and shorter systems outages and fewer user complaints and trouble tickets.

Q. Do you agree with Staff's rationale that reduced funding for the project is appropriate because it classifies certain elements as strategic?

A. No. As explained earlier, even if certain required project elements can be considered strategic, that is an insufficient basis for automatically disqualifying them for funding. Such elements must still be implemented, and

funding recommendations should be driven by the respective merits of those elements in relation to the project, not arbitrary reclassifications.

The stewardship of any technology platform must necessarily take strategic elements into consideration because focus exclusively on operational elements cannot address obsolescence issues like lack of support, unavailability of spares, and dwindling expertise as the technology progresses. In fact, it is necessary to continually assess the strategic elements even while a system is adequately supported to preserve functionality across technology generations and to plan effective migrations. Failure to make the necessary strategic investments in a proactive manner can result in adverse operational impact and greater operational costs.

Gas Applications

Q. Please explain the Gas Applications project.

A. As we discussed in our initial testimony (Exhibit ___ (IT-4-Upd)), the Gas Applications project is an O&M only program that maintains several Gas Operations IT supported applications, such as Gas Central, Construction and Gas e-Forms and Gas Outage Management. Maintenance includes license cost, technology upgrades and defect fixes. This

maintenance support is required for the proper functioning of both homegrown and vendor supported applications, which support critical business processes and operations. Not doing this required maintenance will have negative consequences, including increased cybersecurity risks, forced obsolescence of cloud-based applications (e.g., the Gas Outage Management system and Construction and Gas e-Forms), and noncompliance of vendor supported applications (e.g., Gas Central) with recommended security patches.

Q. Please discuss Staff's adjustments to Gas Applications.

A. Staff recommended a budget of $0.778 million, $.700 million, and $.700 million for RY1-RY3 respectively for incremental O&M, decreasing the overall request by $.934 million over the three-year period based on the Company request.

Q. What was Staff's justification for its recommendations?

A. Staff applies its 70 percent adjustment, claiming that there is insufficient justification for the increase. Staff also claims that there are strategic elements that have not been justified on a cost benefit basis. Staff also notes that there will not be a cost avoidance with this project.

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. Staff's assumption that strategic features are non-essential and should be removed from the project scope is incorrect. The white paper quotation Staff uses to place the work into the strategic category is incorrect, as "Remediating technical and functional defects to improve software efficiency and accuracy are also a significant aspect of the maintenance of the system" in no way indicates that the project is strategic. In fact, many applications supporting Gas Operations in this program are operationally required. For example, the Gas Outage Management System and the Gas Service Line system are operationally required applications.

The defects that will be remediated as part of the system maintenance are those defects that interfere with the normal functioning of the application and cannot be left unaddressed. These include technical defect fixes provided by the application vendor in the form of security patches to address vulnerabilities. Failing to apply these patches can lead to system instability, security risks, and performance issues. They also include functional fixes for critical defects that affect the ability of these

applications to support business operations. These patches are not provided for obsolete product versions, making these periodic updates necessary.

Q. Was Staff's reference to the Gas Central project correct?

A. No. Using the description of the Gas Central application as justification for the program being strategic is incorrect. The Gas Central project was implemented in 2022 and already provides the referenced capabilities (i.e., standardization of work processes, better work scheduling, work prioritization, as well as provide a single repository for all work and asset data). The requested O&M is to support the application in its current form, not to develop new capabilities.

II. Customer Applications

Customer Care and Billing (CC&B) Enhancements and Upgrade

Q. Please describe the Customer Care & Billing (CC&B) Enhancements and Upgrade project.

A. In October 2023, the Company implemented Oracle's CC&B system, replacing its more than 50-year-old customer service system with a modern platform that delivers timely and accurate customer bills and better enables customer service representatives (CSRs) and back-office staff to

support customer transactions. Modern billing systems like CC&B require "steady state" support, as well as continued platform upgrades and enhancements to maintain vendor support and provide improved capabilities for customers.

In this rate period, the Company requests capital funding for system enhancements that will provide increased value to customers, such as the addition of new programs and rate changes and other priorities identified by the business to support contact center and back-office functions. In accordance with the vendor's upgrade schedule, the Company is also seeking capital funding for a necessary upgrade to the CC&B software platform.

Q. Did Staff make recommendations regarding the CC&B Enhancements and Upgrade project?

A. Yes. On page 63 of Mr. Carpenter's testimony, Staff recommended reducing the Rate Year 1 capital budget to $19.646 million, 70 percent of the proposed budget, on the basis that the project contains inadequately justified project elements. Staff further recommended reducing the Company's proposed capital budget to $19.723 million in RY2 and $62.584 million in RY3, for a total decrease of $43.695 million over the three-year period.

Further, on pages 75-76 of its testimony, the Staff Consumer Services Panel recommended the Company depreciate capital costs over a period closer to the system's useful life and extend the upgrade cycle from five years to eight years.

Q. What was Staff's rationale for recommending a 30 percent reduction in the Company's proposed capital budget?

A. Staff recommended reducing the Company's proposed capital budget on the grounds that the Company did not adequately justify elements of the project, Staff's impression that project elements were strategic rather than required work, a lack of cost avoidance, reductions to the Integration Technical Obsolescence project, and Staff's assumption that the Company had flexibility to reduce project scope to fit within the proposed budget.

Q. Does the Company agree with Staff's recommendations?

A. No, as reducing the project budget by 30 percent is not viable.

Q. Why is reducing the CC&B Enhancements and Upgrade budget by 30 percent not viable?

A. A 30 percent reduction across the three rate years does not account for the three distinct workstreams included within

this request: Ongoing Hardware and Software Enhancements, CC&B Integration Testing for Enterprise Migration of Middleware Platform, and CC&B Application Upgrade Implementation. Each of these workstreams has its own timeline and funding needs over the rate period. For example, as detailed in the program's white paper in Exhibit__(IT-5), RY1 activities are focused on pre-planning discovery to inform the necessary upgrade roadmap and implementation of ongoing enhancements, whereas RY2 and RY3 also includes Middleware testing for CC&B integrations as part of an enterprise-wide platform migration, and RY3 includes initial funding for the application upgrade required in 2029. Cutting the program budget by 30 percent undermines the Company's ability to properly advance each of these three workstreams and address non-discretionary items required for operational continuance, application resiliency, obsolescence mitigation, and strategic enhancements.

Additionally, overall project funding should not be tied to the Integration Technical Obsolescence project. The CC&B Integration Testing for Enterprise Migration of Middleware Platform related to this project is one workstream within the broader request, and the reduction of funding in one

workstream does not mean that the Company has less work or reduced funding needs for other workstreams. There are also more than 400 CC&B integrations impacted by the end-of-life of the Company's middleware platform that require significant regression and performance testing as part of the middleware upgrade process, regardless of how the Integration Technical Obsolescence project is funded.

Further, Staff cites a 25 percent scope completion as justification for additional flexibility that can be made to retrofit scope and budget. Cutting project budget based on this singular metric reflects an incomplete assessment of the project's overarching need and status. The Company provided these details of CC&B's enhancement and upgrade requirements more comprehensively in a several interrogatory responses, including DPS-16-415 and DPS-22-550, which further explain the Company's funding needs.

Q. How does the Company respond to the statement of inadequately justified project elements and the impression that project elements were strategic rather than required work?

A. Following implementation of a new system, as users become more familiar with system capabilities, it is customary that they will identify opportunities for enhancement that

align with their operational needs. At the same time, the system support team progresses beyond the initial elevated level of post go-live support, which shifts its focus from remediating issues to soliciting user feedback on strategic changes that allow for more effective and efficient operations and improved customer service.

As detailed in the Company's response to DPS-16-415, ongoing enhancement work is planned on a rolling basis throughout the rate period, with quarterly releases to production. Due to the dynamic nature of business needs and emergent requirements, the Company plans this work iteratively, with roadmaps defined six months in advance. While the Company has not yet identified what specific CC&B enhancements it will need during the proposed rate period, there are more than 500 potential enhancements identified by business users under review for prioritization and development for 2026 and beyond. The Company currently anticipates that these priority enhancement requests will align with some or all of the following areas: arrears management, value of distributed energy resources (VDER) and community distributed generation (CDG), new rates, support for generative artificial intelligence (AI) initiatives, and data privacy and security.

For the CC&B upgrade work specifically, a more defined timeline and scope – including required operational activities and "day two" strategic items – will be a key output of the 2026 pre-planning study.

Q. How does the Company respond to Staff's statement that there is no cost avoidance associated with the CC&B upgrade?

A. The Company disagrees. As stated in the Company's response to DPS-25-596, "The Company's version of Oracle CC&B will be out of extended support in May of 2029. At that time, the Company will not be able to obtain vendor assistance in the event of an issue, defect, or problem without seeking a custom support extension from the vendor. The Company estimates it can avoid custom extended O&M support costs from mid-2029 through mid-2031 of $14.31 million by upgrading its version of Oracle CC&B."

Q. How does the Company respond to Staff's recommendation to adapt the proposed upgrade cycle for CC&B from the proposed five-year cycle to the maximum eight years offered by Oracle?

A. The Company's upgrade request already follows the established upgrade cycle offered by Oracle. The eight-year

schedule is based on when the vendor releases the product, not when it is implemented. When the Company implemented CC&B in 2023, it implemented version 2.8, which Oracle released in 2021. Accordingly, Oracle will end support for this version of CC&B in May 2029.

Because of its implementation schedule, the Company could not have reasonably implemented a newer version of CC&B in 2023. Oracle released the next version of its software, version 2.9, in 2022, while the Company's CC&B implementation was already underway. The Company evaluated version 2.9 and determined that it did not provide enough incremental value to warrant the additional cost and work needed to change the go-live version midstream and the additional risk that doing so would have posed to the project's timeline and the success of implementation. This decision was consistent with a generally accepted principle of large-scale IT implementations known as "N-1." This refers to a strategic approach of choosing one version previous to the most recent version to balance stability and innovation by going live with a more proven solution, thereby reducing risk of unforeseen or unknown issues that might arise with a newer, less thoroughly vetted version.

For these reasons, this planned upgrade schedule aligns with the upgrade and support roadmap established by Oracle, as well as general technology industry practices, as further explained in the Company's CC&B Enhancements and Upgrade white paper in Exhibit__(IT-5).

Q. Are there other concerns with not proceeding with the upgrade on the vendor-recommended cycle?

A. Yes. If the Company violates its Software Development Lifecyle policy by keeping the Company on an older, unsupported version of CC&B, it will incur security, privacy, and cyber risks. As the cyber landscape evolves, technology vulnerabilities will increase, and the Company may not be able to apply fixes to newly found vulnerabilities if it uses an unsupported version of CC&B.

Q. How does the Company respond to Staff's claim that capital costs should be depreciated over a period similar in length to the system's useful life?

A. The Company disagrees. CC&B's capital costs are planned to be depreciated in a manner aligned with the Company's normal processes. The 15-year schedule is typical for a system of this size and cost. The Company uses standard depreciation values for accounting purposes and individual

projects can differ in their actual useful life, which can be impacted by factors like obsolescence, technological advancements, and the need for ongoing patches, upgrades, and repairs.

Q. Did other intervenors suggest recommendations to the CC&B Enhancements and Upgrade project?

A. Yes. The New York City Electric Infrastructure Panel recommended deferring approval of the $89.4 million RY3 funding request for CC&B Application Upgrade Implementation until the 2026 pre-planning project is complete and the Commission reviews its findings (including a definitive upgrade path, associated costs, and justification over alternatives). New York City also recommended that the Commission should approve funding for ongoing enhancements in RY1 and RY2 only upon receipt of a detailed list of prioritized initiatives with clear individual justifications and cost breakdowns.

Q. Does the Company agree with New York City’s recommendations?

A. No.

Q. Is it feasible for ongoing enhancements to be approved only upon receipt of justification and cost breakdowns, as suggested by New York City?

A. No. Enhancements are performed as needed on a rolling basis based on new regulations, evolving business requirements, and improvements in business operations. See DPS-22-550 Attachment 1 CC&B Enhancements Inventory for the list of enhancements completed in 2024 and the enhancements on the roadmap for 2025 for context as to the business-critical nature of enhancements to the CC&B platform. Lists of future enhancements are subject to change due to the dynamic nature of business needs and emergent requirements.

Enhancing CC&B's technology infrastructure (hardware and software) and capabilities is essential to maintaining Company operations, as nearly every customer-focused business process relies on CC&B. These investments in CC&B will not only enable the performance that customers expect but also maximize system performance on an ongoing basis and safeguard the CC&B system as business processes change and customer, regulatory, and business needs continue to evolve.

Q. Can the Company accommodate delayed approval of the CC&B upgrade funding until its 2026 pre-planning project is complete, as suggested by New York City?

A. No. The Company's request includes known CC&B upgrade funding required in RY3 and anticipates additional funding needs in 2029, as the upgrade is expected to span multiple years. The upgrade will be required regardless of the results of the 2026 pre-planning project, which will define the roadmap and scope for upgrade, not whether an upgrade is required. Delaying the upgrade will result in the Company remaining on Oracle CC&B 2.8 beyond the extended support window, leaving the Company unable to obtain vendor assistance without seeking a custom support agreement from the vendor.

Q. Were there any other comments received regarding this project?

A. Yes, New York City also said the Company should provide the total actual costs of the original CC&B Version 2.8 implementation to provide context for the upgrade estimate. These total costs are detailed on page 130 of the Company's 2024 Annual Report. CECONY's final costs for the new system were $510 million. The Company also provided a detailed breakdown of these costs by year in response to DPS-21-541.

Digital Customer Experience

Q. Please explain the Company's Digital Customer Experience (DCX) request.

A. The DCX program manages the digital assets that allow customers to digitally interact with the Company - including its website, mobile applications, and virtual assistant - for a myriad of self-service transactions, including payment processing, outage reporting and communications, energy usage and billing information, program and preference enrollment, and financial assistance. DCX supports the primary digital experience for the Company's customers and is focused on increasing adoption of digital self-service across key customer transactions.

Q. Please discuss Staff's recommendation regarding the DCX request.

A. On page 178-181 of Mr. Carpenter's testimony, Staff recommend reducing the capital budget from $15.88 million in RY1 to $11.198 million, from $15.88 million in RY2 to $11.467 million, and from $15.88 million in RY3 to $11.719 million. Staff recommended reducing the incremental O&M funding from $2.54 million to $1.780 million in RY1, from

an incremental $330,000 to an incremental $238,000 in RY2, and from an incremental $277,000 to an incremental $204,000 in RY3. These budget reductions were based on inflating the average of historical spending to 2026 dollars and reducing O&M by the same percentage as the capital expenditures. This would result in a $13.256 million reduction in capital and $2.489 million reduction in O&M over the course of RY1-3. This recommendation also included a reduction of three FTEs, commensurate with the reduction of project scope.

Q. How does the Company respond to Staff's recommendation to reduce the project's budget from the Company's request?

A. The Company disagrees with this budget reduction and its rationale, and reinforces the need for its original budget request. Historical capital spending from 2020 through 2023 for DCX does not include spending associated with the Virtual Assistant program, which was funded separately in the current rate period but is now included within the request for this rate period, as outlined in Exhibit__(IT-5). Further, 2023 spending was not reflective of historical spend due to CC&B implementation and the associated freeze in capital activity required of other programs across the Customer Operations IT portfolio during that time. Thus, historical numbers do not provide an appropriate benchmark

to anticipate funding needed to maintain and enhance the program.

Q. How does the Company respond to Staff's recommendation to reduce the Company's staffing request by three FTEs?

A. The Company disagrees with Staff's reduction of three FTEs, particularly Staff's statement that the reduced staffing level will be "sufficient to enable the Company to continue its current strategic efforts." To continue current strategic efforts and also scale to continuously improve the program, the DCX team requires adequate team capacity. In fact, the success of Agile projects depends on resourcing teams, not just scoping deliverables. The team-based funding requested for DCX will equip the business to plan work based on known capacity rather than speculative feature lists. This supports better forecasting and prioritization without overcommitting. More information regarding Agile methodology and the ways in which it is leveraged to determine program priorities and capacity is detailed in the Software Development Lifecycle Section earlier in this testimony.

Q. What rationales did Staff provide for its recommended budget reductions?

A. Staff argued the Company provided no evidence that the benefits of the Personalization and Control, Mobile App Enhancement, and Virtual Assistant project elements will outweigh their costs. Staff also argued that the Company provided no evidence of customer expectations or that reducing the budget will result in fewer customers using digital services.

Q. How does the Company respond to Staff's argument that the Company has not shown the benefits of these project elements?

A. The Company disagrees, as DCX's proposal to enhance its mobile application and virtual assistant, as well as provide more personalization and control to customers, delivers tangible benefits. Internal data and industry best practices reinforce that multiple customer self-service channels help to meet customer expectations for dynamic, personalized, and effective digital experiences. E Source's 2024 Digital Metrics survey identified that, of the utilities surveyed, 86 percent had or were planning to launch a mobile app and 70 percent offered or planned to offer chat by a chatbot by the end of 2024.

Con Edison's mobile app has about 1.3 million active users engaging with such functionality as bill analysis, payment,

preference management, outage management, and usage evaluation. The mobile app currently has 4.8 out of 5 stars in the iOS app store, tied for the highest satisfaction score out of 57 utilities that offer mobile apps. Upgrades are required to maintain this level of satisfaction and keep pace with quickly evolving application technology, as well as to comply with Google Play and Apple store requirements.

The Virtual Assistant (VA) currently supports eight customer transactions and helps customers with a range of frequently asked questions such as understanding high bills, meter readings, Energy Assistance Program (EAP) inquiries, updating account information like name or email, and details about gas inspections. Customers providing customer satisfaction survey responses about the Virtual Assistant rate it a 4.56 out of 5 (based on 11,600 responses). Enhancements to the VA program will expand self-service e-bill and payment plan enrollment, outage reporting, account reactivations, and energy usage data, providing customers a conversational digital channel through which to resolve inquiries and access clean energy resources.

Q. How does the Company respond to Staff's argument that the Company has not provided evidence of customer expectations?

A. The Company disagrees. If the Company does not continue to invest in its digital platforms, their value and use will erode. As with any technology in today's increasingly digital world, only maintaining the status quo is insufficient to meet rising customer expectations. The business considerations of these rising expectations are well summarized by the saying "The last best experience that anyone has anywhere becomes the minimum expectation for the experience they want everywhere," coined by Bridget Van Kralingen, former VP of IBM Global Markets.

For the Company, this means our customers are not comparing our customer service or digital experiences to their water utilities or tax payment digital experiences; they are comparing them to airline, banking, and retail experiences that are delivering efficient and personalized digital experiences across multiple interaction channels. If Con Edison's digital experience is eroded due to a lack of investment, the Company's digitally inclined residential, small business, and large commercial customers will need to call the contact center more frequently, which will

increase the total cost of service for our customer base with the potential of increased wait times to speak to a representative.

Q. How do these rising customer expectations relate to the DCX program's proposed "Personalization and Control" workstream?

A. Industry trends demonstrate that personalization is a baseline consumer expectation in today's digital landscape. Survey results provided in Exhibit__(IT-17), DCX Website Personalization Survey Results, found that approximately 75 percent of customers are interested in more personalized content and features, particularly program tips and recommendations that can help individual customers save money. The Company's proposed funding for DCX provides opportunities to better serve its customers across all interaction channels with more robust and personalized self-service solutions.

Q. Staff also argued that the DCX program costs do not exceed its cost avoidances. How does the Company respond?

A. In response to DPS-25-596, the Company estimated that the project avoided costs based on four key transactions that customers can complete digitally: start service, transfer

service, stop service, and payment agreement enrollment. The methodology for measuring cost avoidance for these transactions is straightforward and has been reported on in prior rate periods and reports. This includes a stated cost savings of $10.6 million from 2020-2023 reported in the Next Generation Customer Experience Quarterly reports filed in Cases 19-E-0065, 19-G-0066, 18-E-0067, and 18-G-0068.

However, these four transactions do not fully represent the depth and breadth of the self-service and digital experiences available through the DCX program. The authenticated website built by DCX engages 2.3 million monthly users and its mobile apps engage about 1.3 million monthly users. These users interact with 12 primary experiences which have over 7.6 million pageviews in a single month. For these reasons, DCX's value is far broader than the cost avoidance figure Staff cites.

Q. What are the risks associated with reducing DCX funding as Staff recommended?

A. As the DCX program is well established, underfunding it would require limiting capital investment to necessary platform upgrades and maintenance. In 2024, there were over 7.7 million users of DCX's web and mobile platforms, logging in over 295 million times over the course of the

year, compared to approximately 4.8 million calls requesting a representative made to the Company's contact center. The effectiveness of the Company's digital assets would diminish in the absence of these enhancements, driving the significant population of customers who primarily use DCX platforms to interact with the Company to use the contact centers for support instead. The Company expects that customer satisfaction would decrease and frustration would increase over time, as digital-first customers find themselves unable to resolve their inquiries via self-service channels and instead are driven to speak with CSRs to complete a transaction.

Regarding O&M decreases, reductions could result in sufficient funding only remaining for incremental increases for fixed licensing costs incurred due to platform growth, user authentication, and verification, but not other needs. As a result, the reductions proposed may require the Company to withdraw from existing contracts and in turn remove functionality from its digital platforms.

Customer Engagement Platform

Q. Please explain the Company's Customer Engagement Platform (CEP) request.

A. As discussed in Exhibit__(IT-5), pages 105-124, the CEP is a strategic initiative designed to unify and streamline the Company's customer service operations. It will integrate more than 15 existing IT systems into a single interface, enabling customer-facing employees to efficiently manage complex transactions and deliver personalized recommendations to customers. The platform consists of two main components, the Interaction Dashboard and the Correspondence Center, which together will enhance service efficiency, improve communication, and support clean energy adoption.

Q. Please discuss Staff's recommendations regarding the CEP.

A. In both Mr. Carpenter's testimony and that of the Staff Consumer Services Panel, Staff recommended rejecting funding for the CEP.

Q. What rationale did the Staff Consumer Services Panel provide for its recommendation?

A. At page 86 of its testimony, the Staff Consumer Services Panel argued that there is not "enough information regarding the cost effectiveness of this program" and that it "will generate additional costs when affordability is a key issue facing customers today." The Panel also contended that the program is "redundant to the CC&B system."

Q. What rationale did Mr. Carpenter provide for his recommendation?

A. At pages 191-192 of his testimony, Mr. Carpenter argued that the CEP was "inadequately justified" with project elements "unnecessary to maintain existing operational standards" and that do not "fill an immediate need."

Q. Does the Company agree with Staff's rationales for recommending that the Commission reject the CEP?

A. No.

Q. How does the Company respond to Staff's assessment of project elements being unnecessary and unjustified?

A. The Company views continually improving the customer experience to meet rising expectations as a business imperative, particularly in today's landscape of increasing call volume and complexity, as detailed in the Company's Customer Operations Panel testimony. By leveraging the CEP

to adopt a personalized customer relationship management approach, the Company will enhance the customer experience in a number of ways. For example, by integrating information in a single platform, customer-facing employees will be equipped to provide customers with more holistic solutions, including bundled programs, services, rates, and tools to help customers achieve their individual energy goals. Further, customer-facing employees can leverage contextual information to guide customers on relevant clean energy, payment, and assistance programs.

Q. How does the Company respond to Staff's comments that the CEP "does not fill an immediate need?"

A. The Company has invested in modernizing its IT systems to support both operations and the customer experience, including CC&B, PEGA, Customer Project Management System (CPMS), and others. While these systems provide their own discrete value to the Company and to our customers, the Company needs to integrate them through a CEP to unlock their full value and realize the strongest possible return on these technology investments.

Q. Why is a single interface for customer-facing employees necessary to maintain operational standards?

A. When serving a customer, depending on the inquiry and investigation required, a CSR could need to cross-reference a large number of systems, such as CC&B for billing and rate information, the Meter Asset Management System (MAMS) to confirm meter presence, Profield for un-synced field reports, CPMS for active energy service cases, and PEGA for scheduling meter appointments. Accessing these disconnected systems one by one for each customer interaction is inefficient and fails to provide a comprehensive picture of a customers' needs. The CEP will improve business efficiencies and reduce silos by integrating more than 15 IT systems and presenting this information in a single interface. Through the CEP, the Company will reduce the need for CSRs to access multiple systems and provide them with a more complete picture of an individual customer's account needs and opportunities and help CSRs maintain service levels in an environment of increasing call volumes and complexity.

Q. Please provide an example of how the CEP uniquely meets customer needs.

A. High bill inquiries demonstrate how the CEP uniquely meets customer needs. Today, if a residential customer in a multi-family home contacts customer service with concerns

about a high bill, a CSR will first check the account in CC&B for usage patterns and seasonal history and to determine if readings were actual or estimated. But this information alone would not show the entire picture of what might cause a high bill. For this reason, the CSR would next navigate numerous screens and various external systems to review customer account details and provide solutions. This analysis can include a review of patterns in meter history, identifying meter exchanges or switched meter complaints, viewing usage spikes by day and by hour to identify increased consumption, and reviewing seasonal comparisons and daily temperatures. Based on their analysis, the CSR could draw conclusions about the high bill and, for example, inform the customer that the increase is likely due to extended air conditioning usage during a recent heat wave.

With a CEP, the CSR would leverage the Interaction Dashboard to see all applicable information regarding usage spikes and patterns in one place, eliminating the need to check multiple systems. Further, in this dashboard, the CSR would see that the customer is not enrolled in an energy-savings program and that they have an electric vehicle they charge at peak hours. Most of this programmatic-level

information is not easily available to the CSR in the absence of CEP. With this information at hand through the CEP, the CSR can have an informed and productive conversation about usage, best practices, energy efficiency tips, and eligibility for relevant programs to help the customer optimize energy usage and save money.

Q. How does the Company respond to Staff's comments that the CEP is redundant to the CC&B platform?

A. The Company disagrees. CC&B and CEP are separate and complementary platforms that together improve how the Company serves its customers. But CC&B is not intended to be a customer relationship management tool, nor is it designed to support a CSR through a customer's entire journey - including communications, program-level information, and customer service. The CEP will bridge CC&B data gaps by centering around customer interactions and insights – many of which are not accessible through CC&B - while CC&B will continue to support business processes and operations. Layering a CEP on top of a utility's billing or customer information system is a leading industry practice. Benchmarking during the CEP discovery phase found that at least 26 utilities are using a dedicated CEP tool alongside their billing systems.

Q. How would the CEP improve the Company's cybersecurity?

A. Cybersecurity risk is reduced when users access a single platform and complete transactions via APIs that communicate with other systems rather than access a multitude of systems to resolve customer inquiries. As more systems integrate with the CEP, fewer individuals will require access controls to those systems.

Q. What is the impact of not implementing the CEP in the next rate period?

A. Delaying the implementation of the CEP will only serve to increase costs because potential efficiencies in this rate period, such as improving training and change management, may not apply in future periods. In the absence of a CEP, siloed information systems will continue to provide incomplete views of customer interactions, which complicates the efforts of CSRs to assist customers. The current lack of systems integration limits employees' ability to effectively promote integrated solutions that align programs, services, tools, and rates with customers' energy needs, thereby hindering informed customer decision-making and increasing call handle times.

Q. Did the Company receive any other intervenor testimony regarding the CEP?

A. Yes. On pages 34-35 of its testimony, NYECC also recommended rejecting the CEP on the grounds that there is "no evidence indicating that the benefits arising from the project will outweigh the costs" and that the project's workflow improvements, new features, and streamlining are "not necessary to maintain the Company's current operational standards."

Q. How does the Company respond to NYECC's statement?

A. The Company disagrees, consistent with the Company's rebuttal to Staff's testimony above.

Q. Did NYECC provide any additional rationale for its recommendation?

A. Yes, NYECC argued that the Company "has not identified customer satisfaction survey results or average call handling times that it seeks to achieve with the Customer Engagement Platform" as a basis for its recommendation.

Q. How does the Company respond to NYECC's rationale?

A. The Company is mandated to survey customers, and they provide feedback on issues that could be addressed by a

CEP. Additionally, the enhancements to customer service processes resulting from a CEP are necessary to meet the rigorous metrics and targets the Company is already subject to in today's increasingly complex environment.

Customer Analytics, Reporting and Engagement (CARE)

Q. Please explain the Customer Analytics, Reporting, and Engagement (CARE) program.

A. As discussed in our initial testimony (Exhibit_IT-5), CARE (formerly known as Customer Recommendation and Analysis Tools) provides a clean energy digital experience through tools to facilitate decision-making, accelerate clean energy technology adoption, and support State and City climate and clean energy goals.

Since 2023, CARE has grown and expanded, launching a consolidated and searchable energy efficiency rebate experience, deploying a customer scheduling tool for electric vehicle site assessments, and redesigning clean energy program web pages. Additional efforts underway include centralizing contractor resources, developing tools to guide customers through alternative rate options, and continuing redesign of clean energy program web pages.

Q. Did any parties comment on CARE? If so, which witnesses?

A. Two Staff panels -- Markets and Innovation (M&I), and Staff witness Carpenter (Staff Panels), NYC Electric Infrastructure Panel, and AGREE commented on CARE.

Q. Please discuss Staff's adjustments to the CARE program.

A. Both M&I (pp. 55-69) and Mr. Carpenter (pp. 188-190, and Exhibit_(AC-2))) recommended a RY1 Capital budget of $11.959 million, decreasing the Company request by $6.546 million. All other budgets between the two panels are different.

For capital in RY2 and RY3, only Staff witness Carpenter recommends a capital amount of $10.785 million, and $7.048 million for RY2, and RY3, respectively. The overall three-year capital decrease is $18.389 million from the Company's request.

As for incremental O&M, M&I recommended a budget of $2.778 million for RY1, decreasing the Company request by $1.442 whereas Staff Andrew Carpenter also recommended a budget of $2.213 million, $1.340 million, and $1.340 million for RY1, RY2, and RY3, respectively for incremental O&M, decreasing the overall request by $3.330 million.

Q. How did Staff justify its recommended budget?

A. Staff Panels (M&I, pp. 55-69 and Carpenter, pp. 188-190) claim that the Building Energy Usage Portal funding has been moved to a separate program and therefore is not needed in CARE; that the scope of CARE has changed; and that the program should reflect a level of contingency in line with historical performance. Staff O&M adjustment also removes two FTEs.

Q. Did Staff provide any additional recommendations for CARE?

A. Yes. Staff recommended allocation of O&M cost for the program to electric and gas customers based on the Customer Operations Common Allocation Expense Factor; and a downward-only reconciliation for CARE program O&M costs.

Q. What was Staff's justification for its recommendations?

A. For the cost allocation, Staff believes that because the applications will be used by Electric and Gas customers, the cost should be spread across these customers (and the Company agrees).

Staff recommends a downward only-reconciliation for CARE program O&M because the CARE program underspent its 2023 and 2024 authorized O&M budget, and to require the Company to preserve any unspent funds for customers if the Company underspends its O&M budget.

Q. Please explain other parties' recommendations.

A. The City describes CARE as a large, integrated program versus a more Agile, incremental program, questions the necessity and timing given a recent slowdown of the development of the clean energy market.

AGREE (pp. 58-66) states that there appear to be contradictions about which capabilities are committed and which are exploratory, provides comments about the program in general, and also provides recommendations regarding rate education tools and rate marketing, education, and outreach (MEO) strategies, such as rate tools and customer outreach approaches to support each stage of the customer rates journey, from pre-enrollment, enrollment, and post-enrollment.

Q. Before getting into the recommendations, what is CARE's relationship to the Building Energy Usage Portal (BEUP)?

A. BEUP is one of several projects developed in the CARE portfolio of projects to improve the customer experience. Design and build of the new portal began under CARE, but resources and funding for ongoing development and maintenance were requested in this rate case in a separate white paper and those forecasted costs were removed from

the forecast for CARE's request. BEUP is no longer part of CARE and there is no funding in this CARE request for BEUP.

Q. Do you agree with the Staff's rationale to decrease program funding?

A. No. CARE is a portfolio of projects to support customer engagement and participation in the Company's clean energy programs and to help meet the State's clean energy goals.

Staff's rationale misunderstands the work that needs to be done. While CARE enhanced the BEUP platform during 2023-2024, the program set other priority work aside to work on BEUP. As the recent CARE reports demonstrate, there is much work underway and to be done for CARE. For example, CARE is developing a Clean Energy Resource Center that centralizes information and tools for customers.

Given the move off BEUP-type work and fully into CARE work, using the historic spending level is incorrect. CARE is focused on this work and the budget should reflect the work needed to be done.

Moreover, for incremental O&M, as noted herein, this project, like many others, has an O&M tail and requires O&M for software licenses and hosting fees, contract resources, and ongoing customer journey mapping and market research.

Q. As to the FTE reduction, what work needs additional labor?

A. The requested incremental FTEs reflect resources necessary to support the overall CARE program and projects put into service. This includes product resources to manage changes or enhancements, such as updates to clean energy programs to reflect regulatory or program changes, and technical resources to support the maintenance of the product and address potential bugs and ongoing product testing.

In addition to supporting product maintenance and support, incremental FTE resources are needed to coordinate across the clean energy program teams to track clean energy policy and regulatory priorities or changes, assess impacts on existing and new products for strategic guidance, and identify potential overlap and opportunities for cross-functional product development or enhancements. For example, expanding the CARE program to support external clean energy professionals and electrification priorities requires coordination with multiple clean energy programs such as energy efficiency, E-mobility, and distributed generation, along with coordination with other Company organizations such as Electric Operations, Customer Operations, and Corporate Affairs.

Q. Please comment on the downward-only reconciliation for CARE's O&M budget.

A. A downward-only reconciliation of O&M for CARE is inappropriate. First, Staff has not provided any evidence that there is a need for this reconciliation.

Moreover, a downward reconciliation exposes the Company to all downside risk of cost overruns, while providing no opportunity for recovery if costs exceed the forecast. Imposing a downward-only reconciliation would hinder the Company's ability to leverage an Agile and iterative approach to product development and enhancement, and to respond to evolving customer and clean energy needs. This adjustment forces the Company to potentially postpone the work necessary to complete the project in the event costs are higher than forecast, even if the increased costs are outside the Company's control. Rather than address needs in real time, the Company could be forced to delay program updates, which will cost more to complete later.

Q. Please comment on the City's position.

A. First, CARE is a portfolio of distinct, and in some cases interrelated, projects that leverage an Agile and iterative approach to product development as explained herein. The

Company's addresses the City's comments with the exception of the next question later in this testimony.

Q. Do you agree that the clean energy market is slowing down?

A. No. While the clean energy market faces multiple headwinds, the market is still growing even if the growth rate may slow. Even assuming the City is correct and it is slowing down, to meet the Company's and State's clean energy goals, the Company must continue investments, like CARE, to support customer education and engagement in clean energy programs to facilitate the needed customer clean energy participation and adoption.

Q. Do you agree with AGREE's description of CARE?

A. No. AGREE incorrectly states that there are contradictions about which capabilities are committed and those that are exploratory. CARE commits to implementing enhancements that support customer exploration of rate options available based on clean energy technology adoption. As described above, the Company is taking an iterative approach to developing rate products, beginning with a rate education module to facilitate residential customer understanding of components of their utility bill and the alternative rate options available. Please see the quarterly filings on

CARE's progress regarding new, existing, and upcoming products.

Q. Please comment on AGREE's other recommendations.

A. These recommendations should not be required. As described, CARE uses a phased approach to product development. As part of this development process, the Company will assess potential rate product enhancements and develop products in phases to facilitate customer engagement and gather feedback for improvements.

Building Energy Usage Portal

Q. Please explain the Building Energy Usage Portal (BEUP) program proposal.

A. As discussed in our initial filing (Exhibit__(IT-5)), BEUP is an online digital product that provides aggregated Electric, Gas, and Steam building usage data to customers for local law compliance, benchmarking, and promoting energy efficiency across buildings. The Company developed and implemented BEUP and has been providing data to customers. However, in recent years, local law requirements mandate additional buildings to report this data. Therefore, the Company needs to evolve the current process to create platform flexibility to adapt to changing data

requirements and expanded user bases, strengthen data quality management processes, and deliver features requested by users.

Q. Did any party address this project?

A. Yes. Two different NYC Panels addressed this project. First, NYC's Electric Infrastructure Panel recommends the Company demonstrate strong justification and cost benefit analysis for BEUP work exceeding compliance or targeting user needs.

Second, NYC's Policy Panel asserts that there have been data quality issues, and that there should be strict oversight of the BEUP project due to overruns in budget and delays in timing.

Q. Turning first to the NYC Electric Infrastructure Panel, do you agree that that BEUP work should not exceed compliance and target user scope, and that it should demonstrate strong justification?

A. No. NYC takes a myopic view of this program, failing to understand that there are (and will be) other benchmarking data requirements. BEUP's work scope cannot be limited to NYC compliance and benchmarking user needs. Rather, the

platform needs to be able to service Westchester and its municipalities' benchmarking requests.

Q. Are there new NYC and Westchester requirements that BEUP needs to incorporate?

A. Yes. New York City Local Law 97 now requires benchmarking by Building Identification Number (BIN) instead of Borough, Block, and Lot (BBL). And Westchester municipalities are starting to mandate benchmarking; for example, the Landlord Registry Law of 2022, and Local Law 4 of 2016. In addition, the Company already files an annual report to the Commission on the performance of the benchmarking platform.

Q. Was this in the initial scope of the project?

A. No. These categories are not in the current platform as they were not previously required. It is only within the past 2-3 years that the City has made this request.

As discussed above, New York City Local Law 97 now requires benchmarking by BIN instead of BBL. These categories are not in the current platform as they were not previously required.

Q. Are there also proposed and/or expected additional compliance requirements?

A. Yes. For example, New York City is likely to include buildings over 10,000 square feet, not the current 25,000 square feet, as proposed in the City Council Bill Int 0185-2024. Additional Westchester municipalities could adopt similar local laws to the Landlord Registry Law of 2022, and Local Law 4 of 2016.

Q. Does the City have visibility into the Company's BEUP work?

A. Yes. In addition to monthly stakeholder meetings on this platform, the Company files an annual report to the Commission on the performance of the benchmarking platform.

Q. Should the Company be limited to only performing work necessary for compliance?

A. No. There may be other work that stakeholders want that may be above compliance and should be undertaken.

Q. Need the Company perform a cost benefit analysis for this work?

A. No. And the Company questions if the CBA comes out underwater, whether the City would still insist on the work.

Q. Will the work included for this project meet expected municipal requirements?

A. Yes. The proposed re-architecture will simplify platform adaptability to changes in Covered Building Lists going forward. To enable Westchester and New York City non-benchmarking customers to use BEUP's automations, similar data structure and website changes must be made. See Exhibit___(IT-13) for responses to DPS-47-982 and NYC-12-242 that explain the necessity of changing the BEUP to address local law data requirements. Adapting the platform and data model to accommodate known and expected policy changes, and the features that accompany those, enables the delivery of timely and accurate usage data needed by the target stakeholders and customers.

Q. As to the NYC Policy Panel's criticism, please explain the Panel's position.

A. NYC Policy Panel stated that there have been issues with the quality of data provided, such as incomplete data sets and erroneous usage information that undermines building owners' ability to comply with Local Law 97.

Q. Please explain the work that the Company has done to address previous NYC complaints about Con Edison's benchmarking platform.

A. In 2024 (for the 2023 benchmarking season), the Company launched an improved benchmarking portal that reduced

delays in providing data and addressed the stakeholder issues. The Company implemented stakeholders' requests to change from billing to metering usage data (AMI) for more precise source system data.

Q Do you agree with the NYC Policy Panel statements?

A. Most reporting systems will have scattered data issues. The biggest cause of data concerns reported by customers are due to factors beyond the Company's control. AMI aggregated data can vary from customer account billing data for a number of reasons including calendar versus billing trip calculation cycle, estimation and billing hold business reasons, account status, and included versus excluded meter services classes reported for local law compliance.

One of the most frequent causes of data issues is due to BBL changes by the NYC Department of Finance. When BBL information changes, it does not update automatically or frequently in the DOB database where the Company must retrieve data, resulting in incorrect data. This causes customers to contact Con Edison, the DOB, and the NYC Sustainability Help Center for assistance, resulting in a negative customer experience.

Q. Will the program address the NYC Policy Panel concerns about data?

A. Yes. The proposed re-architecture of the BEUP data model will improve data quality management and alleviate the current customer concerns. The plan includes creating tools for data quality management and reconciliation between business systems. This will give the Company insight into areas of divergence as they occur so that the correct logic can be applied to provide customers the most complete and accurate consumption data.

To address the problems caused by delays in the DOB reflecting BBL changes, the BEUP plan includes developing a technical process to regularly monitor the tax lot and BBL changes from the New York City Department of Finance to take steps proactively.

Q. Do you agree with the NYC Policy Panel that the BEUP project has had overruns in budget and delays in timing?

A. No. The Policy Panel did not cite any budget overruns or delays. The BEUP project was not over budget and was on time for the 2024 benchmarking season.

Q. Explain the position in the City of New York Policy Panel about BEUP's readiness for the 2025 benchmarking season.

A. The City incorrectly claims that Con Edison was not prepared to support customer needs related to Local Law 97 by the first reporting period in 2025.

Q. Was the BEUP tool ready for the 2025 season?

A. Yes. The system was tested and launched before the 2024 benchmarking season and was again vigorously tested and ready for 2025. All data issues discovered in 2024 were resolved and did not recur in 2025. In preparation for the 2025 season, the team completed an extensive data review and update.

Changes that have occurred this season are due to specific customer circumstances and were not widely impactful.

Q. What did the NYC Policy Panel state about the BEUP data process?

A. The Panel stated that consumption data is uploaded to customers' Energy Star Portfolio Manager (ESPM) accounts 1-3 days after a request is made, and that this request has to be repeated annually after March 1.

Q. Do you agree with this description of the BEUP benchmarking process?

A. No. The current process of setting up a property in the benchmarking portal and receiving data from Con Edison is

inaccurately stated as taking 1-3 days. The process was simplified significantly with the launch of the BEUP platform in February 2024 and is completed end-to-end in under an hour. It was also inaccurately stated that consumption requests must be repeated annually in March. Consumption data for a shared property is automatically uploaded monthly from the BEUP platform to ESPM with no further action from the customer.

Enterprise Data Privacy Program

Q. Please describe the Enterprise Data Privacy Program.

A. As discussed in the Company's initial IT testimony on page 41 and in Exhibit__(IT-5), page 145, the Enterprise Data Privacy Program is a comprehensive initiative designed to enhance the Company's privacy practices. It aims to meet growing customer expectations, manage Company risks, and help the Company comply with evolving legal obligations related to personal information (PI) and personally identifiable information (PII). This program is crucial as the Company continues to invest in technology to support its customers and operations, including the protection of an increasing amount of personal data that the Company obtains from its customers and employees.

Q. Please discuss Staff's recommendations regarding the Enterprise Data Privacy Program.

A. Staff recommended reducing the Company's proposed capital budgets for this program from $15.6 million to $5.063 million in RY1, from $16.8 million to $5.184 million in RY2, and from $9.36 million to $5.298 million in RY3. Overall, this represents a reduction of $26.215 million out of the $41.76 million total request, or nearly 63 percent, over the three-year period.

For the project's O&M budget, Staff recommended reducing the Company's request for $6.364 million in incremental O&M funding in RY1 to $2.065 million and recommended rejecting in full the Company's proposed incremental reduction in O&M funding of $1.968 million in RY2 and its request for an incremental $161,000 in O&M funding in RY3. Over the three-year period, this reduces the program's O&M request by $9.122 million.

Q. Did this reduction impact any requested FTEs?

A. Yes. Staff recommended the removal of seven of the 10 FTEs requested by the Company, commensurate with the reduction in project scope.

Q. What was Staff's justification for its recommendations?

A. Staff argued that the Company had not shown that the benefits of the project would outweigh their costs or that the Company's current standards and practices were insufficient or inadequate.

Q. Do you agree with Staff's rationale for its recommendation?

A. No. Staff states that its cuts will still enable the Company to continue improvements and support the original build work deployed in 2024. However, Staff's recommended reductions in the proposed budget and staffing for this program – including the activities that Staff has categorized as incremental improvements – would hinder the Company's ability to effectively manage and enhance its systems, processes, tools, and controls, which are required for compliance with federal privacy legislation, PSC-mandated privacy assessment recommendations, as well as to meet consumer and industry standards regarding data privacy. The Company also disagrees with the methodology Staff used to set its recommended budget levels.

Q. Why does the Company disagree with the budget reduction methodology?

A. Staff made its capital budget recommendation by inflating two years of historical spending (2023-2024) to 2026 dollars; Staff then reduced the Company's O&M request by the same percentage as the capital expenditures. This methodology is flawed, however, as the Enterprise Data Privacy Program has only recently been established, as evidenced by the fact that Staff only had two years of historical data to apply. As the program has not been fully implemented and stabilized, historical numbers do not provide an appropriate benchmark to anticipate funding needed to maintain and enhance the program.

Q. How will this program deliver value and avoid costs to the Company?

A. The purpose of this program is to enable compliance and risk management, as well as to meet customer expectations regarding their data privacy. The New York State Office of the Attorney General, under GBL §§ 899-AA, 899-BB, and 349, and the Federal Trade Commission (FTC), under Section 5 of the FTC Act, have aggressively pursued enforcement actions against companies that fail to protect consumers from harm when their personal data is exposed in breaches or other data loss incidents. Apart from the loss of public trust resulting from these incidents, settlements and agreements

from these enforcement actions often include costly remediation and upgrade work and significant fines. Federal regulators have also expanded their focus on how consumers' personal information is used for steads under the Controlling the Assault of Non-Solicited Pornography and Marketing (CAN-SPAM) Act and the Telephone Consumer Protection Act (TCPA).

Q. How do you respond to the statement that the current standards and practices are adequate?

A. Staff's position underestimates the legal and compliance risks that are mitigated by continuing to invest in this program.

Since the start of Case 13-M-0178, the Company has enhanced its overall privacy program, such as through the hiring of a Data Privacy Officer, performing PII annual assessments as required by Commission order, and establishing the Enterprise Data Privacy Program.

The Enterprise Data Privacy Program is required to sustain and continually evolve with the Company's approach to privacy compliance. For example, the program activities for which the Company seeks funding stem from recommendations from the annual PSC-mandated PII assessment conducted by

expert third parties. Through these assessments, the Company has received recommendations for "steady state" activities around automating Privacy Impact Assessment processes, developing a PII inventory and active directory for PII systems, mapping PII data flows, and supporting compliance surrounding data sharing and opt-out procedures. The capital enhancements proposed would enable the Company to meet additional PII Assessment Plan recommendations, such as by implementing workstreams that address data minimization, retention, and destruction practices.

With the exponential growth of customer data since the deployment of AMI and the ongoing growth of consumer data sharing, manual processes cannot keep up with or match the benefits of technologies designed for these purposes. The program creates efficiencies, transparency, and standardization as to how PI/PII is handled across the enterprise.

Q. How dynamic is the data privacy landscape?

A. Very dynamic, with frequent new and modified laws and regulations. There have been meaningful additions since the Company's initial filing in late January 2025. For instance, in April 2025 the Department of Justice released new regulations governing access to bulk sensitive U.S.

personal data. Within these compliance guidelines includes "risk-based procedures for verifying data flows and vendor screening," which the Company plans to address through the request for a third-party data sharing governance platform as part of the Enterprise Data Privacy Program. These compliance needs are also addressed through continually improving the Company's privacy management and privacy review processes, which the Company has sought to enable through a steady state privacy operations team.

Q. Are customers expressing their data privacy expectations to the Company?

A. Yes. Customers' engagement with the Company about their personal data and privacy rights continues to increase, with 249 data privacy inquiries received in 2024 compared with 97 in 2023. This trend has continued into 2025, with 103 data inquires received from January to May 2025. Even in the absence of a comprehensive New York State privacy law requiring fulfillment of these requests, the privacy operations team still has an obligation to respond to customer inquiries accurately and in a timely manner.

Q. Are there any cybersecurity concerns related to Staff's recommendations?

A. Yes. The National Institute of Standards and Technology (NIST) has the gold standard of cyber frameworks, as well as a privacy framework that shows the relationship between privacy and cybersecurity. For example, automated privacy workflows and robust data mapping programs support a strong cyber incident response, reducing the costs of incident management and enabling faster customer and regulator notifications. The Enterprise Data Privacy Program is designed to reduce the extent and impact of a cyber event by minimizing the retention of unnecessary data and limiting possible legal exposure in breaches.

Community Distributed Generation Platform

Q. Please explain the Community Distributed Generation Platform project.

A. As the Company discussed in its initial testimony in Exhibit__(IT-5) at pages 41-49, the objective of the Community Distributed Generation (CDG) Platform project is to provide ongoing enhancements to the Company's Value Stack Customer Platform, the technology solution that the Company uses to manage Value of Distributed Energy Resources (VDER) programs. Additionally, this project will provide additional staffing for the Clean Energy Market Operations, Business Technology, and IT Business Systems

Delivery (BSD) teams to enable the Company to manage VDER program growth and ongoing program operations.

Q. What was Staff's recommendation regarding the Community Distributed Generation Platform project?

A. Staff recommended on page 168 reducing the capital budget from $9.09 million to $4.922 million in RY1, from $9.91 million to $5.04 million in RY2, and from $10.69 million to $5.15 million in RY3, calculated by inflating historical 2024 spending to 2026 dollars. Staff proposed O&M reduced by the same percentage as capital, from an incremental $8.054 million to $4.361 million in RY1, from an incremental $845,000 to $430,000 in RY2, and from an incremental $510,000 to $246,000 in RY3. These reductions result in $14.577 million less in capital and $12.173 million less in O&M over the three-year rate period.

Q. Does Staff's recommendation include a reduction to FTEs?

A. Yes. Staff recommended rejecting all 19 FTEs requested by the Company.

Q. What was the basis for Staff's recommendation to reduce the Company's requested capital and O&M budgets?

A. On page 168 of its testimony, Staff argued that "the project contains several elements unnecessary to maintain

compliance with current regulations." Specifically, on pages 169-170 of its testimony, Staff argued that the customer self-service and operational efficiency enhancements are merely strategic and that there is no evidence that their benefits will outweigh their cost. For these reasons on page 170, Staff recommended that the Company instead prioritize project elements necessary for regulatory compliance.

Q. Does the Company agree with Staff's recommendation to reduce the capital and incremental O&M budgets?

A. No. First, the methodology to base the Rate Year 1 capital budget on historic 2024 spending and apply the same percent reduction to O&M is flawed, as this approach ignores future spending that is needed to address CDG-related business and regulatory needs. Second, the Company disagrees with Staff's assertion that elements of the CDG Platform project are not necessary for the Company to maintain compliance with both current and anticipated future regulations.

Q. Why is Staff's method of calculating capital and O&M reductions problematic?

A. The Company's 2024 capital spend reflects the implementation of a new minimum viable product (MVP)

version of the Value Stack Customer Platform, which included only essential core functionality. As a new IT project initiative, this MVP version of the Value Stack Customer Platform did not incur any operations and maintenance costs in 2024. In 2025, the Company advanced the platform from an MVP to full product version, incorporating expanded features and additional system integrations. This evolution necessitates additional FTEs for the Business Technology and IT BSD teams to manage ongoing operations, maintenance, and continuous improvement of the platform, but Staff's proposed method of calculating O&M reductions omits these necessary costs.

In addition to supporting the expanded functionality of the Value Stack Customer Platform, the Company also requires additional staffing across both IT and Business teams to build out critical integrations with upstream and downstream systems. These include the Meter Data Management System (MDMS) for accurate and timely meter information, two-way communication with the CC&B system to provide seamless customer account synchronization, and integration with the CPMS to support distributed generation tracking and settlement. These system linkages are essential for the platform to operate as a fully functional, end-to-end

solution that supports the growing complexity and volume of CDG and VDER programs. This is further evidenced by Attachment 2_CDG FTE Calculation of the Company's response to DPS-28-688, which shows that current staffing levels for Business Technology and IT BSD teams are insufficient to cover this expected growth in workload.

Moreover, Staff's approach to O&M reductions overlooks staffing levels required for the Clean Energy Market Operations team to support anticipated growth of VDER and CDG programs. As shown in the Company's forecasted trend analysis in DPS-28-688 Attachment 1_CDG Market Growth, the Company anticipates an almost 50 percent increase in VDER projects over the next year, from 984 in 2025 to 1,465 in 2026. Based on the Company's current VDER monthly generation and completion rates, the Company requires additional FTEs to manage this project growth.

Finally, Staff's O&M recommendation to reject all 19 FTEs requested by the Company is in no way "commensurate with the reduction in project scope," as Staff argued on page 170. Without funding to support any dedicated FTEs, increases in VDER and CDG participation levels may cause billing and crediting backlogs, which could lead to a poor customer experience and impact customer satisfaction.

Additionally, without staffing to manage technical and operational dependencies between the Value Stack Customer Platform and other data management and billing systems, the Company risks delays, data inconsistencies, and reduced service quality.

Q. Why is the CDG Platform project necessary to maintain regulatory compliance?

A. Since 2017, the Commission has issued more than 50 orders in proceedings related to VDER and/or CDG. Additionally, the Company anticipates future Commission orders, including new CDG program performance metrics for accuracy, timeliness, and responsiveness to customer and host inquiries. As detailed in the Company's response to DPS-28-688, despite the large number of Commission orders and rapid emergence of associated DER crediting programs, the Company's implementation and administration of such programs have not been previously funded. Specifically, funding is needed for a permanent, dedicated staff to continue administering DER billing and crediting programs and manage ongoing enhancements, operations, and maintenance of the Value Stack Platform, which critically supports and enables the administration of these programs.

The Company's proposed self-service and operational efficiency enhancements are necessary for the Company to continue providing timely and accurate billing, which the Commission's September 2022 Order Establishing Process Regarding Community Distributed Generation Billing in Case 19-M-0463 et al. states is "essential to the success of energy programs such as CDG." As detailed on page 45 of Exhibit__(IT-5), the Company's planned work will generate important improvements in the timeliness, quality, and accuracy of billing and crediting, such as a reduction in crediting cycle times and an associated improvement in DER project revenue streams that depend on these processes. Without these enhancements, the Company will depend on existing tools and manual processes that cannot be scaled to meet expected CDG market growth, which would negatively impact the customer experience.

Q. Has the Company demonstrated expected cost avoidance to be generated by this project?

A. Yes. As detailed in the Company's response to DPS-19-503, the Company estimated a total potential cost avoidance of $20.5 million for the CDG Platform project based on the potential for this project to eliminate the need to add up to 70 additional FTEs by the end of RY3. The Company

identified further cost avoidance in Attachment 3_Estimated CDG Cost Offset of its response to DPS-28-688. Specifically, the Company estimates $3.7 million of cost avoidance from Rate Year 1 to Rate Year 3 based on a reduction in outside consultants from eight to five as a result of the hiring FTEs requested for this program. Furthermore, the Company expects additional cost avoidance by transitioning the CDG platform from a vendor-supported model to one primarily supported internally by IT, reducing long-term reliance on external vendors and associated support costs.

Finally, these changes will enable the CDG program to scale up and effectively serve more customers who want to enroll, while also advancing the Company’s clean energy commitment and helping to achieve CLCPA goals by facilitating investment and participation in clean energy projects. The Company’s request, if funded, will also provide assurance to clean energy project developers that the Company is dedicated to this work and will keep supporting and enhancing its processes.

Billing and Payment Enhancements

Q. Please explain the Billing and Payment Enhancements program.

A. As discussed in Exhibit__(IT-5), the Billing and Payment Enhancements Program will maintain necessary processes and introduce new technology upgrades to improve the customer billing and payment experience. These enhancements will empower customers by increasing billing clarity, payment offerings, and program awareness. Specific activities outlined in this proposal include funding to maintain existing technology systems and processes, installation of modern kiosks in customer walk-in centers and non-Company locations, expansion of kiosk payment options to debit and credit card payment and digital wallets (i.e., Apple Pay, Google Pay, PayPal, and Venmo), and launching personalized video messaging to target customers for enrollment in the Company's paperless billing, budget billing, and auto-pay programs.

Q. Why is it necessary for the Company to replace its current kiosks with modern, upgraded kiosks?

A. Payments are one of the primary reasons customers visit the Company's walk-in centers. To better meet these customers'

needs, the Company has deployed kiosks to handle payments, allowing CSRs at the locations to assist customers with more complex transactions. The existing kiosks, however, are nearing end-of-life and require frequent maintenance, which impacts their availability for customers to make payments. In addition, the lack of credit and debit card payment options, which are now standard for payment transactions across industries, limit the kiosks' usefulness in meeting customer needs. The kiosks are further limited in that they can only support English and Spanish-speaking customers.

Deploying modern self-service kiosks addresses these issues. These upgraded kiosks will be available to more customers, including those who speak one of at least nine languages other than English or Spanish and those who prefer to pay via methods other than cash.

Q. Please discuss Staff's recommendation regarding the Billing and Payment Enhancements program.

A. In both Mr. Carpenter's testimony and that of the Staff Consumer Services Panel, Staff recommended that the Commission reject all capital and incremental O&M funding for the Billing and Payment Enhancements program.

Q. What rationale did the Staff Consumer Services Panel provide for this rejection?

A. On page 78-79 of that Panel's testimony, Staff argued that the Company does not need to replace "functioning" kiosks and that customer feedback suggests that the Company's proposals are not wanted or needed. Staff also wrote that the proposed enhancements are not needed at this time, especially in light of affordability concerns.

Q. Does the Company agree with the Staff Consumer Services Panel's rationale?

A. No, because this work is needed and required. While payment kiosks do exist in the Company's customer walk-in centers today, this equipment is nearing end-of-life and requires replacement. The current kiosks are incompatible with Windows 11, and the final version of Windows 10 used by the kiosks will reach end-of-servicing from Microsoft in October 2025. Moreover, as the current kiosks are at the end of their lifecycle, they require frequent service calls for hardware-related issues, with some out of service due to these issues.

Q. Does the Company agree with the statement "customer feedback overwhelmingly indicates these changes are not wanted or needed"?

A. No. The customer feedback Staff references from DPS-30-730, Attachment 5, was collected via a survey of customers who successfully completed payment using walk-in center kiosks. These results, however, do not reflect the experience of customers who were unable to complete payment at the kiosks because they were out of service. Customers' overwhelmingly positive experience with the kiosks reinforces the need to enable the continued availability of this method of payment by upgrading the kiosks as they reach end-of-life.

Survey results referenced in the Company's initial filing and in the Company's response to DPS-30-730 further reinforce the value of additional payment methods, particularly for underbanked or low-income customers. As described on page 8 of DPS-30-730 Attachment 5, survey results indicated 78 percent of these customers who previously used walk-in centers for payment would be likely to use a neighborhood kiosk located outside of a walk-in center. Further, those seeking improvements to the kiosk experience most commonly improved location and payment

options, consistent with the Company's proposed project activities.

Q. What other feedback did Staff provide in Mr. Carpenter's testimony related to this proposal?

A. On page 262 of Mr. Carpenter's testimony, he agreed with the Staff Consumer Services Panel that "the project is inadequately justified" and the program "adjustment was inadvertently excluded from the revenue requirement models and the revenue requirement approved by the Commission should reflect the removal of the project."

Q. Does the Company agree with the Mr. Carpenter's rationale for recommending that the Commission deny funding for the Billing and Payment Enhancements Program?

A. No, the Company disagrees with Staff's assessment. As mentioned above, the justification for this program is rooted in providing functional kiosks, while also expanding payment methods to provide more options for customers to better manage their payments – particularly those customers facing financial difficulties.

The statement related to the program's exclusion from revenue requirement models reflects a misunderstanding of the Company's IT Panel Update Testimony. In that filing,

the Company reported for this program an updated O&M request (now an incremental decrease) to reflect a reduction of $5.6 million annually over RY1-3 based on a renegotiated contract for document processing fees and credit and debit card transaction fees. This update does not reflect any prior exclusion of aspects of this program from the Company's revenue requirement as Staff suggests, nor did it impact the Company's revenue requirement.

Previously, the Company had not included document processing fees and credit and debit card transaction fees in its request, as no change in funding was needed from the historic test year. However, after completing a request for proposal (RFP) process for billing and payment services, the Company incorporated cost savings that would lower the overall Billing and Payment Enhancements program budget and enhance program efficiencies. As a result, the Company incorporated both historical costs and savings achieved through its negotiated contract into its Update to reflect these anticipated savings.

Q. Did other parties discuss the Billing and Payment Enhancements Program?

A. Yes, the New York City Electric Infrastructure Panel recommend that the Commission approve funding for the

upgrade of kiosks with essential features like broader payment acceptance and language options, but that it defer or disallow funding for advanced features such as videoconferencing due to a lack of justification.

Q. Does the Company agree with this recommendation?

A. While the Company agrees with funding the kiosk upgrade, it does not agree with deferring funding for advanced features. New York City's recommendation represents a misunderstanding of the Company's proposal. The videoconferencing option is not an add-on fee to the kiosk, but rather a standard feature that the Company can either activate or de-activate based on customer needs. As referenced in DPS-30-730, there are a variety of kiosk features that the Company envisions phasing in over the course of a pilot to determine those of the highest impact to customers. This is why the proposal intends to first pilot the modern kiosks to better understand which advanced features, language options, and payment methods will best meet customer needs and expectations. From 2026 to 2028, the Company will apply the findings from this pilot when replacing its broader kiosk fleet. Therefore, any deferral of funding is not necessary.

Back Office Automation

Q. Please explain the Company's Back Office Automation request.

A. By leveraging industry-leading software and systems, the Back Office Automation program aims to modernize, simplify, and streamline back-office processes. The program helps the Company issue timely and accurate bills to customers and avoid costs associated with manual work, such as those stemming from estimated and delayed bills and rate validation.

The program encompasses three main initiatives: (1) automating routine billing functions with Robotic Process Automation (RPA), (2) improving workflow and exception handling with PEGA Customer Experience System software (PEGA CXS), and (3) enhancing the Knowledge Advance (KA) platform for employees. This proposal, however, predominantly seeks funding for two essential system upgrades:

- **The migration of RPA operations to a new enterprise platform (PowerAutomate)**, which is necessary to replace legacy manual processes and realize cost avoidance by automating high-volume, rules-based tasks. While the enterprise project related to the migration to the Power Automate platform is discussed in Exhibit__(IT-9) Power

Platform Governance and COE, the Back Office Automation Program proposal includes necessary work to recode existing RPAs to integrate with the new platform. The Company intends to migrate Blue Prism to the Power Automate platform by 2028. If this recoding does not occur, the Company's existing RPAs would cease to function, leading to increased manual work for a large variety of activities, significantly reducing gained efficiencies, and negatively impacting customer service.

- **The retrofit and expansion of the PEGA CXS case management system**, which is critical for modernizing exception handling workflows generated by CC&B and enabling scalable, cloud-based customer service delivery. The migration plans for the PEGA CXS platform are discussed in Exhibit__(IT-7) Tech Modernization for PEGA Applications. As noted in the Company's response to DPS-16-414, the PEGA CXS platform is approaching the end of standard vendor support in September 2025 and the end of extended support in Q2 2027. The Back Office Automation Program work associated with this request includes rebuilding existing APIs and workflows between CC&B and the PEGA CXS platform. If these APIs and workflows are not rebuilt, many high-impact functions would cease to operate, as further described below.

Q. Please discuss Staff's recommendations regarding the Back Office Automation request.

A. On pages 186-188 of Mr. Carpenter's testimony, Staff recommended reducing the capital budget from $10.53 million

to $1.638 million in RY1, from $10.62 million to $1.678 million in RY2, and from $10.68 million to $1.715 million in RY3. Staff also reduced the incremental O&M from $6.938 million to $685,000 in RY1 and increased the incremental dollars for RY2 from $680,000 to $685,000 and for RY3 from $0 to $685,000. Over the three-year period, this represents a reduction of $26.799 million in capital and $16.568 million in O&M. Staff proposed this capital budget by inflating the historical spending to 2026 dollars and used a two-year linear forecast to calculate its recommended level of O&M.

Q. How does the Company respond to Staff's budget recommendation?

A. The Company disagrees with this budget reduction and its rationale because (1) the program's historic capital spending does not reflect its future needs, (2) the O&M reductions proposed are not representative of the true costs to operate the program, and (3) the three distinct workstreams in the Back Office Automation program cannot be cut to this extent and still be executed effectively.

Q. Explain why Staff's budget recommendations based on historic capital spending do not reflect future needs.

A. Reducing the capital budget based on inflating historical spending does not take into account the workstreams proposed in the Back Office Automation white paper in Exhibit__(IT-5), which highlights the ways in which historical spending fails to reflect future needs.

As referenced above, the requested capital funding is higher than historical spending due to planned enterprise upgrades that significantly impact this program. This is evident in the contract services and labor costs driving the bulk of the request, as outlined in Exhibit__(IT-5)(Back Office Automation Attachment 1 Request Details). For example, retrofitting specific back-office automation tasks within the upgraded PEGA platform will include updating the interface and workflows around high-impact functions that are central to customer operations and regulatory compliance:

- **Meter Operations Appointment Scheduling:** Allows call center representatives to create and manage appointments for AMI installations, AMI repairs, legacy meter readings, and other field activities.
- **Gas Line Inspection (GLI) Compliance:** Tracks customers who have not provided access for mandatory gas safety inspections. The system automates customer notifications, manages follow-ups, and issues no-access fees when appropriate.

- **Personal Services Field Investigations:** Supports the use of Digital Field Form R52 during field visits. This form automatically updates the CC&B system and routes work to the back office based on field findings, eliminating manual data entry and thus reducing errors.
- **Case Management for Shared Meter Conditions, Public Service Commission Complaints, Claims, and the Energy Affordability Program (EAP):** Automates intake, tracking, and resolution of complex case types, including regulatory complaints and energy assistance applications.
- **Credit and Inquiry Forms:** Facilitates the issuance of account credits and escalations through structured workflows like the Meter Operations (MOP) Inquiry Form and "We Guarantee It" Form, which allow for streamlined digital customer interactions.

Migrating these capabilities is not an optional enhancement, as they are embedded in daily operations and fulfill regulatory obligations. Without a fully supported and modernized PEGA CXS platform, the Company risks significant operational disruption, increased manual workload, and diminished service quality.

Similarly, migrating RPAs to the Power Automate platform will equip the Company to continue realizing current efficiencies by leveraging enterprise solutions. However, to realize these efficiencies, the Company needs capital

funding to migrate existing RPA processes. Otherwise, over time, the existing back-office transactions will no longer function because they will be unsupported due to the obsolescence of the existing platform.

Additionally, historical capital funding is not a reasonable metric for future spending, as it does not include historic spend for the Knowledge Advance platform, which was previously included in the CC&B budget but is now part of the Back Office Automation program.

Q. Explain why Staff's budget recommendation based on a two-year linear forecast for O&M is not viable.

A. The two-year linear forecast used to estimate O&M significantly underrepresents the Company's actual needs. The historical budget is not a reliable indicator of future requirements due to the platform upgrades discussed above. While the Company is capitalizing the RPA and PEGA development efforts tied to the new enterprise platform — leading to a decrease in Blue Prism license costs by 80 to 90 percent, which the Company already incorporated into its request — the full migration of RPA processes, particularly those supporting delayed billing and rate validation, will take up to two years to complete.

During this transition, the Company must maintain dual-platform operations. L

Q. Explain why Staff's budget recommendation would negatively impact the viability of all three program workstreams in this proposal.

A. The Back Office Automation program is composed of three distinct yet interdependent workstreams, each with its own scope, objectives, and resource requirements — including systems integrators, IT personnel, business staff, and augmented contractors. As such, the budgets for these workstreams are not interchangeable or reducible in equal proportion without jeopardizing the viability of the entire program.

Notably, many of the agile workflows developed in the last rate period have now moved into production. Insufficient funding would compromise the Company's ability to sustain the solutions already deployed. These workflows are actively delivering value, and any disruption in support would increase manual workarounds and lead to diminished returns on prior investments. See the Software Development Lifecycle Section earlier in this rebuttal for the Company's explanation for why Agile framework does not justify a reduction in the Company's budget request.

Q. Did Staff provide additional rationale for its funding recommendation based on historical project costs?

A. Yes, Staff argued that "total spending for the project in 2024 exceeded the avoided costs derived by the project," and as such "additional time" is needed to determine if the "cost avoidance arising from the project increases beyond the project cost."

Q. How does the Company respond to these statements regarding cost avoidance?

A. The Company disagrees with Staff's assessment and emphasizes that the historical cost avoidance achieved through this program far exceeds the associated expenditures. As outlined in the initial filing (Exhibit__IT-5, pages 12–14), the Company realized approximately $5 million in 2024 cost avoidance from RPA deployments. This is further supported by the Company's response to DPS-47-987, at Attachment 2, which details an additional $5 million in historic cost avoidance from PEGA CXS workflows.

In total, these initiatives delivered approximately $10 million in cost savings and avoidance in 2024 alone, against a total program cost of just $1.5 million. This

represents a return of nearly 7 to 1, underscoring the program's exceptional value and efficiency. These savings were not hypothetical; they were realized through reduced manual processing, improved accuracy, and faster resolution times across critical customer-facing and back-office functions.

Q. Did Staff provide any additional feedback regarding the Back Office Automation Program?

A. Yes. Staff argued that a "reduction in budget is warranted" due to "overlapping scopes" from other efforts to improve CSR workflows.

Q. Are there overlapping scopes between the Back Office Automation program and other proposals in this rate proceeding?

A. No. The term "back office" applies to a variety of teams and processes across the Company that touch customer billing. The Back Office Automation program, however, focuses specifically on automating repetitive manual tasks through three targeted workstreams that leverage RPAs, PEGA CXS, and Oracle Knowledge Advance solutions. Each workstream is purpose-built to address specific operational

challenges, streamline complex processes, and modernize legacy systems across key back-office functions.

In response to CECONY-6-62, Staff identified a number of Company efforts that it perceives as overlapping with those accomplished through the Back Office Automation Program. None of what Staff cited in fact overlaps with the work of this program, which instead complements these other efforts as the Company takes a multi-faceted approach to improving manual back-office processes.

Q. Are there other benefits of the Back Office Automation Program the Company would like to note?

A. Yes. To date, the program has delivered substantial and quantifiable benefits, including the cost avoidance discussed above. These enhancements include accelerated processing times, a reduction in manual administrative tasks, and improved data accuracy and consistency across systems. These enhancements have not only improved internal efficiency but have also contributed to better service delivery, faster decision-making, and increased employee productivity by freeing up resources for higher-value work.

Q. What are the risks associated with reducing Back Office Automation program funding as Staff recommended?

A. In addition to the risks noted above, underfunding the Back Office Automation program poses additional risks to operational efficiency and the customer experience.

The PowerAutomate platform is designed to handle a higher volume of RPA transactions than the existing platform. This migration is critical, as it enables more processes to be automated, particularly those related to billing. By increasing the number of transactions that can be processed through RPA, the Company can reduce the time required to correct and issue bills to customers, improving customer satisfaction.

In addition, for the Knowledge Advance platform, failing to invest in necessary improvements will limit the Company's ability to support efficient onboarding and real-time information delivery for both customer service and back-office staff. This could lead to longer training times, inconsistent service quality, and reduced first-contact resolution rates.

Contact Center Cloud

Q. Please explain the Company's Contact Center Cloud request.

A. The Contact Center Cloud program seeks to replace on-premises contact center applications, systems, and related infrastructure with cloud-based services for a user population of more than 1,300 employees. The migration to a Contact Center as a Service (CCaaS) platform is necessary because the current platform has reached end-of-life and will no longer be supported by the software vendor beginning later this year, and no extended vendor support will be available beyond 2027. This creates a critical vulnerability in the Company's ability to serve customers through its contact center operations. Without a modern, supported platform, the Company risks disruptions, degraded customer experience, and increased difficulty in maintaining compliance and reliability standards.

Q. Please discuss Staff's recommendation regarding the Contact Center Cloud request.

A. In Mr. Carpenter's testimony, Staff recommended reducing the Company's proposed capital budgets for this program by 30 percent each year: from $6.0 million to $4.2 million in RY1, from $4.5 million to $3.15 million in RY2, and from $2.0 million to $1.4 million in RY3. Overall, this represents a reduction of $3.75 million over the three-year period.

For the project's O&M budget, Staff recommended reducing the Company's requests for incremental spending by the same 30 percent. To that end, Staff recommended reducing the Company's request for $7.1 million in incremental O&M funding in RY1 to $4.97 million and the Company's request for a further $100,000 in incremental O&M funding in RY2 to $70,000. Neither the Company nor Staff proposed any incremental O&M funding in RY3. Over the three-year period this results in a decrease of $6.45 million in O&M funding.

Q. What reasons did Staff give for this recommendation?

A. Staff contended that the Company did not adequately justify all elements of the project. Staff also argued that because the Company has identified more than half of the project scope or included contingency funds in its request, it can modify the project scope to reflect Staff's lower recommended budget. Finally, Staff argued that the project was not justified because its total costs would exceed the Company's projected $7.42 million of avoided costs in RY2 and RY3.

Q. How does the Company respond to Staff's budget reduction rationales?

A. The Company disagrees with Staff's recommendation to reduce the project budget. First, the Company has adequately justified the need for this work. As discussed in the Company's white paper, the current platform has reached end-of-life and will no longer be supported by the software vendor later this year. Staff's testimony ignores this uncontroverted fact.

Second, because the Company must implement a new system due to the current system's impending obsolescence, the funding for this project is not linear and therefore cannot be cut equally across RY1-3 without significantly sacrificing project implementation. The proposed cuts to capital and O&M spending are not feasible because implementation costs are front-loaded. The project is fundamentally an end-of-life mitigation effort, with primary support for the legacy system ending in July 2025. Cutting costs in RY1 and early RY2 would jeopardize the migration to the new cloud-based telephony and interactive voice response (IVR) solution, which is essential to maintain service continuity. After July 2025, the Company will incur increased support costs for the legacy system, and delaying implementation of its replacement will actually increase the Company's overall costs.

Q. Why else does the Company disagree with Staff's comments regarding scope flexibility?

A. Staff incorrectly asserts in its testimony that there is time to adjust the project scope. As the Company outlined in response to DPS-25-596, the 50 percent scope completion noted for this project indicates that an RFP process is in progress. The Company reiterated this fact in response to DPS-19-504, DPS-24-570, DPS-46-956, and DPS-47-979. The fact that an RFP process is underway does not mean that there is flexibility in project scope, and, reductions in scope would not deliver a viable product. The costs laid out in this proposal are for foundational technology to run the Company's business and enable customer telephony and support. Ongoing agile work would be leveraged only after the implementation of this project's basic functionality and does not justify a reduction in scope at this point in the process.

Q. What has the Company learned from the RFP process?

A. The Company's anticipated costs are in the range of or potentially greater than what the Company requested in its rate filing. These findings suggest that Staff's proposed 30 percent cut would threaten the Company's ability to implement and maintain the license for the new solution and

would limit the number of CSRs who can use the platform, thereby increasing call answer time and degrading the customer experience. This is particularly consequential given that, while the Company has experienced a 10 percent total increase in calls over the first five months of 2025 compared to the same period a year earlier, as discussed in the rebuttal testimony of the Company's Customer Operations Panel, total incoming calls requesting a representative have risen even further, by 14 percent, over the same period.

Q. How does the Company respond to Staff's position that project elements are not adequately justified and fit "within the strategic and not operationally required category?"

A. The Company disagrees, as the project's benefits are clear and material. As discussed above, this work is necessary due to the imminent risk of obsolescence and so is operationally required for the Company to mitigate cybersecurity risks and risks to providing basic customer support.

Moreover, the Company has clearly articulated several benefits of implementation of a CCaaS solution beyond merely avoiding obsolescence. The CCaaS platform will

enable the ability to significantly enhance the customer experience through omnichannel engagement — allowing customers to interact via phone, email, chat, or text — thereby improving responsiveness and customer satisfaction. The solution also strengthens cybersecurity and compliance through modern protocols and built-in regulatory features.

This program also offers scalability and flexibility to adapt to changing short- and long-term demand without major infrastructure investments. With built-in redundancy and cloud-based disaster recovery options, CCaaS also provides service continuity during outages or emergencies. Additionally, the new platform will offer more robust analytics, real-time dashboards, and workforce optimization tools to help the contact center monitor performance, forecast demand, and manage staffing more effectively.

Q. How does the Company respond to Staff's position that "total costs for the project outweighs the avoided costs?"

A. The Company disagrees, as fundamentally the project is not intended to generate avoided costs that exceed its implementation costs. Rather, it is a necessary investment to mitigate the risk of failing to operate a critical customer technology platform required to meet expected

service levels beyond its supported life, in addition to providing the other customer benefits discussed above.

Customer Data Sharing

Q. Please describe the Customer Data Sharing program.

A. As discussed in Exhibit__(IT-5), the Customer Data Sharing program has been a vital Company initiative since 2018. This program supports the New York State Public Service Commission's data-sharing objectives to increase the availability of, and appropriate access to, system and customer energy usage data, as outlined in Case 20-M-0082, *In the Matter of Strategic Use of Energy Related Data*. The program provides customers, energy service companies (ESCOss), and authorized third parties with access to extensive energy usage and account data. As this data helps customers better manage their energy usage, this program also aligns with New York State's and New York City's clean energy goals.

Q. How many customers use this program?

A. The Customer Data Sharing program is currently used by 47 third parties for which the Company has received authorization to share data for approximately 70,000 customers, a number that is growing daily. Additionally,

two large customers have onboarded to the Large Customer APIs that together have around 8,000 accounts. In parallel, one ESCO has onboarded to the ESCO APIs. On average, there are more than 335,000 API calls daily from users of these platforms.

Q. How does growing customer adoption of this program affect its funding needs?

A. As more users take advantage of this platform and more customers engage with third-party energy service entities, the platform must be able to scale to accommodate increased data requests. This scalability is vital for supporting customer participation in clean energy programs and other third-party initiatives.

The proposed upgrades to the program offer important benefits, including improved data handling, enhanced reporting capabilities, and improved authentication processes, which are all essential for efficiently managing increasing data volumes and aligning with industry standards.

Q. Please discuss Staff’s recommendations regarding the Customer Data Sharing program.

A. On page 165 of Mr. Carpenter's testimony, Staff recommended reducing the Company's proposed capital budget of $2.5 million for each of RY1, RY2, and RY3 by 30 percent, to $1.75 million per year. Under this recommendation, total capital spending for the three years would be reduced by $2.25 million, from $7.5 million to $5.25 million.

Staff also recommended 30 percent reductions to the Company's requests for incremental O&M funding. For RY1, Staff recommended reducing the Company's request for $626,000 in incremental funding to $438,000, a reduction of $188,000. For RY2, Staff recommended reducing the Company's request for $42,000 in incremental funding to $29,000, an additional reduction of $13,000. For RY3, Staff recommended reducing the Company's request for $43,000 in incremental funding to $30,000, also an incremental reduction of $13,000. Over the three-year period, Staff's recommendations would reduce O&M by $603,000.

Q. What was Staff's rationale for its recommendations?

A. Staff argued that elements of this work, such as "Advanced Reporting and Dashboard Features," "Improved Batch Processing and API Capabilities," "Authorization and Authentication Enhancements," and "Optimized Data Handling and Queries," are unnecessary for maintaining current

operational standards. Staff also argued that the Company did not sufficiently justify these proposed enhancements by showing that their benefits would exceed their costs Staff further argued that there was no evidence that the Company needed to increase resources for onboarding or to timely resolve technical issues; that the Commission's Integrated Energy Data Resource order does not justify further enhancements and additions; and that because the project uses an agile development framework, the Company can reduce the scope of the project to Staff's recommended budget.

Q. Does the Company agree with Staff's recommendation?

A. No. Continued support for the Customer Data Sharing program and its enhancements are essential for meeting regulatory obligations and advancing New York's clean energy goals. Staff's rationale does not fully consider the essential nature of these upgrades and the meaningful financial, non-financial, and cybersecurity benefits they provide. Additionally, see the Software Development Lifecycle Section earlier in the rebuttal for the Company's explanation for why the Agile framework does not justify a reduction in the Company's budget request.

Q. What is the Company's response as it relates to cost avoidance?

A. The benefits of this program far outweigh its costs, both in non-financial ways, as outlined above, and through estimated cost avoidance, as shown in the Company's supplemental response to DPS-25-596.

Currently, nearly 70,000 customers have authorized third-party energy service entities to pull their data at various cadences depending on their specific needs. As outlined in DPS-25-596-Supp, the estimated time for Senior Customer Service Representatives (SCSRs) to manually pull interval data is 30 minutes for each of these 70,000 accounts. This equates to around $1.4 million of avoided costs to retrieve data just once per customer. As these third parties may need to retrieve data multiple times per year — whether monthly, weekly, daily, or otherwise — the potential cost savings achieved through continuous automated API access may be many multiples of that $1.4 million estimate. Staff's testimony ignores this cost avoidance.

Further, the program allows for faster retrieval of data and use for third parties, helping them not only avoid costs associated with manual data pulls, requests, or formatting but also enabling more timely data analysis surrounding demand response events.

Q. Are there other reasons why it is important that the Company obtain the proposed level of funding for this program in its next rate plan?

A. Yes. The Company must plan for performance upgrades for the data sharing platform, which must handle increasing volumes of data requests efficiently and securely as the number of users grows. Additionally, other internal systems that integrate with this platform may undergo updates, new features, or infrastructure improvements that require retrofitting or adjusting the data-sharing platform to maintain compatibility and functionality.

Q. Do you agree with the Staff's rationale that this work is not operationally required?

A. No. The elements outlined in the Company's scope of work are critical to maintaining ongoing system effectiveness and providing users with a seamless experience. This planned work is also essential to maintain operational standards and enhance the Company's data-sharing capabilities, such as by further automating access to large volumes of billing and energy usage data. The proposed work cannot be easily broken into "strategic" versus "required" components as Staff suggests, as all elements work together to promote a cohesive and secure data-sharing platform.

Underfunding any part of this work could undermine the entire system's effectiveness.

Q. What are the risks of adopting Staff's recommended funding reductions for this work?

A. There are significant risks with delaying this work due to inadequate funding. Postponing these enhancements would hinder the Company's ability to meet customer expectations and regulatory obligations. It would also limit the Company's capacity to support third parties effectively, ultimately impacting customer satisfaction and potentially stalling progress toward clean energy goals. Not proceeding with these upgrades also risks decreased operational efficiency and increased long-term costs due to system vulnerabilities and inefficiencies.

Q. Did any other parties discuss the Customer Data Sharing program?

A. Yes. The New York City Billing Panel cited the City's participation in Con Edison's and the New York Independent System Operator's (NYISO) demand response programs. Participation in these programs requires detailed and granular energy consumption data through an API, which allows for multiple points of access to the data, as well

as for the exchange of large quantities of data through Con Edison's Share My Data Portal. This testimony demonstrates the importance of this platform and the need for continued focus and resourcing to maintain platform stability and availability.

Q. Will the API be migrated to a new data platform?

A. Yes. In 2024, the Company implemented its Green Button Connect offering in compliance with Green Button Alliance standards. By migrating to a new data sharing platform, the Company became one of the first utilities in the country to achieve certification from the Green Button Alliance. This migration not only enhances the accuracy and reliability of shared data but also simplifies implementation and fosters trust among users. Certified platforms support regulatory compliance, protect customer privacy, and promote broader adoption by enabling seamless integration with other certified systems.

To reduce overheads in supporting multiple data sets across API offerings, the Company updated its Large Customer APIs to align with these changes. The Company is currently working with its third-party platform users to plan their migration to the new APIs under timelines and processes that respect their unique customer needs.

Q. Did New York City express any concerns about this migration?

A. Yes. New York City is the Company's largest user of the API. The City described developing its existing API with the Company as a "very lengthy and difficult process" because of communications challenges and the "extensive commitment of resources by the City and multiple rounds of testing, troubleshooting, diagnosis of problems, development of solutions, and re-testing" to resolve issues.

Q. Does the Company agree with New York City that its concerns are well founded?

A. No. The Company is committed to providing adequate support to its customers. This commitment has included standing check-ins, regular and transparent communications, and collaboration throughout the API development and migration process.

Q. Did New York City make any specific recommendations regarding this API migration?

A. Yes. New York City recommended that the Company:

- Apply all learnings from development and deployment of the current API to the implementation of the new API to

ensure customers' ability to timely receive accurate and complete data;

- Dedicate sufficient resources – whether internal, consultants, or both – to the implementation effort and to ensuring that the API is fully functional from both a utility and customer perspective, and not reassign anyone to other projects until the new API is 100 percent functional;
- Provide a clear migration timeline to its customers, as well as frequent updates regarding its adherence, and any changes, to the schedule;
- Continue to support the existing API until all data quality, communication, and other issues with the new API are fully resolved;
- Identify to the Commission and its customers a senior executive who is fully accountable for this project who will certify under oath to the Commission that the new API is fully functional; and
- Adopt a negative revenue adjustment if it cannot effectuate a fully functional API within a reasonable amount of time, shuts down or cuts off customer access to its existing API before the new API is functioning properly, and/or provides an incorrect or misleading certification.

Q. Does the Company agree with these recommendations?

A. The Company has already and will continue to apply learnings from the development and deployment of the

current API to the implementation of the new API. The Company is also committed to providing ongoing communications and support to its customers and to offer them ample time to test and migrate from the old platform to the new platform. The Company has held biweekly meetings with NYC's Department of Citywide Administrative Services (DCAS) since the fall of 2023 and is committed to continuing these forums to provide regular updates and address questions regarding the platform migration process.

For example, in November 2024, the Company sent a timeline to DCAS customers referencing an initial production date of March 2025. Over Q1 2025, the Company regularly and transparently communicated with its customers regarding the planned migration and a shift in timing to May 2025, at which time the platform was successfully put into production. The Company has provided DCAS with credentials and a 12-month period to Q2 2026 to test and migrate to the new platform.

The Company does not agree with the recommendations to assign additional executive oversight or impose a negative revenue adjustment, as these practices are not norms for information technology projects. Additionally, the Company plans to maintain team and communication continuity but is

unable to commit to not reassigning any team members to other projects, as the new API is already functional in production, and because different phases of projects require different resources. As such, the Company reserves the right to allocate its resources to meet its current needs.

Emergency Outage Communications

Q. Please explain the Emergency Outage Communications program.

A. As discussed in Exhibit__(IT-5), the Emergency Outage Communications Program will enhance the Company's emergency communications capabilities by acquiring the telecommunications bandwidth necessary to quickly reach large numbers of customers. This is a public safety initiative to allow the Company to reach its more than 3.7 million customers at scale with urgent and important messages via text, voice calls, and emails at the fastest speeds available.

Q. Please discuss Staff's recommendation regarding the Emergency Outage Communications Program.

A. In both Mr. Carpenter's testimony and the testimony of the Electric Resilience and Reliability Performance Mechanism

(ERRPM) Panel, Staff recommended rejecting funding the Emergency Outage Communications Program.

Q. What rationale did Staff provide for this recommendation?

A. Staff argued that current systems are effective and the proposed improvements lacked justification for their costs. On page 194 of Mr. Carpenter's testimony, he wrote that "there is no evidence that current process, which relies upon the broadband service providers' 'best-efforts' is insufficient for current needs." On page 136 of ERRPM's testimony, that panel similarly argued that the Company's current systems are "adequate" and that quicker customer alerts are "unnecessary." The ERRPM panel went on to contend that the Company has not provided "quantifiable evidence demonstrating… measurable improvements in restoration time and lower costs."

Q. Does the Company agree with Staff's rationale for its recommendation?

A. No. This work is needed and required, with clear public safety benefits. While the Company appreciates Staff's acknowledgment that its current outage communications efforts are effective, the use cases for the technology requested through the Emergency Outage Communications

Program are fundamentally different than the Company's day-to-day outage communications. This program is intended for large-scale emergencies that require the Company to reach very large groups of customers with urgent information. That scenario requires more dedicated bandwidth than is available from the Company's current systems. The "best efforts" for message delivery in today's current state would be insufficient in these large-scale emergencies, particularly where customers need to take action for their own safety. Further, the Company has not claimed that reducing outage duration or cost savings are primary drivers for this work; instead, this program is a matter of public safety.

Q. What is an example of the type of emergency the Company has experienced where its current communications technology was insufficient?

A. In 2018, two back-to-back severe winter storms, Riley and Quinn, caused significant customer outages. In the aftermath of the storms, the Company was fined upwards of $10 million for failure to adequately execute a utility emergency response plan and keep customers accurately informed during these events. In 2020, after tropical storm Isaias left 900,000 customers without power, DPS issued a

report about the area utilities' response, concluding that Con Edison and other companies failed to adequately communicate with those customers experiencing power outages as the storm intensified.

The Emergency Outage Communications Program's investment in dedicated bandwidth to deliver messages at large scale and with faster speed than the current technology allows would equip the Company to better support customers during these types of large-impact weather-related events.

Q. Can the Company further quantify why its current six-hour timeframe and "best efforts" to send mass communications is insufficient for these types of emergency events?

A. Yes. On December 24, 2022, extreme cold temperatures resulting from Winter Storm Elliott impacted the gas supplies needed to keep electricity flowing to New York City homes and businesses. At around 6 p.m. on that Christmas Eve, the Company sent a conservation appeal to customers via an email blast and text message campaign to attempt to avoid rolling outages. For that campaign, the Company sent text messages to 2.4 million cell phones (all mobile numbers available in the Company's Customer Information System at the time) and distributed 1.9 million emails.

The deployment of that notification took around six hours from start to finish, with the last customers receiving the text message past midnight. This prolonged distribution rendered the appeal to reduce electric usage, which required immediate action, ineffective. Fortunately, the Company and its customers avoided rolling blackouts because the pressure issue impacting gas supplies corrected itself, but that outcome was not guaranteed.

Q. Is acquiring dedicated broadband a practice used by other utilities?

A. Yes. In California, the three largest utilities have faced multimillion-dollar fines from the California Public Utilities Commission (CPUC) for poor execution of the Public Safety Power Shutoffs (PSPS), a preventive measure to protect the grid and the public as climate change makes the wildfires in the state more frequent, destructive, and deadly.

In 2022, Administrative Enforcement Orders penalized Pacific Gas & Electric $12 million, South California Edison $10 million, and San Diego Gas & Electric $24,000. The order determining PG&E’s penalty mentioned the company’s failure to provide advanced notification to approximately

50,000 customers and 1,100 medical baseline customers during three PSPS events, putting customers at risk. The CPUC directed all three utilities, as well as PacifiCorp, to take specific corrective actions to ensure that future PSPS events comply with the CPUC's public safety and notification requirements. As part of their mitigation plans, both PG&E and SCE have since acquired and implemented dedicated high throughput broadband for their communications systems.

The same is true for CenterPoint in Texas. The company acquired dedicated broadband capacity with telecom carriers to deliver 2 million SMS messages per hour after the devastation caused by Hurricane Beryl in July 2024. The brutal force of that storm, with 80-mile-per-hour winds, brought down thousands of trees and knocked out much of the electric system. More than 2.6 million people lost power for days during the summer heat. After it became the target of investigations by the Texas Public Utility Commission and the state Attorney General, CenterPoint committed to invest $5 billion on a resilience plan that includes improvements to its customer communications systems to protect public safety.

Q. Did any other parties comment on the Emergency Outage Communications Program?

A. Yes, NYECC argued the Emergency Outage Communications Program should be rejected, citing the Commission's decision not to fund it in the separate statewide resiliency proceeding as grounds to reject the program in this rate case.

Q. Does the Company agree with this recommendation?

A. No. NYECC's rationale is flawed, as the Commission determined not to fund the Emergency Outage Communications Program in the resiliency proceeding on the grounds that it was not specifically a resiliency program - not because the program lacked merit or would not benefit customers. As stated above, the Emergency Outage Communications Program is a public safety initiative. Funding the Company's proposal is in the best interest of customers and public safety.

III. Clean Energy/Operational Projects

REV-Grid Modernization

Q. Please explain the REV-Grid Modernization (DSP) project.

A. As discussed in initial testimony (Exhibit___(IT-6), pp. 33-40), the REV-Grid Modernization (DSP) functionality can

be categorized in three key areas: DER integration, information sharing, and market services. These functions and services improve the interconnection process, increase hosting capacity and reduce curtailments, optimize grid edge operations, and create value for both distributed energy resources (DER) and customers at the grid edge.

Q. Please discuss Staff's adjustments to the REV-Grid Modernization (DSP) project.

A. Staff recommends a budget of $50.359 million, $51.567 million, and $52.702 million for RY1, RY2, and RY3, respectively, for capital, decreasing the overall request by $16.612 million.

Q. What was Staff's justification for its recommendations?

A. Staff bases its reduction on the portfolio's historical spending levels and uses an inflation-adjusted average to establish 2026 dollars. While Staff acknowledges that the portfolio contains justified elements, Staff indicates increasing the rate of investment is not justified because data integrity is currently adequate, the Company can detect trends, and both current system investments and customer experiences are adequate. Staff states that there is no evidence that the benefits of the upcoming work will outweigh the costs. Staff concedes that investments may be

necessary in the future, but claims they are not needed now.

Q. Do you agree with the Staff's rationale for its reduction?

A. No. For REV-Grid Modernization, applying historical spending levels to guide future allocations will not meet the increasing needs of our distribution system or advance the clean energy future. There are several areas that will necessitate significant enhancements in the next few years. For example, the New Efficiency: New York (NENY) Order (Case 18-M-0084) outlines a focus on energy efficiency and building electrification in support of the CLCPA goals during the next rate period. The new NENY programs require a build-out of additional features that our current DMTS cannot support, such as the shift in tracking savings calculations from annual MMBTU to lifetime MMBTU, and new Regional Weatherization Programs envisioned by the recent NENY orders. As the regulations evolve, our systems must evolve to maintain regulatory compliance and improved functionality. By proactively enhancing this system, the Company can meet the requirements of new programs and provide better tracking and reporting capabilities.

Q. Please continue.

A. The current Interconnection Online Applications Portal (IOAP) needs enhancements to be able to support new

Standardized Interconnection Requirements (SIR) and additional interconnection applications. Regular changes to SIR guidance necessitate changes in the IOAP to reflect these new requirements. In addition, interconnection applications are increasing annually overall and are expected to increase by approximately 15% in 2026. Within that total increase, the non-standard applications are expected to increase at an even greater rate of approximately 54% in 2026, demonstrating not only an increase in number, but also in complexity. Investing in an enhanced interconnection portal will allow for seamless integration of new applications and help facilitate a smoother process for our customers.

Additionally, the increasing number of customers registering for demand response programs highlights a shifting landscape that our current systems must accommodate. Con Edison's behavioral demand response programs have experienced a 538% increase in customer enrollment from 2021 to 2024. Increased API capabilities, year-round enrollment options, and integrations with other Con Edison platforms, such as DERMS and PowerClerk, will expand opportunities for customer enrollments. With these new investments we can efficiently manage the larger

customer base, optimize energy savings, and enhance overall program participation.

Integrated Grid Management Visualization and Optimization

Q. Please explain the Integrated Grid Management Visualization and Optimization (IGMVO) project.

A. As we discussed in the Company's filing (Exhibit___(IT-6-Upd)), IGMVO represents a phased approach to centralizing intelligence, visibility, and operation of distributed energy resources (DER) across five key areas of operational need: DER Data and Program Management, DER Modeling and Simulation, DER Monitoring and Control, Grid Operations in Coordination with DER, and Program Dispatch and Market Coordination. IGMVO includes the Company's multi-phased DERMS effort to maintain reliable grid operations and optimization under increasing penetration levels of DER.

Q. Please discuss Staff's adjustments to IGMVO.

A. Staff recommended (p. 80) a 30 percent reduction in both capital and O&M for RY1. This recommendation provides for a capital budget of $18.863 million, $21.548 million, and $19.040 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $25.479 million. Staff also recommended an O&M budget of $2.118 million, $0.672 million, and $1.386 million for RY1, RY2, and RY3,

respectively, decreasing the overall request by $1.790 million.

Q. What was Staff's justification for its recommendations?

A. Staff claims the enhancements are strategic, that they provide new capabilities, improve efficiency or services, and that the benefits do not outweigh the costs.

Q. Do you agree with Staff's rationale for its suggestion?

A. No. As discussed earlier, whether the project is operationally required or strategic, that is not a reason to change the project's funding level. This project will help interconnect DERs, improve visibility and safety of DERs, and expand grid flexibility.

Grid Edge Renewable Laboratory

Q. Please explain the Grid Edge Renewable Laboratory.

A. As discussed in the Company's filing (Exhibit___(IT-6-Upd)), Con Edison will use the Grid Edge Renewable Laboratory (GERL) to evaluate, test, and certify Distributed Energy Resource Management System (DERMS) solutions, including utility and customer-sided clean energy technologies, to facilitate integration of these technologies with our grid. The GERL software and hardware environment is physically secure and isolated from

operational networks and the electric distribution system, allowing the Company to test and certify solutions in a cybersecure environment before introducing them to the Company's operating environment.

Q. Please discuss Staff's adjustments to GERL.

A. Staff recommended a funding decrease of 30 percent in both capital and O&M in RY1. Staff recommended a capital budget of $5.098 million, $5.569 million, and $4.687 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $6.580 million. Staff also recommended an O&M budget of $1.050 million, $0.420 million, and $1.890 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $1.440 million.

Q. What was Staff's justification for its recommendations?

A. Staff noted that prior investments in GERL were sufficient to meet immediate challenges. Staff also based its reduction on the evaluation that GERL activities are strategic in nature and that there is no evidence that the benefits outweighed the costs. Staff also notes that the project scope is 50 percent complete and the Company can modify the scope to fit the budget.

Q. Do you agree with Staff's justification for its recommendation?

A. No. The Company's plan is structured to meet near- to mid-term testing and certification needs associated with grid operational technology (OT) and hardware solutions for DER operational needs.

Q. Do the recent investments represent different purposes than the investments requested in this case?

A. Yes. The investments made in 2023-2025 represent foundational elements, such as engineering design, equipment identification, architectural design, and pre-development activities. This portion of the project in this proceeding represents investments required to operationalize the lab beyond initial design and build.

Q. Can the Company simply reduce the scope to fit within Staff's recommended budget? Explain.

A. No. Absent additional funding, the Company will not be able to link the lab's software and hardware environments to the necessary design, build, and test needs of critical technology, as discussed in the Company's pre-filed testimony and exhibits. This reduction limits the Company's ability to design and deploy new customer programs and

technologies that encourage adoption of clean energy technologies needed for achieving CLCPA requirements, which aim to modernize the electricity market framework to support the integration of DERs and promote clean energy.

EGIS Phase 3, eGIS O&M Support, and Clean Energy Mapping

Q. What are the projects related to eGIS in this proceeding?

A. There are three requests in this proceeding related to eGIS, they are Enterprise Geographic Information System (eGIS) Implementation Phase 3, Enterprise Geographic Information System (eGIS) Support (which is an O&M only request), and the Clean Energy Mapping Platform. While these are three discrete items, there are some interrelationships among them, so we are discussing them together.

Q. Please explain the eGIS project overall, including phase 3.

A. In 2019, the Company started its three-phase electronic mapping platform project.

Phase 1 was completed in 2022 and transferred all the electric low-tension plates (16,000) and all the Gas plates (8,000).

Phase 2 was completed in 2024 and transferred all medium voltage feeders (2,800) and the Staten Island Mapping system.

Phase 3 is currently scheduled to be completed in December 2026 and will transfer all the plates (15,000) containing the conduits that hold cables in our underground systems, as well as 64,000 manhole detail drawings.

Q. What work remains to be done in eGIS phase 3.

A. The work remaining to be done is application testing and then the actual migration of the 79,000 items mentioned above. At this time, the work that has been completed includes:

- Finalization of all functional requirements
- Completion of initial vendor coding associated with this phase
- Receipt and review of pilot data

Q. Please discuss Staff’s adjustments to the Phase 3 project.

A. Staff recommended a budget of $14.33 million, $14.33 million, and $14.33 million for RY1, RY2, and RY3, respectively, splitting the overall request over the 3 years instead of the $43.3 million over the one-year period based or RY1 on the Company request.

Q. What was Staff's justification for these recommendations?

A. Staff believes (p. 232) that this is a strategic project with elements that are insufficiently justified, citing the addition of "expanding the scope to include 41 additional data elements." Staff states (p, 233) that there is a $70 million differential between the Company's initial estimate and that this differential "edges towards the project costs and avoided costs netting to zero." Staff then contends that because avoided costs was part of project justification, "continued reductions to the net avoided costs is a cause for concern." Staff subsequently concludes that a reduction to the project is warranted.

Q. Do you agree with Staff's assessment?

A. For several reasons, we do not. There are several issues with the information Staff presents here.

First, in 2019, the Company estimated Phase 3 costs of $125 million, which was clearly described as a preliminary number and subject to change. In fact, the Company's eGIS business plan that was filed in 2019 noted that "[w]hile the Company currently estimates that Phase 3 will cost $125 million, the Company has not yet fully designed and developed final cost estimates associated with migration of

the conduit mapping system under Phase 3. Phase 3 is the most complex piece and, its final cost will be affected by rapid changes in how GIS technology is evolving, enabled by emerging technology trends in analytics, artificial intelligence, and cloud computing." ((Exhibit __ (EIOP-3) Schedule 2 Page 28 of 71, filed on June 14, 2019).

Subsequently, the 2022 rate filing provided additional details on Phase 3 activities as well as an updated Phase 3 estimate of $140 million, as that work would now be part of the 2023-2025 revenue requirement (it was beyond the scope of the 2019 case revenue requirement). At the time of the 2022 filing, with the updated phase 3 costs, the calculated net benefits expected from the overall initiative remained positive.

Q. Have the expected costs for Phase 3 changed since the 2022 filing?

A. Yes, in this proceeding, we are requesting an additional $20 million, bringing the Phase 3 cost to $160 million to accommodate three items that were not anticipated in the 2022 filing. These items include: (1) an increase in price for the vendor's license and maintenance agreements of $10 million; (2) due to Con Edison's extensive underground system and the focus on the safe operation of the

electrical grid the Company included new functionality that the vendor tool did not initially have available (at a cost $2 million); and (3) an additional $8 million for required cleanup activities expected from data migration discrepancies during the Phase 1 and Phase 2 merger into Phase 3 conduit manager, that were an outfall of the pilot testing noted above.

Q. Do these updated costs support Staff's assertion that "continued reductions to the net avoided costs is a cause for concern"?

A. No. The calculated net benefits expected from the overall initiative remain positive, even with the updated Phase 3 costs.

Q. Please respond to Staff's statement that this is an insufficiently justified strategic project.

A. This blanket statement ignores any specific evaluation of the benefits provided by the Phase 3 work overall as well as the additional scope that has changed since the 2022 case. We would also point out that Staff does not recommend a rejection of the funding required for the remaining Phase 3 work, rather they only suggest it be spread out across 3 years rather than being spent in RY1 as proposed. Staff's

recommendation only delays the Company's ability to begin fully realizing the planned cost avoidances by an additional 2 years and potentially increases implementation costs through delay.

Q. Please explain how spreading the implementation costs over 3 years would impact the project costs in more detail.

A. Splitting the GIS Phase 3 2026 project funding over three years is not feasible due to our current schedule and vendor contracts ending in 2026. We are currently contracted to spend $12.8 million with our vendors for project completion by December 2026. Extending the project will add $17.7 million in costs due to contractual extensions and additional internal resource commitments.

Q. Turning to the other eGIS request, please explain the **Enterprise Geographic Information System (eGIS) Support** program.

A. As discussed in our filing (Exhibit __ (IT-4-Upd, pp. 11-15)), for the eGIS system already implemented with Phase 1 and 2, incremental O&M funds are needed to purchase Licenses and Maintenance contracts to allow employees and contractors (as needed) to use the digitized maps, and to

install security patches, fix bugs and make platform modifications.

Q. Please discuss Staff's adjustments to the O&M request.

A. Staff recommended an incremental O&M increase of $1.660 million, $1.669 million, and $1.669 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $10 million.

Q. What was Staff's justification for its recommendations?

A Staff claims that O&M should be reduced commensurate with the suggested reduction to the eGIS Phase 3 capital work. They also misunderstand the purpose of the request, stating that the Company "is already purportedly deriving value from the system, and my recommended budget includes a reduction to eGIS hase 3 spending, a reduction in budget is warranted."

Q. Do you agree with Staff's rationale for its reduction?

A. No. Staff misunderstands the specific needs represented by the incremental O&M requested and the benefits being derived.

First, the O&M costs requested have no relationship to the Phase 3 capital costs (and the cuts to which the Company disagrees with). The requested amounts are primarily

required to operate and maintain our Electric and Gas system s. These were initially capital costs but now have become an O&M tail since the systems are live.

Q. Please continue.

A. This incremental cost increase was expected, as the legacy mapping systems required minimal licenses. The new platform, supported by vendors, incurs fees for licenses and Extended Maintenance Support agreements: ESRI licenses at $2.5 million, Schneider Electric licenses at $2 million, and Schneider Electric maintenance at $1.3 million. Total incremental costs are $5.009 million, necessary for licenses and maintenance contracts. Reducing O&M funding to $1.666 million annually does not provide support for the system

Q. What about Staff’s statement that a reduction in O&M is warranted since the Company is already deriving value from the system?

A. The benefits being derived are from factors that include Operations efficiency and above-mentioned avoided costs for support for legacy application, had it remained in place. Many of the savings/avoidances appear in the operational areas that use the system through other process

efficiencies, outside of the specific O&M required for the system itself.

Q. Now please explain the **Clean Energy Mapping Platform** project.

A. As discussed in our filing (Exhibit __ (IT-6, pp. 12-21)), the Clean Energy Mapping Platform project updates the Company's existing eGIS platform to align with the vendor's next platform iteration, UN eGIS platform. The current platform, GN EGIS, is expected to reach end-of-life by 2028. The platform upgrade will enhance tools for monitoring network performance. It includes technical improvements that support the clean energy transition, such as improved tracing capabilities and better access to data in the field due to optimization for web services. Additionally, it allows for displaying assets in 3D. The upgrade also enhances cybersecurity by providing vendor support during cyber events through maintenance contracts and the ability to install patches that fix vulnerabilities.

Q. What was the Company's request for this platform?

A. For capital, the Company's filing requested $30 million, in RY1, $35 million in RY2 and $35 million in RY3.

Q. What were Staff's adjustments to the Clean Energy Mapping Platform?

A. Staff recommended removing the entire funding request for this project, decreasing the overall request by $100 million.

Q. What was Staff's justification for its recommendations?

A. Staff believes (p. 241) the project is not adequately justified and believes that, since product support for the GN model underlying the eGIS sunsets in 2028, there is no immediate need for this work. In addition, Staff suggests (p. 242) completing Phase 3 of the eGIS project *before* starting the Clean Energy Mapping Platform, and "the Company should focus efforts on finalizing system transitions and optimizing current system integrations." (pg. 242)

Q. Did any other party recommend adjustments to this program?

A. Yes. NYECC fully rejects the Company's funding request.

Q. What was NYECC's justification for the adjustments?

A. NYECC asserts that the Company should delay the start of the program simply because extended support services could be requested to keep the existing platform running beyond the sunset date (p. 17).

Q. Do you agree with the Staff and NYECC's rationale for its reduction?

A. No. Delaying the project for even one year, much less three, is problematic. The vendor is sunsetting support for the existing platform GN in 2028, posing an imminent risk. The Clean Energy Mapping Platform is a multi-year initiative that needs to begin as planned to be ready before the GN's 2028 sunsetting. Staff incorrectly asserts that there is no immediate need for this project. We must be forward looking and working towards executing prerequisite activities for the sunsetting.

Q. Will the same work be done under eGIS Phase 3 and the Clean Energy Mapping Platform?

A. No. They are related but different efforts.

eGIS phase 3 digitizes plates and manhole detail drawings, which must be completed to have a fully digitized mapping system.

The Clean Energy Mapping Platform will move all digitized maps created as part of Phases 1, 2 and 3 onto a new platform.

Delaying the Clean Energy Mapping work until the Phase 3 work is completed will not allow the Company sufficient time to be ready for the 2028 sunset.

Q. What concerns does the Company have with waiting to undertake this work?

A. The Company's work plan relies on its vendors retaining their GIS resources for the upgrade, which they have provisionally agreed to do. If we do not proceed with the upgrade now, as planned, our vendors will reallocate these resources to other projects. This reallocation would result in future delays and increased costs for the future UN upgrade, as new resources unfamiliar with the current GIS platform would need to be onboarded. In addition, we cannot guarantee the vendors costs if we delay. As a result, Clean Energy Mapping Platform or UN upgrade will undoubtedly cost more if we delay.

OMS Resiliency and Sustainability

Q. Please explain the OMS Resiliency and Sustainability project.

A. As described in the Company's initial testimony (pp. 84-88, Exhibit __ (IT-6)), the Company is investing in upgrades and enhancements to the outage management systems used by

the Distribution Control Center and other operating groups to respond to electric outages. These investments are required to stay on supported technology, thereby minimizing cyber and other risks associated with obsolete technology. Additional benefits of making these required investments include improved system resiliency through new features and functionality. These include reduced downtime for patching and a streamlined user interface for operators.

Q. Please discuss Staff's adjustments to the OMS Resiliency and Sustainability project.

A. Staff recommended a capital budget of $9.394 million, $9.273 million, and $9.076 million for RY1, RY2, and RY3, respectively, decreasing the Company's overall request by $11.9 million. Staff recommended an incremental O&M budget increase of $0.373 million, $0 and $417,000 for RY1, RY2, and RY3, respectively, decreasing the overall incremental request by $338,000.

Q. What was Staff's justification for its recommendations?

A. Staff applied its 70 percent methodology, claiming that the project is insufficiently justified because there are some "unnecessary" elements to maintaining operational conditions and compliance with existing regulatory standards (p. 172). Staff notes (pp. 173-174) that this is

a strategic project and that given the expenditures associated with this project, the avoided costs as "insubstantial;" that there is no evidence that the benefits arising from the project will outweigh the costs; and given the scope level, the Company can reduce the project to fit into the recommended budget.

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No.

Q. Do you agree with the Staff's assertion that elements of the project are strategic?

A. No. As noted earlier, simply because a project is deemed to be strategic, not operational, does not mean funding should be decreased. Staff broadly categorizes these elements as strategic with no context as to why it makes this assertion. The project's work efforts span system monitoring and incident response improvements, SCADA integration improvements, Operations Mobile App (OMA) and GIS integration improvements - all of which are essential and operationally required to keep critical OMS systems running and maintain their level of service.

Q. Can you expand on why the Company deems these project elements as operationally required and not strategic?

A. The Operationally Required category of Capital Project Playbook, which Staff references at length in its testimony, includes "Emergency Response" which, by definition, includes "projects that keep the operations of the Company running i.e. data centers, call centers, business software etc." The work scope outlined in Exhibit___(IT-6) and referenced by Staff objectively fits within this definition. As noted above, these project elements are essential to OMS systems remaining stable, reliable, resilient, and avoiding obsolescence.

Q. Do you agree with Staff's statement that a reduction in budget is warranted because of insubstantial cost avoidance?

A. No. Cost avoidance is not the purpose of this project and, therefore, is an inappropriate basis for Staff's recommended reductions. Instead, this project aims to provide long-term sustainability of the OMS systems by staying current and upgrading key components of the OMS ecosystem. As the OMS is the most critical IT system for storm response, and OMS issues during storm events can directly result in reputational and other impacts to the Company, continued investment in this product space is required to, at minimum, maintain the existing level of service.

Q. Do you agree with Staff's statement that "the project contains elements unnecessary to maintain compliance with existing regulatory standards" (pp. 172)?

A. No. This statement is inaccurate as the project scope is required to maintain compliance with the PSC ordered 90% customer impact test. While the scope for the testing itself is covered under the IT System Testing COE project, the OMS systems must be maintained by performing version upgrades, hardening the SCADA integration to the OMS, and performing GIS integration improvements – which are critically important, as GIS serves as the source electric model for all OMS operations. These efforts will help the Company maintain compliance with the 90% test requirement and, more importantly, enable the OMS platforms to handle significant outages and continue to provide reliable service during major storms.

OMS System Hardening and Modernization

Q. Please explain the OMS System Hardening and Modernization program.

A. As the Company discussed in its initial testimony (Exhibit __ (IT-6, pp. 78-83)), the OMS System Hardening and Modernization program represents several projects to harden (i.e., reduce vulnerabilities and enhance security,

reliability, and operational resilience) and modernize (i.e., avoid technical obsolescence) critical outage reporting used by internal and external customers. This hardening and modernization include enhancements of the weather impact forecasting model to improve predictions of storm impact forecasts.

Q. Please discuss Staff's adjustments to the OMS System Hardening and Modernization program.

A. Staff recommended a capital budget of $9.515 million, $9.743 million, and $9.957 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $28.602 million. Staff recommended an incremental O&M budget of $532,000, $26,000, and $1.162 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $1.338 million.

Q. What was Staff's justification for its recommendations?

A. Staff calculated the recommended capital budget by inflating the average of historical spending to 2026 dollars. Staff reduced O&M by the same percentage. Staff notes that the current weather model is sufficient and that the applications downstream of the Outage Utility Analytics platform are currently functional; that there is no evidence that the benefits of these elements will outweigh

the costs; and that the various levels of project scope enable the Company to modify the scope to fit within the recommended budget.

Q. Do you agree that the Outage Map does not require an upgrade?

A. Although the Company stated that the Outage Map provides updates in a reliable and timely manner, the Outage Map vendor will end support of the current implementation of the Outage Map by the end of 2026. Staff's claim that "cessations of contracts with known and mutually agreed upon service terms cannot be reasonably considered an emergency, which the Oxford dictionary defines as "a serious, unexpected, and often dangerous situation requiring immediate action" (p. 28). This is work that needs to be done to address a known issue. It will only become an emergency if not completed and there is an issue with maintaining a sunset system.

Staying with the current vendor and not upgrading the outage map system would increase cyber risk due to being on unsupported software, which the current vendor cannot remediate. As this is the Company's external customer-facing outage platform, the Company must proactively address the current platform's imminent obsolescence by

moving to an industry standard and hardened Outage Map platform.

As to Staff's comment that the outage map currently provides update in a timely and reliable manner, we agree that it currently does. However, that will change as vendor support changes, which is why we are updating the product.

Q. Do you agree that the weather impact project should not be funded since it is deemed sufficient?

A. No. Although the current weather model maximizes existing technology that the Company has implemented, it uses limited data sources to produce an impact forecast, does not leverage detailed vegetation/foliage data, and is not integrated with the infrastructure data. Accurate forecasts enable utilities to better anticipate storm impacts, allowing for strategic pre-positioning of repair crews and resources. There are significant opportunities associated with improving weather forecasting, especially as this area of technology advances.

Q. Please explain.

A. The 5-day forecasts of today are as accurate as the 3-day forecasts of years ago. For instance, a Northeastern

utility improved its outage prediction accuracy by 20% using predictive analytics, leading to a 25% reduction in storm response costs and faster power restoration (please see https://www.esource.com/blog/701240mzij/3-ways-utilities-use-data-improve-storm-response-during-and-after-storm?utm_source=chatgpt.com). A more accurate weather model can improve impact forecasts, thereby reducing the number of mobilizations. Considering an FTE can cost $300 per hour, cost savings are an inherent and progressive benefit here.

Q. Do you agree that the applications downstream of the Outage Utility Analytics platform are currently functional and require no further investment?

A. No. As part of the recent OMS upgrade, the Company changed its process for customer outage reporting to use industry standard call clues. This allows more granular detail to be provided by the customer when reporting their outage. The OMS reporting systems (Oracle Utility Analytics and external facing systems) use an obsolete process called Trouble Types, which considerably limits conditions that customers can report with their outage. Maintaining data congruence and fidelity between systems is imperative for accurate customer communications during blue-sky days and

storms. As a result, the Company intends for its downstream OMS reporting systems to use call clues for a cohesive customer experience. Foregoing this change may result in customer communication inaccuracies and operational challenges.

Q. Do you agree that current reporting capacities are adequate and sufficient and require no investment in the upcoming rate period?

A. No. Oracle Utility Analytics (OUA) is the primary source for all internal and external outage reporting. The current version of OUA will be end-of-life by Q1 2027. The Company must upgrade the OUA platform to the latest version to avoid obsolescence security and operational risks.

Q. Is it reasonable for Staff to claim the project scope can be modified to fit within Staff’s recommended budget?

A. No. As described above, the stated project is operationally required to avoid technical obsolescence on internal and external outage reporting platforms. The costs of this project are reflective of the effort to achieve this goal. Completing these essential hardening and modernization projects requires the proposed budget.

Control Center Resiliency Phase II

Q. Please explain the Control Center Resiliency Phase II project.

A. As discussed in our initial testimony, Control Center Resiliency Phase II is a multi-year IT infrastructure and system maintenance, replacement, and security effort that aims to maintain the Distribution Control Centers' operations. This program is designed to replace critical electric, gas, and steam data and Control Center infrastructure. It will specifically address the replacement of the Operational Technology Central Management servers, the Gas and Steam Control Center SCADA Sever's and Workstation's, as well as the Electric SCADA support servers. It will leverage asset management solutions to deliver these hardware lifecycle refreshes in a more time and cost-efficient manner. This program will also continue to enhance and secure these systems, and the Control Centers themselves against potential vulnerabilities by enhancing, updating, and adding to current security measures.

Q. Is asset management a component of this project? If so, why is asset management a necessary investment in this space?

A. Yes. Asset management solutions allow an organization to manage IT resources in a structured manner. They integrate data from multiple sources, such as inventory, cybersecurity tools and real-time scanning to manage assets throughout their lifecycles. They enable the appropriate response to emerging vulnerabilities and issues. The white paper outlines required investments to stay on supported technology. Maintaining vendor support mitigates cyber risks and reduces the risk of failures associated with obsolete technology. In making these investments, the Company also accesses new features and functionality that will improve system resiliency and enable new features for users.

Q. Please discuss Staff's adjustments to Control Center Resiliency Phase II.

A. Staff recommended that the Company receive 70 percent of the budget because the project contains elements unnecessary for maintaining current operational standards. Staff opined that updates and upgrades to technology, developing an Asset Management system, and performing risk assessments are considered "strategic" and unnecessary for maintaining current operational standards. Staff also notes that the project is at various levels of completion and

therefore the Company can reduce the project scope to meet the adjustment.

Q. What did Staff propose?

A. Staff agreed to a capital budget of $4.403 million, $3.094 million, and $4.025 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $4.939 million.

For O&M, Staff recommended a budget of $2.170 million, $2.359 million, and $1.70 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $2.691 million over the three-year period based on the Company request.

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. Whether considered operationally required or strategic is irrelevant in the context of maintaining the resiliency of our Control Centers. Operational Standards readiness depends on having secure IT and OT infrastructure (Servers, Storage and Network Equipment) that can meet the performance requirements of the Distribution SCADA systems they support. Infrastructure that the Distribution Control Centers' systems currently rely on has been in service for

an average of 2 to 4 years and. Most systems will have reached their usable 5 to 6-year lifecycle and will need to be replaced during the upcoming three years. Failure to replace these systems in a timely manner as they approach End of Life or End of Support can lead to a degradation of Operational readiness and a failure to meet or maintain standards.

Q. Why are risk assessments and investments in advanced security technologies needed?

A. Managing Distribution Control Centers systems and resources over their useful lives and facilitating their timely replacement requires strategic and forward-looking planning to minimize operational impacts. Risk Assessments and investments in advanced security technologies are needed so that the replacement systems are implemented in a timely manner and configured securely.

GOSS and Gas Application and Hardware Upgrade

Q. Please explain the GOSS and Gas Application and Hardware Upgrade project.

A. As discussed in our initial testimony (Exhibit __ (IT-6, pp. 40-43) and Exhibit __ (IT-6-UPD, pp. 9-12)), the project is driven by operationally required, ongoing

replacement of the Con Edison gas SCADA system and associated application and hardware stack. The project replaces end-of-life and end-of-support applications and infrastructure used to monitor and control the Con Edison and Orange and Rockland SCADA system, identify and respond to high impact emergencies, and rapidly isolate sections of the Extra High Pressure system during a rupture event. Failure to replace these obsolete and unsupported applications and components will lead to increases in downtime, resulting in suboptimal reliability and service during normal and emergency conditions.

Q. Please discuss Staff's adjustments to the project.

A. Staff recommended reducing the project from the Company's original capital request of $3.0 million in RY1, $1.4 million in RY2, and $700,000 in RY3 to $2.1 million in RY1 and no changes in RY2 or RY3, decreasing the overall capital request by $900,000 over the three-year period. Staff also recommended a budget of $0.249 million for RY1, with no changes to the RY2 or RY3 request, for incremental O&M, decreasing the overall request by $0.401 million over the three-year period.

Q. What was Staff's justification for its recommendations?

A. Staff claims the project is insufficiently justified because it is a strategic project, that there is no evidence that the benefits will outweigh the cost and that the project attempts to meet uncertain regulatory requirements.

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. First, as already explained, whether the project is operational or strategic, it must be completed. So, categorization as strategic or operational is not relevant.

Second, as also explained, the fact that cost may outweigh the benefits does not mean that the project should not be undertaken.

Third, this project is to upgrade the Company's Gas Supervisory Control and Data Acquisition (SCADA) system and associated applications, which allows the Company to monitor and control the natural gas transportation system safely reliably. Delays or deferments in maintaining these critical assets increases the likelihood of application downtown, reducing reliability and the Company's ability to rapidly isolate emergency situations as required under 49 CFR 192.631 and 49 CFR 192.636. This is a regulatory requirement.

Q. Are there any other reasons to undertake this project?

A. Yes. First, this project began in April 2024 and is in-flight, with 31 percent completed. Second, as identified in Exhibit __ (IT-6-Upd (pp. 9-12)), the existing GOSS and associated application and hardware stacks have reached their expected end-of-life and end-of-support, and necessary to maintain existing levels of reliability and service.

- The existing GOSS, associated applications and underlying infrastructure have exceeded the vendors' identified EOL/EOS dates for mature products as published in the AVEVA Lifecycle Support Policy (attached), with continually diminishing reliability levels beyond these milestones.
- Moreover, the project applications and hardware enable Con Edison to operate and oversee the safety of a volatile commodity, gas. Failure to maintain support of these applications and associated hardware, subject to regulation under TSA Security Directives, presents a risk to personal, public, and environmental safety.

IT OT Tower Sustainability

Q. Please explain the IT OT Tower Sustainability project.

A. As discussed in our initial testimony (Exhibit __ (IT-6)), the IT OT Tower Sustainability project rebuilds outdated custom legacy mapping and outage management applications

for the Control Centers and the Maps and Records business units. The benefits include reducing cybersecurity risks, avoiding unnecessary costs for the legacy outdated applications. The project also allows use of latest technologies and sustaining application functionalities.

Q. Please discuss Staff's adjustments to the project.

A. Staff recommended a capital budget of $2.878 million, $2.962 million, and $3.729 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $4.102 million.

Staff recommended an incremental O&M budget of $0.21 million, $0.21 million, and $0.07 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $0.21 million.

Q. What was Staff's justification for its recommendations?

A. Staff applied its 70 percent methodology, basing its reduction on the Company's response to DPS-25-596 that the project would result in "modest" avoided costs. Staff also claims that the work proposed is strategic and that the benefits will not outweigh the costs. Additionally, Staff claims that because project scope completion is at 50 percent, the Company can reduce scope to fit within Staff's

recommended budget cuts. Staff also notes that since there were no expenditures, either capital or O&M in 2020-2025, the project will be in its initiation/planning stage. Staff also notes that the work description includes eGIS, OMS and Control Centers and since there were reductions in those projects, there should be similar reductions in this project.

Q. Did any other party recommend adjustments to this program?

A. Yes. NYECC rejects the Company's funding request in full.

Q. What was NYECC's justification for the adjustments?

A. NYECC argues that the Company does not always have to have the "latest and the greatest at more expense to ratepayers" (pg. 32) and that the current level of technology is adequate.

Q. Do you agree with the Staff Panel and NYECC's rationale for its reduction?

A. No. As indicated in the Company's response to DPS-25-596, the Company did not indicate that the project would result in "modest" avoided costs. Instead, the Company stated that "the *productivity increases* associated with the project are a tangential benefit and are expected to be modest."

Q. How does the Company respond to Staff's claim concerning the benefits relative to the costs of the project?

A. The Company will avoid about $812,876 annually for the Bentley software maintenance and subscription, as it relates to avoided costs under the GIS workstream through the IT OT Tower Sustainability project. Bentley is an outdated technology that we are trying to decommission. Without the requested funding, we will be forced to pay annually for this legacy application. Making an investment now, enables us to avoid this annual cost completely in the future, while using the implemented GIS platform with an enterprise licensing agreement that has already been purchased.

Q. How does the Company respond to Staff's claim concerning project elements being strategic?

A. The Company does not agree that strengthening cybersecurity "fit(s) squarely withing the strategic work category". The Company proactively seeks to strengthen our cybersecurity capabilities to mitigate any risk to our critical infrastructure, to avoid catastrophic outages cyber incidents and loss of customer trust.

Q. Does the Company agree with Staff's claim concerning scope completion?

A. No. The project scope cannot be adjusted to fit within Staff's recommendation. In the response to DPS-962 (under "DPS 962_Roadmap_5-7-2025"), the Company has refined the project scope completion to about 90% since its response to DPS-25-596. All required plans are in place.

IT SYSTEM TESTING COE

Q. Please explain the IT System Testing COE project.

A. The Company's initial testimony (Exhibit __ (IT-6, pp. 70-77)) explains that the IT System Testing COE (TCoE) is a centralized governance and testing services model that expands and standardizes processes across the organization for application testing of key systems (i.e., OMS, WMS, and GIS) before moving changes into production. The TCoE will establish consistent testing activities, standards methodologies, advanced tools, and structured processes across the organization, a process not currently in place. Among its tasks, the TCoE will also manage testing requirements, and address defect management. This COE is vital for maintaining process and software products.

Q. Please discuss Staff's adjustments to the IT System Testing COE project.

A. Staff recommends a capital budget of $14.185 million, $11.447 million, and $11.805 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $16.044 million. Staff did not recommend any adjustments to the incremental O&M budget request made by the Company.

Q. What was Staff's justification for its recommendations?

A. Staff applied its 70 percent methodology, claiming insufficiently justified project elements. First, Staff claims that its recommendations to reduce the scale and speed of work to the OMS, WMS, and GIS systems warrant a commensurate reduction of TCoE. Second, Staff claims a lack of evidence that the benefits of certain project elements will outweigh the costs and that the benefits of other project elements are either unquantifiable or already incorporated within other Company processes. Third, Staff characterizes the annual cost avoidance of $0.195 million is "insubstantial." Finally, Staff questions the necessity of the project for regulatory compliance requirements.

Q. Do you agree with Staff's assertion that budget cuts on the OMS, WMS, and GIS systems necessitate a reduction on this project?

A. No. As explained in testimony and herein, the Company needs to enhance its testing capabilities without delay, whether there are changes to these systems. This initiative focuses on testing standardization and process alignment across IT, along with providing testing services for the OMS, eGIS, and WMS systems. These efforts must be viewed independently from ongoing projects, as the Company's resources, systems, and procedures must mature to provide required levels of testing and governance.

The Company endeavors to build a single testing strategy that governs all IT systems, promoting appropriate testing practices for all applications within its IT portfolio. All systems will follow the same processes, with the goal of achieving no critical defects in production.

Q. Do you agree with Staff's assertions that the benefits of enhanced automation and AI integration do not outweigh the costs?

A. No. Enhanced automation and AI integration are needed for improving testing, knowledge management, and troubleshooting efficiency.

As an example, a single defect in OMS can disrupt numerous related applications, causing extensive delays. AI is pivotal in identifying past defects and improving testing

knowledge, allowing the Company to maintain product quality and stability. Although immediate financial benefits may not be visible, the long-term advantages, such as reduced downtime, will, over time, exceed initial costs. Further, TCoE enhances efficiency by enabling the Company to test more accurately, more frequently, and faster. As a result, the risk of a system issue decreases, safeguarding the Company's most critical systems.

Q. Do you agree with Staff's claim that the cited cost avoidance is insubstantial and, therefore, a basis for reduced project funding?

No. The purpose of this project is not to achieve cost avoidance. Cost avoidance, of any scale, is an additional benefit to the project's noted goals and expected enhancements.

Q. Do you agree with Staff's assertion that the IT System Testing COE is not regulatory mandated?

A. No. The Commission has mandated stress testing for OMS, for example. Any change in the OMS ecosystem must be validated. The TCOE is responsible for handling all the planning, coordination, and execution of the testing - which includes developing the necessary test scenarios for operational simulations of OMS systems and maintaining the baseline

performance of existing applications. The Company is required to report the results of these stress tests to the PSC annually by June 1. This testing is, as previously noted, independent of changes directly to the OMS platforms, necessitating this project.

OpNet

Q. Please explain the OpNet project.

A. As discussed in our initial testimony (Exhibit __ (IT-6, pp. 96-102)), the OpNet project focuses on strengthening infrastructure for operational continuity, compliance, and reduced risk of disruptions. OpNet enables critical systems, such as OMS, to function independently of the corporate network. This is achieved through a segmented architecture that supports "islanded" operations, allowing essential applications to remain accessible even when the corporate environment may be compromised. The project includes the deployment of dedicated infrastructure, secure cloud connectivity, and hardened access pathways for Distribution Control Centers and other operational hubs. OpNet is crucial for meeting regulatory requirements and customers satisfaction, while delivering additional cybersecurity benefits.

Q. Please discuss Staff's adjustments to the OpNet Project.

A. Staff recommended a capital budget of $11.153 million, $6.038 million, and $4.267 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $9.197 million.

Q. What was Staff's justification for its recommendations?

A. Staff applied its 70 percent methodology, claiming that the project contains inadequately justified elements. The Company's filing explained the need for security upgrades; however, Staff alleges (p. 256) that the "potentialities" of maintaining the current architecture are "insubstantial," that the "premise of the 'basic security package' providing a 'false sense of security' is equally applicable to any security package, basic or otherwise;" and therefore Staff concludes that there is no evidence that the benefits will outweigh the costs.

Q. Do you agree with the Staff's rationale for its recommended reduction?

A. No. The Company's initial filing outlines its OpNet cybersecurity strategy, including specific actions, like enhancing islanded operations, improving monitoring and recovery systems, and deploying advanced technologies.

These cybersecurity enhancements are neither optional nor speculative; they are essential to protecting the Distribution Control Centers from increasingly sophisticated threats. Staff's claim that the project includes inadequately justified elements overlooks the Company's work descriptions, including enhancements to islanded operations, advanced monitoring and recovery capabilities, and the deployment of innovative technologies and controls. These are essential enhancements, they are fundamental to maintaining operational integrity during cyber incidents.

Q. Do you agree with Staff's premise of the "basic security package" providing a "false sense of security" being applicable to any security package, basic or otherwise?

A. No. This project looks to make a security investment that is aligned with industry best practices and regulatory expectations. Staff's statement implies that there is no correlation between the actual level of security provided by any given solution versus the perceived "sense" of security, which is patently false in a cyber context. The alternatives presented by the Company, such as maintaining the current architecture or implementing only basic upgrades, were evaluated and shown to pose

significant risks. Delaying or reducing the scope of this work would leave critical infrastructure exposed to evolving cyber threats as well as to the increasing frequency and severity of weather-related events. These combined risks would undermine the Company's ability to maintain reliable operations and respond effectively during emergencies.

Q. Do you agree with Staff's claim regarding the benefits of the project not being evident when compared to its costs?

A. No. The OpNet project is structured around a phased investment plan, with defined deliverables that include initiatives, such as the SafeNet Project and Enhanced Monitoring Systems. These components are designed to deliver measurable improvements in system resilience, operational reliability, and long-term cost efficiency. The benefits of proceeding with this work are documented, while the risks associated with inaction, such as increased vulnerability, service disruptions, and regulatory exposure, are significant and cannot be overlooked.

Given the anticipated growth in application usage, additional funding is also necessary to support infrastructure expansion, licensing, and data capacity.

This project is critical to enable continued platform functionality, minimize downtime, and mitigate evolving security threats.

Q. Are there additional drivers for this project?

A. These investments are required to prevent the co-location of control systems with critical storm response systems and improve recovery time if there is an issue. Every minute of downtime to any storm response or operational system results in the Company reverting to manual and paper processes, which lessens the customer experience and results in less efficient operational response.

Q. Please elaborate.

A. The U.S. National Institute of Standards and Technology (NIST) explicitly outlines the importance of isolating control systems in its Special Publication 800-53B, which defines control baselines for federal information systems. It emphasizes the need for segmentation and isolation to reduce the attack surface and prevent lateral movement in the event of a breach (please see https://nvlpubs.nist.gov/nistpubs/SpecialPublications/NIST.SP.800-53r5.pdf).

Similarly, the Cybersecurity and Infrastructure Security Agency (CISA) provides recommended practices for industrial control systems (ICS), including guidance on patch management, incident response, and system architecture. These documents consistently advocate for minimizing interconnectivity between ICS and enterprise IT systems to reduce risk. (Please see https://www.cisa.gov/topics/industrial-control-systems)

These standards reinforce the principle that control systems should not be co-located or directly integrated with other enterprise systems, aligning with our internal strategy and justifying the architectural decisions made in the OpNet initiative.

Storm Response Technology Advancements

Q. Please explain the Storm Response Technology Advancements project.

A. As the Company discussed in its filing (Exhibit __ (IT-6-Upd)), the Storm Response Technology Advancements project will implement technology that will reduce the time between the start of restoration, the time when field crews can safely begin storm restoration operations, and when service is restored to customers. This technology will allow the

Company to quickly capture the full breadth of the storm's impact and infrastructure damage, information critical to any storm response. Having this information quickly will help the Company accurately define resource needs and confirm all material requirements to restore all customers. For this project, the Company will explore several technology-supported processes to support restoration efforts.

Q. Please discuss Staff's adjustments to the Storm Response Technology Advancements Project.

A. Staff recommended removal of the entire capital funding request, decreasing the overall request by $18.04 million. Staff also recommended (pg. 241) removal of the entire incremental O&M budget request, decreasing the overall request by $1.2 million.

Q. What was Staff's justification for its recommendations?

A. In concurrence with the Staff Electric Resiliency and Reliability Performance Mechanism Panel, Staff stated (p. 241) that this project is insufficiently justified. Staff cites Company discovery response to DPS-47-992, which noted that "current processes are effective," and assumes that because the Company noted that there is an expectation of faster restoration times and cited a law from 2022, that

the Company has already implemented processes to avoid the fines.

Staff contends that the on boarding portion of this project, which would reduce the two-hour period to one hour is insignificant, and that for the proposal to incrementally improve the weather model, the benefits will not exceed the costs.

Q. Did any other party recommend adjustments to this program?

A. Yes. NYECC rejects the Company's funding request in full.

Q. What was NYECC's justification for the adjustments?

A. NYECC argues, in essence, that the status quo is acceptable because "the time between the start of restoration and when service is restored by the Company is currently effective" (pg. 35) and that the requested investments are unnecessary.

Q. Do you agree with Staff's and NYECC's rationale?

A. No. Investing in storm technology advancements will improve the customer experience by providing for more efficient storm response leading to reduced outage times and mutual aid cost reductions by both right sizing the response resources and by demobilization of crews sooner. These savings will significantly reduce the financial burden on

external stakeholders that result from power outages. Furthermore, the initial investment will catalyze technological innovations that will help maintain economic stability and drive business continuity within each community. Holistically, the technology investments will drive down Company restoration costs, customer costs and improve quality of life by bringing back normalcy to communities earlier.

Q. Do you agree with Staff's statement "Given that the fine (Public Service Law 73) has been implemented since 2022, the Company has already implemented the processes necessary to avoid the fines?"

A. While the Company continuously attempts to improve its storm process, delays in any of these processes will have a domino effect resulting in downstream delays, i.e., delays in understanding the damage delays work package creation, work assignments and field crew dispatch. This ultimately yields delayed customer restoration. The technological advancements being requested in this project will minimize these delays and help put the Company in a stronger position to meet customer expectations and avoid fines imposed by PSL 73.

Q. Do you agree with Staff's statement that a reduction of "as much as one hour" is insignificant when dealing with mutual aid crew onboarding?

A. No. When preparing for major storm response, the Company will typically secure and onboard mutual assistance resources prior to storm impact. Additional resources will be secured if system impact is greater than forecasted. It is critical to get these additional crews onboarded and dispatched expeditiously. The Company pays each mutual assistance resource approximately $300 per hour. Typically, recent weather forecasts/events required the Company to secure approximately 400 mutual aid FTEs. One hour of onboarding delays would have cost the Company over $100,000. Furthermore, as we have seen around us, we expect an increase in more impactful and severe weather events due to climate change. During the Company's response to Tropical Storm Isaias, we secured approximately 3,000 mutual aid resources. Eliminating one hour of onboarding delays would have reduced costs by approximately $1 million. More important than cost savings, when you have 72 hours to complete a restoration, every hour counts to both the Company and the customer.

Q. Do you agree with Staff's statement that "the Company has not supported that the benefits of such reduction will outweigh the costs necessary to achieve the reduction?"

A. No. In the "Summary of Financial Benefits and Costs" section of the white paper (Exhibit __ (IT-6-Upd, p. 40)), the Company states that it is not possible to estimate the extent of the financial benefit of these improvements, but benefits of avoided outage time are significant for both customers and the local economy. Expediting restoration by even one hour for thousands of customers during multiple major storms could result in millions of dollars in response savings as well as societal benefits by communities getting back to a sense of normalcy. We believe that these benefits for residential and commercial customers, local business owners, and critical customers far outweigh the Company's costs.

Q. Do you agree with Staff's statement that "there is no indication that the incremental improvement of the weather model process will derive benefits that outweigh the costs to implement or maintain the improvement?"

A. No. There are substantial costs associated with any storm response. Investing in weather forecasting technology can provide more precise storm job impact estimates. This, in

turn, will improve the accuracy of resource requirements, a necessity for the Company and customers. Each mutual assistance resource costs approximately $5,000 per day. The weather forecasting technology will allow for right-sizing the Company's response and will avoid costs for resources that are not required.

Transforming Outage Management with Advanced AMI (Advanced Metering Infrastructure) Integrations

Q. Please explain Transforming Outage Management with Advanced AMI (Advanced Metering Infrastructure) Integrations.

A. As we discussed in our filing (Exhibit___(IT-6)), Transforming Outage Management with Advanced AMI Integrations will provide the AMI foundational technology to enhance the Company's outage management capabilities. The project will automate the analysis of AMI meter data to handle reported outages by customers, validate outage and restoration predictions, and increase the performance of AMI data within OMS. This meter-level automation will result in improved customer experience, additional reduction in unnecessary truck rolls, and increased accuracy of outage impacts.

Q. Please discuss Staff's adjustments to this project.

A. In concurrence with the Staff Electric Resilience and Reliability Performance Mechanism Panel, Staff Andrew Carpenter recommended (pp. 77) no funding for the project, decreasing the overall request by $35.914 million over the three-year period based on the Company request.

Q. What was Staff's justification for its recommendations?

A. Staff justifies its reduction on the claim that the project is "unnecessary to maintain current operational standards and is inadequately justified." Staff cites the Company's response to DPS-45-928 in which the Company stated the current operator response and restoration processes are sufficient. Staff also stated the Company's example of reduction in data retrieval time was an insignificant optimization for a sufficient process.

Q. Do you agree with the Staff Panel's rationale?

A. No. This program includes both replacement of existing integrations to address system constraints, and implementation of new AMI data integrations to enable automation and increased OMS functionality. With the growing demand on our system that manages and processes AMI meter data for billing, without this project work, the integrations to OMS are at risk. Our emergency response

operators, who respond to electric outages in OMS, depend upon AMI data to respond effectively to outage reports. For example, the AMI fortification project sub-component, which creates resiliency by segregating billing and operations computing resources, is necessary so that the outage management processes have access to AMI data. Without this project, the additional system overhead added by new billing functions, such as to accommodate clean energy priorities, will negatively impact the availability of AMI data and will result in degraded operator response. As such, the Company increasing its leverage of AMI in other contexts should be viewed as a rationale for the operationally required nature of this initiative, as opposed to as a justification for budget reduction.

Q. How does the project improve operational excellence?

A. The project replaces manual processes by implementing automation that uses AMI data to analyze outage reports from customers in less time. The Company disagrees with Staff's assessment that 50% reduction in data retrieval time is an insignificant optimization for a currently sufficient process. While the reduction to meter data retrieval time may seem insignificant for a single meter being evaluated, in aggregate, the time savings is

significant and can result in meaningful reductions to evaluation time during larger events. The manual retrieval of data and analysis with each avoided truck roll is approximately 5 minutes and, as described in DPS-45-928, must be performed by an operator on-demand as a manual process that is subject to human error. As an example of the significance of the improvement, for the 17,460 average truck rolls currently avoided annually, the automation translates to 87,300 minutes of operator time reduced.

Additionally, as discussed in the Company's response to DPS-45-928, there were approximately 5,062 incorrect assessments of outage calls in 2024. The proposed automation enabled through this project is expected to reduce these incorrect assessments by half, resulting in approximately 2,500 avoided truck rolls annually.

Q. How does the project improve the customer outage experience?

A. As described in DPS-45-928, customer feedback and benchmarking insights highlight the need to provide accurate, proactive communication about outages to customers and to build on the technology to allow AMI to be the primary means of identifying and responding to outages. The project implements meter-level validation of customer

reports of outages, resulting in immediate response and communication in cases where a customer reports an outage and no outage actually exists. The risk of not doing this work will be the unnecessary use of field resources to investigate outage reports by customers that are not related to the Company's service, delaying communication to these customers. The project will also implement proactive communications upon the detection and validation of outages, enabling customers to be aware of outages even when they have not reported an outage.

Q. Are there additional benefits to this project that Staff did not address?

A. Yes. In addition to the everyday outage management response, this project addresses storm response as well. The benefits discussed above apply even more so during storms, and the single ticket automatic closure directly improves the tail-end of storm response. During storms, an enormous effort is required to continuously sift through single customer outage tickets manually and analyze them to close them. This often results in field crews being inefficiently deployed at the end of storm events, which increases mutual aid costs and lengthens the outage time for customers. This project will leverage the AMI

technology to link these single outage tickets to larger restoration tickets where applicable. We can then close these tickets in an accurate and efficient way, leaving only those that require crews to be dispatched, resulting in releasing mutual aid crews earlier and in shorter customer outages.

AMI Systems Sustainability

Q. Please explain the AMI Systems Sustainability program.

A. The Company's AMI Systems Sustainability program is comprised of two overall requirements: maintaining the systems and implementing enhancements.

To stay compliant with vendors' maintenance roadmap requirements as well as to stay cybersecure, the Company's AMI systems must be upgraded regularly. Maintaining the system requires periodic upgrades as required to hardware and software as well as hardware replacements every five years. Vendor support is contingent on meeting vendor recommended maintenance and refresh schedules.

Additionally, IT regularly receives requests from users and regulators that require the AMI systems to be enhanced or changed.

This program aims to do the work to meet the below requirements based on above-mentioned Upgrades and Enhancements needs.

- Head End System (HES): Annual upgrades to enhance functionality, security, and vendor support.
- Meter Asset Management System (MAMS): Centralized data repository, version control, automated deployment, and streamlined workflows.
- Meter Data Management System (MDMS): Upgrade to latest version, implement PSC-mandated bill rates, and improve integration and efficiency.
- Hardware Upgrades: Refresh servers and storage, implement high availability, and adopt containerization (e.g., Kubernetes) for scalability.
- Profield Encore (PFE): Improve inventory control, documentation, and large meter installations.
- Custom Applications: Enhance data sync, real-time alerts, alarm mapping, and billing accuracy.

Q. Please discuss Staff's adjustments to this program.

A. Staff recommended a capital budget of $10.97 million (a decrease of $10.97 million from the Company's $21.94 million request in RY1), $10.86 million (as compared to the Company's $10.86 million request in RY2), and $11.56 million (as compared to the Company's $6.08 million request in RY3) for RY1–RY3, respectively. This is an overall

reduction of $5.49 million over three years and attempts to level the request by moving $5.49 million from RY1 to RY3.

For incremental O&M, Staff proposed $2.57 million (as compared to the Company's $5.13 million request in RY1), $1.00 million (as compared to the Company's $1.00 million request in RY2), and $1.63 million (as compared to the Company's $0.85 million request in RY3) for RY1–RY3 respectively, reducing the overall request by $6.93 million for three years.

Q. What was Staff's justification for its recommendations?

A. Staff makes a 50 percent reduction to both capital and O&M for the program in RY1 on the grounds that they are insufficiently justified. Staff opines that while the Company notes that the steady state program is to fund on-going needs associated with maintaining the AMI system, the white papers risk of no action does not confirm that not doing this would not in fact impede AMI's progress, that if the systems become outdated, it would be a potential roadblock and that while the data lake is helpful, it would be possible to operate without it.

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. The proposed reductions overlook the mandated strategic and operational necessity of these investments for several reasons.

First, in RY1, per the contract with the vendor, hardware replacements must be done because they are on a five-year refresh cycle. Moving the hardware replacement until RY3 will not meet the contractual maintenance terms and cause support issues with the vendor. Thus, the hardware refresh and system upgrades scheduled for RY1 cannot be divided or deferred until RY3. It is necessary to acquire all hardware as a single purchase during RY1. In addition, based on the vendor contracts and ongoing maintenance efforts, the O&M incremental request is needed for RY1.

Second, upgrading and maintaining the software is not optional. We cannot put off upgrades, as we risk vendor contractual issues, negatively impact system performance, degrade customer experience, increase maintenance costs, and hinder our ability to respond to outages and billing issues efficiently.

Third, enhancements which are continuously being requested by the business and customer operations would be denied absent appropriate funding. This would put us behind and cause significant catch-up work in the next rate case.

Q. Can you please provide an example of an enhancement?

A. The PFE application will be upgraded to improve inventory control, streamline documentation for device investigations, and optimize the bulk meter installation process. These changes will enhance data quality and operational efficiency, directly supporting field operations and asset tracking.

We are implementing version control and automated CI/CD pipelines for the Meter Asset Management System (MAMS). This will improve development velocity, software quality, and deployment reliability. Additionally, we plan to integrate Microsoft AI tools to enable natural language-based reporting, reducing turnaround time and improving decision-making.

Enhancements to AMCX will synchronize data between AMI and billing systems, capture network device data into a centralized repository, and automate critical reports such as meter discovery and orphan asset identification. Real-time alerts for anomalies and usage spikes will also be introduced, reducing manual intervention and improving responsiveness.

The AMI Suite will be enhanced to include Life-Support Equipment (LSE) alarms for power loss, safety controls for

Remote Connect Disconnect (RCD), and a web-based tool for asset cleanup. Real-time alarm mapping for major weather events will be integrated, improving emergency response and customer safety.

The Meter Data Management System (MDMS) will be enhanced to support new service order types, integrate with PFE and other systems, and automate access controls. Enhancements will also include improved billing determinant reports, estimation routines for non-communicating meters, and support for PSC-mandated rate structures, such as MHP standby and clock-hour demand.

To keep the system properly functioning, enhancements must be addressed as they arise.

Q. Please continue.

A. The proposed program is not discretionary—it is essential to maintain high invested and critical systems integrity, meet regulatory mandates, and align with mandatory vendor roadmaps, cybersecurity requirements, and ensuring business continuity. Delaying these investments would also increase technical debt and the risk of system instability.

AMI Communications Network Steady-State

Q. Please explain the AMI Communication Network Steady-State project.

A. As discussed in our initial testimony (Exhibit___(IT-6)), the AMI Communication Network Steady-State project supports the continued steady-state operation of the AMI communication network. The AMI Deployment project established a system-wide communication network, comprised of interconnected communication devices that aggregate data from and communicate with AMI electric and gas meters and natural gas detectors. This network supports customer billing and provides data for other Company critical initiatives, such as outage management and hot socket monitoring.

Q. Were any adjustments recommended for this project?

A. Yes. NYECC witness Anderson (pp. 23-24) recommends the full project funding request be denied because, in response to a discovery request regarding expected AMI degradation percentages, the Company provided an approximate percentage based upon an assumed degradation of devices without any factual basis and support requested.

Q. Do you agree with the NYECC's rationale for its reduction?

A. No. First, this is a hypothetical question that cannot be answered in exact percentages. There are many AMI devices and while there is an average rate of degradation, each device may impact degradation at different rates, some more

and others less than the average. The Company's response to NYECC-29-132 notes that the degradation rate "could be further exacerbated as conditions across the service territory evolve with new construction, building demolitions, renovations, cellular carrier modifications, and other infrastructure alterations." So, the answer is at best an estimate.

Q. Please continue.

A. The answer to the question depends on several factors, none of which are stagnant. This includes new devices installed, old devices aging, cellular carrier changes, and the like.

Q. Has NYECC demonstrated that a full reduction to the project is necessary?

A. No. Given the complexity of the AMI system, and the admitted degradation, not funding the project is likely to lead to billing and other consequences.

Q. What would be the impact of AMI communication network degradation?

A. AMI communication network degradation would result in AMI meters no longer communicating correctly. For every 1% of network decay, 48,000 meters would be affected. There would be an increase in estimated billing and an impact to other

Company initiatives including outage management and customer safety.

IV. Core Applications

Maximo Consolidation Program – Phase 2

Q. Please explain Maximo Consolidation Program – Phase 2

A. As discussed in our initial testimony, Maximo Consolidation Program – Phase 2, is the continuation of IT's effort to migrate all disparate Work Management System (WMS) legacy systems onto the Maximo (One Enterprise) platform. We successfully migrated 16 legacy systems to Maximo in Phase 1. The scope of work under this white paper includes legacy applications not included in Phase 1 that need to be migrated to Maximo between 2026 and 2028. In addition to new applications, the scope also includes new functionalities for applications migrated in Phase 1.

Q. Please discuss Staff's adjustments.

A. Staff recommended a 70 percent adjustment of the Company's request, providing a capital budget of $9.326 million, $8.920 million, and $7.201 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $10.906 million. Staff also recommended an incremental O&M budget of $0.970 million, $0.072 million, and $0 million for RY1,

RY2, and RY3, respectively, decreasing the overall request by $1.833 million.

Q. What was Staff's justification for its recommendations?

A. Staff claims (pp. 260-261) that there was insufficient justification for this project and suggests the original scope for Phase 1 was "inappropriately defined." Staff also notes that because there is a 25 percent scope completion, the project could be revised to fit within the funding level and that the Company should (p. 262) "focus efforts on completing the originally identified scope prior to expanding the scope to include more applications."

Q. Do you agree with the Staff Panel's rationale for its elimination?

A. No. It appears the Staff misunderstood our testimony.

- Phase 1 scope will be completed by the end of this year (2025) and the scope was limited to functionalities available in the legacy systems. During project implementation, the business identified additional "must-have" requirements in Maximo that are needed for business operations. We did not include these new requirements in Phase 1 to stay within original scope and budget. In addition, we also

identified additional legacy systems that need to be migrated to Maximo as part of Phase 2.

- With regard to O&M, the full requested amount is needed to support the complex functionalities introduced by the 16 apps introduced by Phase 1 applications. This includes uplift of support costs for MSP and staffing levels to support business operations and Maximo testing team.

Finance and Supply Chain Transformation

Q. Please explain the Finance and Supply Chain Transformation Project.

A. As we discussed in our initial testimony (Exhibit __ (IT-7, pp. 59-7)), the Finance and Supply Chain Transformation Project will transition the Company from on-premises Oracle EBS to Oracle E-Business Suite Cloud to prepare for platform end-of-life and enhance operational efficiency and cybersecurity. The project involves a thorough business requirements review, identifying fit gap analysis, and designing appropriate solutions. A guiding principle is prioritizing configuration over customization, aligning custom processes with standard Oracle Cloud's capabilities. Oracle's cloud services will also provide stronger cybersecurity through frequent updates.

Q. What are Staff's and NYC Electric Infrastructure Panel's adjustments to the Project?

A. Staff recommends removing the requested capital project but not the $104,000 incremental O&M that was requested in RY1.

NY City Electric Infrastructure Panel recommends that initial funding for the project be limited to amounts demonstrably necessary for the completion and thorough review of the "Phase 0 scoping and planning effort," the development of a robust quantitative CBA, a detailed plan for managing the 563 existing customizations (including business process re-engineering costs), and a full lifecycle cost estimate.

Q. What are the justifications for these recommendations?

A. Staff bases its full denial on insufficient justification for two reasons. First, the alternatives section of the whitepaper states that "Con Edison has the option to either continue with the existing local solution or postpone the transition to the cloud," but also notes that the alternatives section comments that the Company will not receive updates and improvements at the same pace as the cloud version.

Second, Staff expresses concerns about the other major projects (eGIS, Clean Energy Mapping, and upgrading being worked on) and opines that beginning another major initiative before the actual cost avoidance of these major projects can be calculated would be "hasty." Staff also states that the Company can continue existing processes.

NYC's concern is the request of substantial funding in RY1 and RY2 before the completion of a critical "Phase 0 scoping and planning effort." They also suggest that the white paper lacks a detailed, quantitative cost-benefit analysis that links the $399.8 million expenditure to specific, measurable financial benefits for ratepayers, such as O&M savings or quantifiable efficiency gains.

Q. Do you agree with the rationale for these recommendations?

A. No.

Q. Does Con Edison have the option to continue with the existing local solution and postpone the transition to the cloud, or to perform only the Phase 0 and defer the implementation?

A. No. EBS is a critical part of the Company's finance and supply chain operations and has been highly customized over time to adapt to our needs. We have over 563 customized

objects, and it takes a team of five three months of manual effort to test and validate before each semiannual patch cycle. Therefore, it is imperative that we migrate from EBS to a modern solution (Oracle Fusion ERP Cloud) in advance of EBS losing vendor support, which will occur in 2035. Doing so reduces risk to the Company's operations, while also allowing adequate time to design business process efficiency, reduce customizations/technical debt, and stabilize the future solution.

Q. Why must the Company execute this project now?

A. ERP transformations take years to perform effectively. Delaying this transition will amplify several risks including:

- Lack of ability to complete the transition in advance of EBS vendor support ending
- Lack of time to adequately stabilize the solution and end user adoption in advance of EBS vendor support ending (typically, 12-18 months after go live)
- Staff attrition/retirement and lack of resources knowledgeable of the current solution(s)
- Increased program costs due to normal cost of living increases, inflation, and premiums related to system integrator labor availability

As mentioned above, a key reason for near-term initiation of this project is the timeline for replacement planning and completion relative to the platform's end-of-life.

Q. Please explain.

A. We are planning a 9-month Phase 0, followed by 28 months for full implementation and 6 months of extended premium support, totaling a 43-month project timeline. Delaying this initiative three years risks pushing the implementation out much closer to the EBS end-of-life; as replacement gets closer to that end-of-life, the potential impact of any delays becomes greater. Having a go-live target too close to end-of-life also increases rollback risk; in the event of an unforeseen situation requiring a rollback, we would be backing out onto an unsupported platform with minimal mitigation options. Further, the longer we remain on the current EBS platform, the more likely it will be that patches for operational improvements will become less available as the vendor focuses on enhancing the cloud version of the product. Timely execution is critical to avoid operational and regulatory vulnerabilities. It is in the best interest of Company and our customers to begin the transition now, allowing for a thoughtful, structured, and risk balanced delivery approach concluding with a successful outcome of the program.

Q. Do you agree with the Staff Panel's rationale that beginning another major initiative before the actual cost avoidance of these major projects can be calculated would be "hasty"?

A. No. The Company has executed multiple high-value projects concurrently. In addition, the other initiatives cited by Staff do not have personnel or technology overlaps with the Finance and Supply Chain Transformation Project. The teams performing the work are resourced from different departments, and the technology platforms are independent.

Q. Do you agree with the City's recommendation to undertake only Phase 0?

A. No. As mentioned in the White Paper, the Company will perform a Phase 0 to fully scope and plan the project. This will provide the detailed CBA and plan for customizations. For the reasons noted above, in addition to the Phase 0, the implementation work must begin in the next few years to allow adequate time to complete the project prior to the current platform's end-of-life.

Fixed Asset and Tax Accounting Transformation

Q. Please explain the Fixed Asset and Tax Accounting Transformation project.

A. As discussed in initial testimony (Exhibit __ (IT-7)), the Fixed Asset and Tax Accounting Transformation Project will modernize the Company's fixed asset and tax accounting systems. This project will address system limitations, including audit risks, data integrity issues, and

inefficiencies; improve tracking and closing projects to plant; and enhance processing speeds for querying assets and locating work orders within the system.

The project is tightly integrated with the Oracle Fusion Cloud ERP implementation to align asset lifecycle data and support for regulatory compliance. A Phase 0 effort in 2025 is defining scope, cost, and system design to support an informed implementation in subsequent years.

Q. Please discuss Staff's adjustments to the project.

A. Staff recommended denial of the entire project budget, including $25.717 million in RY1, $25.758 million in RY2, and $13.059 million in RY3 for capital as well as all requested O&M. This represents a total reduction of $64.5 million in capital funding and $2.6 million in O&M.

Q. What was Staff's rationale for its recommendations?

A. Staff claims the project is insufficiently justified and potentially premature, given that other large-scale IT projects are currently underway. Staff also noted the Company could theoretically continue using the existing system or delay migration and expressed concern over the project's dependency on the Oracle Fusion Cloud ERP initiative, which Staff also recommended not funding.

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. First, the need for a new system has been justified. There is no question that PowerPlan, a fifteen-year-old system, is plagued by structural inefficiencies, data quality issues, and manual workarounds. (See, for example, the Company's response to DPS-47-986.)

Second, the 2025 Phase 0 study will validate the optimal solution path and define implementation plans. The Company has already evaluated alternatives, including other software vendors, and determined that none meet our regulatory and functional needs. At this point, this is a scoping and implementation process.

Staff's justification for the adjustment ties the Finance and Supply Chain Transformation to this project. While this project will interconnect with the Finance and Supply Chain project, to delay one because the other is delayed is not necessary. The Company has demonstrated that a new Fixed Assets and Tax system is needed; see testimony, exhibits and discovery response. Deferring this effort delays compliance improvements, and essentially continues the existing unitization process, thereby forgoing potential tax benefits.

Ultimately, delaying this work increases the cost and complexity of the interconnection with the Finance system and could necessitate maintaining two interconnections, one with the existing outdated PowerPlan system and another with the new tax cloud system once implemented.

Q. Can the Company upgrade the existing system?

A. Simply upgrading the existing system to a new version will not address the underlying data and processing limitations that currently hinder our operations. We must proceed with a new system to tackle these foundational issues rather than merely prolonging them with a temporary fix.

Q. Are there additional drivers for starting the project now?

A. Yes. The Tax Fixed Asset module of the PowerPlan Application needs to be replaced with the cloud version by the end of 2026. If this project is not pursued, we will still be required to make incremental capital expenditures to upgrade PowerPlan, as support for the current version will end, as included in DPS-47-986 Attachment H. The project duration is 43 months, which includes 9 months for phase 0 efforts, 28 months for project execution, and 6 months for stabilization.

Learn, Talent Management, and Compensation Replacement

Q. Please explain the Learn, Talent Management and Compensation Replacement project.

A. As discussed in our initial testimony (Exhibit __ (IT-7-Upd, pp. 17-25)), the Learn, Talent Management and Compensation Replacement project will replace ten legacy homegrown and vendor applications that the Human Resources (HR) and Learning & Inclusion (L&I) organizations use to perform core business functions (e.g., Performance Management, Training and Succession and Compensation Planning). Oracle Fusion Human Capital Management (HCM) application will replace these homegrown, aging (over a decade old) systems. This project enables the Company to mitigate cyber and operational risks associated with obsolete technologies and improve business processes through improved security, increased automation, and enhanced functionality.

Q. Please discuss Staff's adjustments to the Learn, Talent Management and Compensation Replacement project.

A. Staff recommended a capital budget of $16.563 million, $5.437 million, and $0 for RY1, RY2, and RY3, respectively, decreasing the overall request by $9.427 million. Staff did not recommend any adjustments to the incremental O&M requested.

Q. What was Staff's justification for its recommendations?

A. Staff applied its 70% funding methodology, based on its belief that the project "contains strategic elements unnecessary to maintain current operational standards" (p. 154), highlighting AI and manual business processes as examples. In addition to citing that the project indicates no avoided costs, Staff claims that the project scope can be adjusted to fit within Staff's reduced funding given the project's degree of scope completion and contingency levels.

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. Whether the project is operationally needed or strategically needed, it is still something that must be done. Our current homegrown, aging systems need to be replaced, and these functions moved to our Oracle HR platform, otherwise, we will be maintaining two different systems, increasing costs and decreasing efficiency. While the Company applies patches and updates to keep these applications functional, this approach is not sustainable and will add costs in the long term.

Q. Are there additional reasons that you disagree?

A. Yes. The legacy HR and L&I systems do not have the functionality that cloud-based systems do. We noted on Exhibit __ (IT-7-Upd, p. 21) that many of our current processes are manually intensive. For example, the annual planning process takes a month and requires business training coordinators to manually enter data and training advisors to manually compile that data to create the year's schedule. Another labor-intensive process involves scheduling block training, which integrates multiple compliance training topics into a single course. This process requires manual intervention, making it inefficient and susceptible to human error. Oracle HCM Fusion automates these processes and allows employees more time to focus on other work rather than manual administration of annual planning.

Q. Does the Company agree that the project having no stated avoided costs is a relevant basis for reduced funding?

A. No. The current platforms are not sustainable in the long term and support costs associated with their maintenance will only escalate. Most of the HR and L&I applications are constructed on legacy technology platforms, which will necessitate a complete overhaul due to application compatibility issues, as components reach end-of-life.

Q. Does the Company agree that the project scope can be reduced to fit within Staff's recommendation?

A. No. As noted above, this project consolidates business processes and data integrations from ten complex legacy applications into one cloud solution. Using scope completion for project refinement overlooks unforeseen risks and challenges, potentially leading to misaligned changes. The 30% contingency accounts for the project's complexity and allows the Company to address unexpected challenges for successful completion. As such, current scope completion and contingency levels should not be considered relevant drivers for scope refinement.

Employee Hub System Improvements

Q. Please explain the Employee Hub System Improvements project.

A. As discussed in our initial filing (Exhibit __ (IT-7, pp. 215-220)), the Employee Hub System Improvement project is a strategic, multi-year initiative that will implement several enhancements and improvements to the processes, reporting, and performance of the Employee Hub (Oracle Human Capital Management (HCM)) system. This project includes various activities related to the Employee Hub, including:

- Simplifying and strengthening the existing overly complicated external access for non-employee users, such as retirees and pending workers;
- supporting the development, testing, and implementation of mandatory large-scale structural changes released by Oracle;
- accommodating modifications resulting from business changes such as the introduction of new benefit vendors and union contract changes; and
- facilitating the expansion of employee numbers and section IDs.

Q. Please discuss Staff's adjustments to the Employee Hub System Improvements project.

A. Using its 70 percent reduction methodology, Staff recommends capital funding of $4.2 million in RY1, $5.6 million in RY2, and $4.69 million in RY3. This represents a reduction of $6.21 million in capital funding.

Q. What was Staff's justification for its recommendations?

A. Staff claims that the project contains insufficiently justified elements, that the Company stated that the current reporting and system operation are adequate, and that the Company is managing the overly complicated external access process successfully. Moreover, Staff notes that since the project has varying completion dates, the

Company can refine the project to align with the recommended budget.

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. To begin, Staff parses the discovery response regarding whether the system is adequate. The full response read "While the current processes are adequate, there are some processes that were classified as day 2 items." In developing the Employee Hub, the Company knew there were items that needed to be done for initial implementation and then followed up with additional work, i.e., Day 2 items. The Company was clear that there was additional work to do, which is the basis of this project. Examples provided in discovery include automation of several independent processes that run to complete payroll to eliminate human interaction; and redesign of approximately 10 long-running jobs to provide more timely access to data. These activities were all considered Day 2 items and were intended to come after initial implementation.

Moreover, in the same discovery response to Staff's questions regarding external access, the Company stated: "The Employee Hub (Oracle HCM) is a cloud-based system, to meet our cybersecurity requirements when outside users

(retirees and pending workers) attempt to access the system. These steps include registering using the confirmation email on record, setting up Con Edison network access and downloading and installing an additional software application onto their personal devices. The registration process currently involves 13 steps as outlined in the registration instructions (see Attachment 1 - Registration Instructions.pdf for additional details). This process has increased the volume of calls related to external access registration." The Company noted that in 2024 HR employees spent 600 hours handling retiree questions related to external access. Requiring users to take 13 steps meets the requirement to provide secure access but was not meant to be a long-term solution.

Q. Please comment on Staff's project scope argument.

A. As discussed earlier, this program will include several initiatives to make required improvements to the Employee Hub that requires the project to be fully funded. Two examples of these initiatives include:

- Expanding Employee ID and Section ID: The finite number of unique five-digit employee IDs is nearing exhaustion, requiring expansion to avoid operational disruptions. In addition, regarding the organizational hierarchy, the Company has exhausted the number of available three-digit

section numbers and currently is relegated to evaluating and repurposing old section numbers to meet business demand. An expansion of these fields is also required. With over 200 integrated applications integrated with the Employee Hub, a budget reduction would limit our capacity to modify all affected systems, leading to potential malfunctions and inefficiencies

- Addressing impact of Oracle Cloud Technology Framework changes: Significant updates to the Oracle Cloud technology framework, such as Oracle Integration Cloud Generation 3 (OIC GEN3) and Redwood, are not optional and necessitate retesting and redevelopment to maintain system functionality. A reduction in budget would hinder our ability to perform these critical tasks, jeopardizing the stability and operational readiness of the Employee Hub.

Gas Digital As-Built

Q. Please explain the Gas Digital As-Built project.

A. The Gas Digital As-Built project is a forward-looking investment that fulfills regulatory mandates and modernizes critical infrastructure. As outlined in our initial testimony (Exhibit __ (IT-7, pp. 94-99)), the Gas Digital As-Built project is a regulatory-driven initiative designed to modernize how Con Edison captures, stores, and manages gas infrastructure data. The project replaces outdated manual processes with a digital platform that enables real-time data capture using GPS, barcodes, and mobile tools. It

integrates with eGIS and Work Management Systems for long-term traceability, safety, and operational efficiency.

Q. Please discuss Staff's adjustments to the Gas Digital As-Built project.

A. Staff recommended (p. 175) reducing the capital budget for the Gas Digital As-Built project from the Company's original request of $5.8 million in RY1, $6.2 million in RY2, and $8 million in RY3, to $4.060 million in RY1, $4.340 million in RY2, and $5.600 million in RY3.

Q. What was Staff's justification for its recommendations?

A. Staff's rationale (pp. 176-177) centers on the assertion that the project scope is not yet fully complete and that the benefits are not sufficiently quantified. Staff also suggests that the project includes strategic elements that could be deferred or scaled back.

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. The project is not only regulatory-driven but also structured to absorb functionality from legacy applications currently used to capture plastic fusion data, such as the Fuse-to-Fuser system, thereby realizing cost avoidances associated with maintaining those aging platforms. Reducing

the budget at this stage would delay these efficiencies, increase long-term costs, and undermine the integration of a modern, compliant, and scalable solution.

Q. Should Staff consider this project discretionary for the Company?

A. No. The Gas Digital As-Built project is not discretionary. In fact, the project directly supports compliance with multiple regulatory mandates, including:

- Case 14-G-0212, *Proceeding on Motion of the Commission to Investigate the Practices of Qualifying Person to Perform Plastic Fusions on Natural Gas Facilities*, Order Requiring Local Distribution Companies to Follow and Complete Remediation Plans as Modified by this Order and to Implement New Inspection Protocols (Issued and Effective May 15, 2015): Requires documentation of plastic fusions, including location, fuser, inspector, and date.
- 49 CFR §192.603(b), §192.917(e), §192.935(b): Requires integration of GPS data and maintenance of records for pipeline integrity.
- 16 NYCRR §255.603(c), §255.605(k): Requires accurate maps and construction records for gas systems.

The project is designed not only to meet these requirements but create a scalable, enterprise-wide solution for long-term compliance and operational resilience.

Q. What are the operational risks of not completing this project?

A. The current manual process—relying on paper forms and hand-drawn sketches—introduces significant risks, including human error and data loss, delayed updates to GIS and asset systems, and increased risk of excavation damage due to inaccurate records. Failure to modernize these processes could result in regulatory non-compliance, safety incidents, and higher long-term costs from unnecessary rework and emergency response.

Q. How does this project align with industry best practices?

A. Utilities across North America are implementing similar digital as-built solutions with many other operators also planning for the same. Regionally, other utilities serving the New York area have implemented or are considering comparable solutions.

Q. Why does the Company need to absorb functionality currently handled by legacy applications, including capturing plastic fusion data?

A. This consolidation will eliminate the need to maintain and support those aging systems.

Connected Vehicles

Q. Please explain the Connected Vehicles - Enterprise Vehicle Telematics project.

A. The scope of this project is to create a fleet of connected vehicles that provide telematics, including GPS, along with the installation of AI-powered cameras to modernize fleet safety functionality and improve operational efficiency. While the Company currently uses a telematics solution, the proposed system represents a significant upgrade, incorporating AI-powered cameras and advanced analytics to provide real-time insights into driver behavior, vehicle information, and route optimization. These capabilities are essential for:

- reducing collision risk and associated costs through proactive driver coaching;
- informing employees on idling and fuel usage via real-time analytics; and
- improving outage response times by optimizing vehicle dispatch and routing.

Q. Please discuss Staff's adjustments to the project.

A. Staff recommends that the Commission reject the project and deny the requested funding.

Q. What was Staff's justification for its recommendations?

A. Staff bases (p. 91) its reduction on lack of justification:

- The Company already uses a telematics solution.
- The proposed enhancements are not shown to be necessary or to address a specific operational deficiency.
- No evidence was provided that current driver behavior or vehicle safety is deteriorating.

Questionable Cost-Effectiveness:

- The proposed recurring cost per vehicle is $53.
- The cost disparity is considered material and not adequately explained.

Weak Supporting Evidence:

- The studies cited by the Company are outdated or not directly applicable.
- One study used for justification involved a limited demographic (Caucasian male drivers), raising concerns about the technology's effectiveness across a diverse workforce.

Potential for Discriminatory Outcomes:

- The technology may not perform consistently across different races, genders, or clothing types, which raises concerns about fairness and the risk of biased or unequal treatment.

Redundancy with Existing Systems:

- The claimed benefits, such as improved outage response, are already addressed by existing systems (e.g., current outage maps are deemed adequate).

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. While the Company currently uses a telematics solution, its capabilities are limited and prohibit further advancements in driver safety and customer outage experience. To enable improvements in driver safety and vehicle operation, deployment and installation of modern technology solutions. such as AI-powered dash cameras, is required. This solution will provide real-time analytics and the necessary data to fully understand driver habits, help to identify at-risk driver behavior, and enable immediate corrective actions that will reduce the risk of motor vehicle collision and associated risks to employee or public safety.

Data gathered in 2018, during the Company's prior pilot assessment of camera-based Drive-Cam event data recorder (EDR) units, clearly demonstrated a correlation between EDR installations and vehicle collisions. From this data, the Company observed that the number of reported significant collisions (e.g., those involving contact with other moving vehicles, pedestrians, or cyclists, and excluding low-speed contact with stationary objects) decreased as the proportion of its vehicle fleet equipped with EDR units increased. For instance, the Company recorded approximately 200 significant collisions over a 12-month rolling basis

during the initial pilot phase, which involved deployment of Drive-Cam EDR units in approximately 140 vehicles. When the Company increased the number of EDR installations to approximately 1,600 vehicles, the number of significant collisions decreased by approximately 30%. Furthermore, Company performance data indicates that the number of higher risk collisions has remained stable at a level that requires improvement. We believe introducing this project will improve driver behavior and safety trends and reduce higher-risk collisions. The Connected Vehicles project is a forward-looking initiative that aligns with the Company's goals of continuous improvement regarding safety, efficiency, and modernization.

The concerns raised do not outweigh the substantial benefits of an approximate 30% reduction in significant collisions.

Q. Please continue.

A. The assertion that there is no evidence of declining driver behavior misses the point: the project is preventative and meant to reduce risk and potential injury to employees or members of the public and/or property damage, not to be reactive. It aims to improve safety performance proactively

by facilitating detection of at-risk behaviors, consistent with industry best practices.

The Company is committed to deploying technology that is equitable and non-discriminatory. The study's cited limitations are acknowledged, but the Company is working with vendors who have tested and employed their systems across diverse populations and conditions. Furthermore, any internal deployment will include rigorous internal testing and validation for accuracy.

Finally, the intent is to use GPS to improve the customer outage experience by utilizing real-time vehicle location coordinates and actual customer outage location to correlate vehicle location and provide proactive customer communications on crew arrival. This is not redundant with any existing systems. Specifically, our outage map provides a static view only noting crew status based upon user updates instead of real-time crew location using GPS.

Q. Does the Company believe Staff's cost comparison is accurate?

A. No. The cost comparison is flawed for several reasons:

1. Technological evolution: The 2017 study references rudimentary video-based monitoring systems. The proposed system includes AI capabilities, real-time analytics, and

integration with enterprise systems, which naturally command higher costs.

2. Inflation and scope: The cited costs do not account for inflation accurately, nor do they reflect the full scope of enterprise deployment, including cybersecurity, data storage, and training.

3. Value over cost: The project's value lies in risk mitigation and long-term savings, which far outweigh the initial per-vehicle cost.

Work Management Mobility

Q. Please explain the Work Management Mobility project.

A. As we discussed in our filing (Exhibit___(IT-7)), the Work Management Mobility project provides value-added mobility products that will support multiple organizations and work operations across the Company. The project is comprised of numerous applications that provide features and capabilities that support critical business workflows and processes. These include the Job Briefing, Public Hazard and My Inspection applications. The Work Management Mobility project will implement required integrations between these applications and other enterprise work management and emergency management applications. These integrations will improve environmental and workplace safety, and data quality. Additionally, the project will reduce the technical debt for applications in the portfolio such as the Coded Component Library.

Q. Please discuss Staff's adjustments to Work Management Mobility.

A. Staff recommended capital funding of $3.500 million, for each of RY1, RY2, and RY3, respectively, decreasing the overall request by $4.5 million. Staff also recommended incremental O&M funding of $263,000 in each of RY1, RY2, and RY3, decreasing the overall request by $339,000.

Q. What was Staff's justification for its recommendations?

A. Staff bases its reduction on the assumption that elements of the project scope are not required to maintain current operational standards, that this is a strategic project, and given the level of scope completion, the Company can adjust the scope to fit the budget. Additionally, Staff points to the Company's white paper that an alternative is to do nothing, which would leave the current processes the way they are, as another justification for the adjustment.

Q. Do you agree with the Staff's rationale for its reduction?

A. No. Enhancing the features and capabilities of the Job briefing application and Hazard reporting includes expanding the usage to all commodities at an enterprise level to increase safety and reduce OSHA incident rates. This is required to perform the job safely and minimize the

Company's injury and incident rates. Some of these enhancements will also improve the user experience. Staff appears to ignore the risks associated with the do nothing alternative that the Company discusses in the "risks of no action" section of the whitepaper (Exhibit __ (IT-7, p. 243)). Risks include corporate risks with redundant work efforts and unnecessary overhead costs, while also posing safety and compliance risks. In addition, the Coded Component Library, if not enhanced, will result in increased cyber risk with obsolete technology. Since these components are used in all modern web applications in IT, these upgrades are essential and required so that all IT systems using these components continue to function as designed.

As the Company has already stated in its filings, this project will improve operational and public safety across all commodities, decrease cyber risks and help identify and address hazards in a timely manner. For example, this project will allow field operations to perform a thorough job briefing ensuring the safety of all crew members. It also strengthens data reconciliation and validation processes by integrating with other work management systems for data integrity.

Integrated Workplace Management System Replacement

Q. Please explain the Integrated Workplace Management System Replacement project.

A. As discussed in our initial testimony (Exhibit __ (IT-7, pp. 106-112)), the Integrated Workplace Management System Replacement project involves transitioning from Con Edison's current Integrated Workplace Management System (IWMS) application to IBM's equivalent Maximo (Tririga) platform. The MRI IWMS application supports key Facilities and Real Estate functions, including lease administration, space management and optimization, and conference room and hotel seat booking. Maximo is Con Edison's existing enterprise asset and work management suite and already contains information about Facilities assets. Migrating to the Maximo Tririga IWMS platform will enable the Company to leverage this enterprise platform to provide enhanced functionality for Facilities and Real Estate functions.

Q. Please discuss Staff's adjustments to this project.

A. Staff recommended a capital budget of $1.411 million, $3.963 million, and $4.064 million for RY1, RY2, and RY3, respectively, reducing the overall request by $4.046 million.

Q. What was Staff's justification for its recommendations?

A. Staff applies its 70 percent methodology, claiming that the project contains elements not essential to maintain current operational standards; that there would be no cost avoidance and essentially the "automation at best trades one cost for another;" and that because the vendor support has been lacking, that the "Company has other avenues for meeting the underlying requirements articulated by the project." Staff also notes that the scope is at 25%, which Staff claims provides an opportunity for the Company to refine the project to fit the recommended budget and also that there is no evidence the benefits will outweigh the costs.

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. There are many functions that the current application cannot perform. For example, the current application does not perform work that are must haves in today's environment. The current application cannot:

- support current and future emissions tracking/reporting of our owned facilities;

- include a mobile application, for no additional cost, that enables employees to book conference rooms and desks;
- integrate with the current version of Outlook, requiring employees to book space through two applications;
- offer custom reporting, such as our space usage without technical support intervention;
- directly integrate with sensor technology, which would provide live data on space utilization supporting our continued efforts optimizing space.

The critical work we do is driven by our assets. Having all functions under one application will streamline asset management holistically, from facility management to real estate management. Moreover, the current application is separately maintained, supported, and upgraded outside of our IBM Maximo enterprise solution.

Q. Does the Company agree with Staff's claim that this project will not result in cost avoidance?

A. Cost avoidance is not relevant to evaluating the project, as cost avoidance is not the primary driver for this project. Instead, the replacement of the Integrated Workplace Management System application with the Maximo Tririga platform is necessary to provide enhanced functionality for Facilities and Real Estate Functions.

Q. Does the Company agree that resolving vendor support is an effective alternative to the project?

A. No. While support from the Company's current application vendor could be improved, it will not resolve data collection and reporting deficiencies associated with the manual process of collecting data, entering such data into spreadsheets, performing calculations, manually creating visualizations, and generating reports. Additionally, improved functionality to monitor, track, and manage building usage through occupancy and usage insights will allow for the continued optimization of the real estate portfolio and facilities operation, addressing the Company's evolving needs.

Q. Staff claims that the project scope can be adjusted to fit within its recommended reduction. Is this feasible?

A. No. Adjusting the project scope for an IWMS would lead to increased total costs due to the simultaneous operation of two systems. For the project to be successful, a complete replacement of the legacy system is necessary. Otherwise, it will result in duplicate support costs, duplicate licensing, and employees having to operate in two systems. In addition, using scope completion for project refinement

overlooks unforeseen risks and challenges, potentially leading to misaligned changes.

WMS Exadata Hardware Upgrade to Avoid Tech Debt

Q. Please explain the WMS Exadata Hardware Upgrade To Avoid Tech Debt project.

A. As discussed in our filing (Exhibit __ (IT-7pp, 237-241)), this project replaces the aging Oracle hardware that supports the Gas Central and Electric Work Management systems. This request will replace the current system so that we are no longer in an unsupported hardware position as well as support the migration of the Maximo database onto the Exadata platform to make the Maximo application highly available.

Q. Please discuss Staff's adjustments to the program.

A. Staff recommended (pp. 196-198) eliminating the full project budget.

Q. What was Staff's justification for its recommendations?

A. Staff bases its elimination on several factors:

- The project is insufficiently justified;
- there is no need to immediately do this project since extended support is still available; and
- project estimates are unrefined at 25 percent scope.

Q. Do you agree with the Staff Panel's rationale for its elimination?

A. No. While Oracle will continue to offer extended support for the next several years, the support required is overnight delivery of parts, which is not included in Oracle's extended support. Not having that level of support can cause extended hardware outages because the extended support does not provide the same level of support as the prior agreement, which allowed for failed parts to delivered overnight.

Q. Do you agree with Staff's other rationale?

A. No. It is sufficiently justified: Operating systems that are needed for public safety initiatives, such as the electric and gas work management systems, must be fixed immediately. These systems are needed for information, including, for example, the time elapsed on gas leak calls. Moreover, scope refinement should not affect this project.

Outage Scheduling System Replacement

Q. Please explain the Outage Scheduling System (OSS) Replacement project.

A. As discussed in our initial testimony (Exhibit __ (IT-7, pp. 172-175), the OSS Replacement project will address

performance issues and replace the current on-premises OSS Pega platform with a new product, ITOA, for outage scheduling. Support for the existing system will cease in Q1 2027. Additional business requirements, like integrations to the New York Independent System Operators (NYISO), will be included.

Q. Please discuss Staff's adjustments to the OSS Replacement project.

A. Staff recommended (pp. 89-91) that the Commission delay the project from the proposed start date of January 1, 2026 by six months to July 1, 2026. Staff also modified the Company's requested capital funding for the project from $6.081 million, $2.025 million, and $1.795 million for RY1-RY3 respectively to $3.041 million, $3.545 million, and $3.315 million for RY1-RY3, respectively.

Q. What was Staff's justification for its recommendations?

A. Staff applied its 50 percent methodology, claiming that there are insufficiently justified project elements. Staff notes "…support for the existing system will cease in Q1 2027, and that the "release" of the new system would occur in 2028—meaning that the Company has already considered and accepted the risk of operating on the platform when support ceases." Furthermore, Staff stated that it is reasonable

to delay the project by six months and bases the 50 percent reduction in expenditures on the half year delay.

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. Contrary to Staff's assumptions, the Company neither considered nor accepted a six-month delay regarding the risk of operating on obsolete technology. The OSS Replacement project is planned to commence in January 2026 to establish on-premise application environments and configure the new ITOA vendor product for Phase 1 implementation before the current system becomes unsupported in Q1 2027.

Q. Why is Staff's recommendation to delay the project timeline by six months unworkable?

A. The OSS system is essential for scheduling equipment outages and must be maintained on supported technology for reliable operations and to mitigate cyber risks. Starting work in January 2026 is the only way that the OSS application will be ready for Phase 1 production implementation by Q1 2027.

Q. Does the Company agree with Staff's assumption that a half-year delay will result in a 50 percent reduction in capital expenditures?

A. No. For the reasons already noted above, such a delay would result in the project extending beyond the current system's vendor support commitment. The costs for the work will not decrease by 50 percent by delaying it six months. All the work necessary for the upgrade will still need to be done. In fact, it would cost more because we may have to pay for more people to do it quicker.

Budget System Enhancements

Q. Please explain the Budget System Enhancements program.

A. As we discussed in our initial testimony (Exhibit __ IT-7), the Budget System Enhancements program represents an ongoing investment in the Company's move from the legacy Hyperion Planning (HP) suite of planning and budgeting applications to the newer Enterprise Planning and Budgeting Cloud Service (EPBCS) technology. On-going system enhancements will continue to build the link between the rate case process and internal financial processes, allowing more efficient updates as financial data changes through settlement negotiations and eliminating nearly all manual reporting processes for rate case exhibits and/or

joint proposal reporting requirements. The enhancement work is expected to continue through 2029.

Q. Please discuss Staff's adjustments to the Budget System Enhancements program.

A. Staff recommended a capital budget of $1.050 million for RY1, decreasing the overall request by $0.450 million over the one-year period with the same adjustments made in RY2 and RY3.

Q. What was Staff's justification for its recommendations?

A. After noting that the Company had invested in enhancing its budget system, Staff states that because it recommends denying funding for the ORACLE EBS Cloud Migration project, a reduction for this project is "warranted." Staff then notes that the Company should strategically leverage the alternatives suggested in the White Paper to not invest in upgrades and enhancements and develop workarounds to integrate new or updated data loads, thereby reducing the scope of the program.

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. Implementing the Budget Systems Enhancements will improve reporting, analysis, communications and dataflow

between departments and enable the Company to maintain its current level of quality and timeliness for generating future budgets and rate case submissions. As automated data maps for underlying processes and systems change, due to routine software upgrades and enhancements of source systems and processes, the integrations to Enterprise Planning and Budgeting Cloud Service (EPBCS) must be maintained.

Further, this program is not directly related to commencement of the planned Oracle EBS Cloud Migration project.

Q. Should the Company rely on workarounds, as Staff recommends?

A. No. Staff's recommended alternative of using manual processes exposes the Company to a variety of avoidable risks, including human error, slowed processes, difficulty scaling, inadequate recording keeping, and a lack of visibility into data processes and related governance. Workarounds are, by definition, temporary constructs and are intended to bypass a problem or limitation until a more permanent fix can be implemented.

Fleet Management

Q. Please explain the Fleet Management program.

A. As we discussed in our initial submission, the Company's Fleet Management Program intends to migrate its existing product, FleetWave, from the current on premise version to the cloud-based version and provide support of the platform (configuration, testing, etc) via employees. The current system does not address inefficiencies, has limited functionality which results in higher maintenance demands via vendor requests to perform additional work. The request for funding is to migrate the current version (on premise) to their cloud version. The cloud-based e application will provide increased security, compliance with evolving regulations, data integrity, system performance, along with enabling new functionality - such as real-time data access and improved workflows, which will reduce manual processes. The migration to a cloud platform aligns with our corporate IT strategy

Q. Please discuss Staff's adjustments to the Fleet Management Program.

A. Staff recommended a capital budget of $1.465 million, $2.311 million, and $0.105 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $1.664 million. Staff also recommended a budget of $0.015 million,

$0.110 million, and $0 for RY1, RY2, and RY3, respectively for incremental O&M, decreasing the overall request by $0.015 million.

Q. What was Staff's justification for its recommendations?

A. Staff bases its reduction on the belief that insufficient justification was provided, enhancements are not necessary to maintain current operational standards, and benefits do not outweigh the costs. Staff specifically calls into question the benefits and concedes that staying on the existing technology will cost more but claims that it will cost less than moving to a new system.

Q. Do you agree with the Staff's rationale for its reduction?

A. No. Upgrading to the cloud-based version of FleetWave enables core functionality, such as enhanced security, dynamic data integrity, system performance, and incorporation of new features such as driver and technician mobile applications.

Q. Does migration to a cloud platform align with the corporate IT strategy?

A. Yes. Moving to a cloud platform is in line with other major enterprise-wide systems, such as the Enterprise Performance Management System (EPM) and the enterprise wide internal

fueling system(Gasboy). Upgrading will also improve cybersecurity, as cloud-based technology offers a more secure version of the software. Migrating to the newer cloud-based version of FleetWave will reduce risk and increase operational effectiveness, the importance of which is understated by Staff.

Q. Are there additional benefits to migrating the platform to the cloud?

A. Yes. The current iteration of FleetWave will become increasingly difficult to benchmark with other Utility Fleet peers – thus, reducing opportunities for improvement through collaboration. We have discussed this with our peers and most of them are using Fleetwave's cloud version and work together often to enhance their use of FleetWave through collaboration and promoting best practices.

Q. What are the impacts of continued use of the on-premises platform?

A. Continued use of the on-premises platform will increase the risk of having outdated security features and connections and increase the likelihood of potential system failures as the system and the overall fleet increases in size and complexity. Investing in full-time support staff through this program will increase Con Edison's ability to

troubleshoot issues, perform upgrades, and tailor the platform more quickly to realize its benefits.

Q. Are the new features enabled by the platform needed to more effectively manage Con Edison's fleet moving forward?

A. Yes. The project will enable a comprehensive, real-time view of the full lifecycle data for vehicles and equipment. This includes the ability to integrate mobile capabilities, configure user roles, enhance reporting and notifications capabilities and incorporate data currently managed outside of FleetWave - which is imperative for maintaining the health of mission critical assets required by the Company. The ability to access data, to more proactively manage the fleet, will reduce the risk of vehicle downtime and associated increased maintenance.

Rapid Restore Re-architecture

Q. Please explain the Rapid Restore Re-architecture project.

A. As discussed in our initial testimony (Exhibit __ (IT-7, pp. 184-187)) the Rapid Restore system, used by Electric Operations, System Operations and Substation Operations, reduces the restoration time of primary feeders by disseminating feeder restoration information and eliminating phone calls. The system allows electronic

communication of operating orders between District Operators at the Energy Control Center and Transmission/Distribution Substations as well as transferring control between the District Operators and the Feeder Control Representatives at the Regional Control Centers. In addition, the system provides electronic communication of Field Operations Department (FOD)/No. 9 (emergency) orders between District Operators and the Field Operating Desk and No. 9 Representatives. The Rapid Restore Re-architecture project will upgrade the Rapid Restore application infrastructure and system, enhancing its resilience against cyber events and promoting business continuity. As discussed below, this involves new integrations as well as hardware, database, and operating system upgrades.

Q. Please discuss Staff's adjustments to the Rapid Restore Re-architecture project.

A. For capital funding, the Company requests $3.207 million in RY1, $1.447 million in RY2, and $0.24 million in RY3. Staff recommended (pp. 236-238) denying the entire requested project funding.

Q. What was Staff's justification for its recommendations?

A. Staff's denial of funding is based on their claim that because the project scope is 25 percent complete, the Company has not yet determined the project's business objectives. Further, Staff claims that the alternative of doing nothing "…will not result in a decrease in response time, but rather a decrease relative to the response time that the project would potentially enable." Staff also claims that since the servers need to be upgraded by July 2027, there is no immediate need to upgrade the system.

Q. Do you agree with Staff's claim that the Company has not yet determined the project's business objectives?

A. No. The project's business objectives have been defined. They are: 1) Upgrade the Rapid Restore system to supported technology (servers and database operating systems), and 2) Implement a new integration with the Feeder Management System (FMS) (which resides in a secure network) utilizing new technology in the form of Data Diodes to enable secure communication to the Rapid Restore system (which resides on the corporate network), which will enable the continued flow of information under normal and cyber event conditions.

Q. Do you agree with Staff's claim that taking no action would not result in a decrease in response time?

A. No. If no action is taken, the Rapid Restore system will not be upgraded to supported technology (servers and database operating systems), opening the system to potential cybersecurity vulnerabilities, which could result in this critical system being shut down. In addition, manual communication will be needed during cyber events when the connection from the operations network to the corporate network is severed, as Rapid Restore and the Feeder Management systems will no longer be able to interface with each other.

Q. Is Staff's claim that there is no need to upgrade the system now accurate?

A. No. The Rapid Restore servers currently operate on Windows 2019, which will lose Microsoft support by July 2027, risking cyber vulnerabilities. Starting work in the first quarter of 2026 will allow for the Rapid Restore application to be ready for Phase 1 production implementation before July 2027. The upgraded Rapid Restore system will incorporate the latest versions of Windows operating system (Windows 2022) and SQLServer database (SQLServer 2022), enhancing cybersecurity compliance.

Q. Please explain.

A. During a cyber event, the Energy Control Center will disconnect from the corporate network, requiring verbal communication of feeder restoration orders to supervisors and field crews, which leads to delayed response times. Verbal communication can introduce operator errors; therefore, we must mitigate this risk by building a new integration with the Feeder Management System (FMS).

Q. Why is this mitigation required?

A. The FMS system is used by the Energy Control Center to communicate orders with the Rapid Restore system for emergency and planned feeder restoration and repairs. This new integration will facilitate secure communication between FMS and Rapid Restore, improve security controls, and update the Rapid Restore software. This upgraded architecture will allow the interface between FMS and Rapid Restore functions to operate effectively under both normal and cyber event conditions.

Service Line Inspection GIS Routing & Traceability

Q. Please explain the Service Line Inspection GIS Routing & Traceability project.

A. As discussed in our initial testimony (Exhibit __ (IT-7, pp. 193-196)), this project supports the Gas Service Line

Inspection program's mandate to inspect an average of 60,000 inside customer premises and 200,000 inside gas meters annually. In lieu of supervisors manually reviewing and assigning work locations to technicians, the system will prioritize and provide the optimal routes for each technician. In addition, this project will enable real time visibility of technician locations, providing effective redeployment of technicians to the closest work location. The ability to effectively redeploy resources is essential in instances where a leak is discovered and the technician must remain on site until relieved by a leak responder.

Q. Please discuss Staff's adjustments to the Service Line Inspection GIS Routing & Traceability project.

A. For capital, the Company requested $2 million in each of RY1 and RY2, with no funding requested in RY3. For incremental O&M, the Company requested $0.1 million in RY3. Staff recommended (pp. 199) denying the requested project funding for RY1, and recommended a funding level of $1.4 million in RY2 and $2.6 million in RY3. Staff recommended complete removal of the incremental O&M amount.

Q. What was Staff's justification for its recommendations?

A. Staff claims that this project is insufficiently justified and that its benefits do not clearly result in quantifiable cost avoidance (i.e., lower cost per inspection).

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. To be clear, cost avoidance is not the primary goal of this safety-driven program. Gaining access to premises continues to be a significant challenge. While this project, as indicated in response to DPS-25-596, will not result in direct cost avoidance or savings, the project will allow for technicians to attempt more inspections per day.

Q. Why are additional attempts a relevant benefit?

A. Additional attempts increase the likelihood that technicians will gain access to customer premises, potentially increasing the number of inspections completed under the program.

Fraud Data Analytics Platform

Q. Please explain the Fraud Data Analytics Platform project.

A. As discussed in our initial testimony (Exhibit __ (IT-7, pp. 90-93)), the project is to expand the fraud data analytics platform in phases to enable and enhance

enterprise-wide fraud monitoring and alerting across high-risk business areas (i.e., employee time reporting, vendor fraud, and collusion in material ordering, inventory and fixed asset management). The project work will include upgrading platform infrastructure and system capacities, lifecycle hardware replacement, building new data interfaces, and developing new software solutions.

Q. Please discuss Staff's adjustments to Fraud Data Analytics Platform.

A. Staff recommended a budget of $0.593 million, $0.607 million, and $0.62 million for RY1, RY2, and RY3, respectively, for capital, decreasing the overall request by $0.675 million. Staff also recommended an incremental O&M budget of $0.175 million, $0.015 million, and $0 million for RY1, RY2, and RY3, respectively for, decreasing the overall request by $0.120 million. The recommendation also includes the reduction of one FTE, commensurate with the reduced project scope.

Q. What was Staff's justification for its recommendations?

A. Staff proposes a reduction to the average of historical spending from 2023 to 2024 plus market inflation. Staff opines that the recommended budget, based on the adjusted historic average, is sufficient to maintain the platform's

operations and support a steady rate of expansion. Additionally, Staff believes that the Company can refine the project scope to fit within the recommended budget.

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. First, using 2023 and 2024, the spending for this project was not commensurate with what is expected in the next several years. In fact, during 2023-2024, the project experienced delays and reduced its scope of work due to sourcing and procurement issues, resulting in spending that reflected the reduced scope.

Second, the recommended reductions are inconsistent with the realities of project execution, as RY1 levels are decreased and and a portion of RY1 is reallocated to RY2. This will only change the project scope, disrupting the implementation plans and delaying the realization of the benefits derived from this work.

Third, the expansion of the fraud data analytics platform and its continuous monitoring function relies heavily on advanced technologies and sophisticated software development. Therefore, the project's cost needs reflect the cost of these advancements and current market rates, not prior year(s) spending.

Fourth, the Company is expected to spend $1.4 million in capital for this project in 2025.

Q. How do you respond to Staff's statements questioning he benefits of expanding fraud risk monitoring into new areas?

A. Staff claims that there is no evidence indicating that the benefits of doing so will outweigh the costs. It is important to emphasize that the fraud data analytics platform and its continuous monitoring function are essential to the Company's enterprise-wide fraud risk management program. Fraud data analytics provide opportunities to proactively detect, deter, and prevent fraud, thereby minimizing both financial and reputational loss. The benefits of a risk management program should not be measured solely by monetization.

Q. Is proactive data analysis an effective fraud control?

A. The Association of Certified Fraud Examiners (ACFE), the world's largest anti-fraud organization, highlights in its 2024 "Report to the Nations" that proactive data monitoring and analysis are among the most effective anti-fraud controls. Organizations that employ proactive data analysis techniques experience fraud that is at least 50% less costly and 50% shorter in duration than those that do not monitor and analyze data for signs of fraud. The ACFE

estimates that organizations worldwide lose 5% of their revenues to fraud, and 53% of victim organizations have not recovered any of their losses due to fraud. The Company is committed to proactively managing fraud risks and implementing fraud data analytics enterprise-wide for the benefit of our stakeholders and customers.

Q. Why is the Company developing its in-house FTE capabilities important?

A. The Company has growing analytics and technical support needs. The reduction of one FTE will impede our ability to sustain the program and respond to these needs. In recent years, the Company has relied heavily on software vendors and integrators for the development and support of the fraud data analytics platform and the continuous fraud risk monitoring program. This initial effort provided a solid foundation to establish these functions with the necessary expertise and resources. However, without in-house business knowledge and experience, reliance on vendors has led to delayed responses, increased Company management involvement and expenses, operational inefficiencies, and third-party risks, particularly in sensitive customer data exposure. The high costs associated with these external services, along with a lack of flexibility and control over

processes, have posed significant challenges. To address these challenges and pursue a more sustainable long-term strategy, the Company will develop and enhance its in-house capabilities.

With this internal approach, in-house capabilities will result in greater control over program development and support activities, faster issue resolution, more Agile data analytics that align with the Company's changing business needs, and minimizing the exposure of sensitive data.

Tech Modernization for PEGA Applications

Q. Please explain the Tech Modernization for PEGA Applications project.

A. PEGA is a software company that focuses on customer engagement and operational excellence, offering a platform for business process management (BPM) and customer relationship management (CRM). The PEGA Platform provides tools for building applications which streamline workflows and improve customer interactions. Con Edison has a portfolio of three applications built on the PEGA software, which support critical business functions in the Electric, Gas, and Customer Operations organizations.

As stated in our initial filing (Exhibit __ (IT-7)), the Tech Modernization for PEGA applications project will complete software upgrades and transition the Customer Project Management System (CPMS), Customer Relationship Management System (CRMS), and Customer Experience System (CXS) applications to PEGA's cloud-based platform. The project will avoid the current software reaching end-of-life and simultaneously achieve benefits associated with being on PEGA's cloud-based platform including improved performance, scalability, security, and improved business capabilities.

Q. Please discuss Staff's adjustments to this project.

A. Using its 70 percent adjustment methodology, Staff recommends capital funding of $9.263 million, $9.263 million, and $9.228 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $11.896 million. Staff also recommends an incremental O&M amount of $298,000, $70,000, and $70,000 for RY1, RY2, and RY3, respectively, decreasing the overall request by $187,000.

Q. What was Staff's justification for its recommendations?

A. Staff claims that the project contains elements that are not adequately justified. Staff claims the cost-benefit analysis is immature, noting that the Company stated that

it wants to "compare the costs and benefits of implementing Pega cloud." Because the project scope completion is 25 percent, together with the cost benefit information, Staff concludes that there is no immediate need for the project, leading to uncertainty about the project's strategic value. Staff notes that given the scoping stage, the project scope can then be modified to fit within the new budget.

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. This project is necessary to ensure safe and reliable operation of the applications, which support service to our customers. Examples of critical functions supported by these applications include the enrollment of customers in our Life Support Equipment (LSE) program and establishing new utility service for customers. The applications we aim to modernize with this project run on a version of the PEGA vendor software that will reach end-of-life in Q2 2027, necessitating a move to the cloud. Moreover, absent any action, the unsupported PEGA software would leave the Company exposed to potential security vulnerabilities and interruption of service for these applications.

Q. Please continue.

A. Without this modernization project, the Company would still need to make significant investments to upgrade hardware and software to keep the applications operational and would have to do so on a platform that would not provide the strategic benefits of the "PEGA Cloud" platform, highlighted in Exhibit __ (IT-7).

Q. Do you agree that the cost benefit analysis is immature?

A. Initial benchmarking indicates there is a cost benefit to this project's deliverables of migrating to PEGA cloud, however the financial benefits are not the primary driver for this project. As discussed earlier, there are operational needs to modernize these critical applications to avoid their end-of-life.

Q. Is there an Immediate need for this project?

A. Yes. As mentioned above the current software and infrastructure will reach end-of-life in Q2 2027, requiring the Company to begin this modernization project and avoid disruption in service to these applications and the customer functions they support.

Rate Case Enhancements

Q. Please explain the Rate Case Enhancements project.

A. As discussed in the initial testimonies of the Demand Analysis and Cost of Service Panel, the Gas Rates Panel, and the Information Technology Panel (Exhibit__(IT-7, p. 188)), the Rate Case Enhancement project is an Agile project intended to add functionality (e.g., integrating Standby billing, Gas interruptible billing, Electric Vehicles ("EVs"), incentive rate design, solar, reactive power billing, capacity tag billing in CUS) to the Company's Customer Usage System ("CUS"). CUS is a data warehouse used to centralize and summarize electric and gas billing determinants necessary to report on, analyze, and develop various rate structures, customer bill impacts, and develop load shapes. Previous enhancements to CUS enabled the Company to produce for this rate filing the bill frequency reports presented in Exhibits__(ERP-3) and (GRP-4) required in Cases 22-E-0064 and 22-G-0065. There is a growing population of customers with complex and evolving billing structures stemming from various regulatory proceedings including Standby Rates, Solar, EVs, Clean Heat, and Utility Thermal Energy Networks (UTEN). Continued funding for CUS will enable the Company to support the growing trend of evaluating and developing new rate structures that follow different models from existing rate

structures without the need for additional staffing in support of Commission directives.

Q. Does NYECC support the Company's Rate Case Enhancement Project?

A. No. NYECC does not support (p. 17) the Rate Case Enhancement project, claiming no projected direct cost savings associated with the project. Further, NYECC bases its opposition on an erroneous interpretation that the Company "does not commit to going forward with this project irrespective of whether it receives ratepayer funding for it in the rate cases, and the project would be completed outside the scope of any current rate plan."

Q. Do you agree with the NYECC's rationale for its lack of support?

A. No. Although there are no projected direct cost savings associated with this project, there are operational benefits from this project.

Q. Please explain.

A. This project will increase Rate Engineering's efficiency at performing certain tasks, which is critical given the Company expects the level of required work to increase.

Q. Why is relying on existing processes an issue?

A. Currently, there are no established processes to capture billing determinants for emerging technologies such as EVs, solar, UTEN, or other new analyses that may arise from Commission proceedings and orders. As a result, these efforts will depend on manual workflows that are time-consuming, inefficient, and prone to error. Inaction resulting from the lack of automation and structure could delay the Company's ability to provide analysis required for Commission decisions on rate-related options, hinder progress toward a clean energy future, and reduce customer satisfaction—especially for those seeking rate choices aligned with their technology use (e.g., distributed energy resources, clean heat, solar, and EVs).

Material Management Inventory Upgrade

Q. Please explain the Material Management Inventory Upgrade.

A. The Material Management Inventory Upgrade (Exhibit IT-7, pp. 137-141 supports our operating groups through the planning, procurement, and control of materials purchased by the Company to provide to contractors performing work for the Company. This effort makes materials available at the right time, in the right quantity, and at the right cost. The upgrade encompasses material planning, procurement, inventory control, and distribution for

streamlining the material purchasing, and storing processes.

Q. How will the Company use the new material management functionality?

A. For background, Material Management for contractor yards is a business partnership where contractors request, receive, store, and install materials for Con Edison projects. Under Con Edison’s Construction Department's oversight, the Company manages inventory for approximately thirty contractor yards, including both indoor and outdoor facilities throughout the five boroughs and Westchester County. This functionality will allow us to order and track materials, manage logistics, maintain inventory, and provide comprehensive reports associated with Con Edison materials in contractor yards.

The Construction organization manages an annual material value of approximately $100 million and is expected to grow substantially with the addition of new substations and other clean energy work. The system’s monitoring and controls will help reduce shrinkage and potential fraud, as well as modernizing the current manual ordering process.

The enhanced controls from this project will provide transparency into on-hand inventory and trigger points for

replenishing of materials. Additionally, improved data collection will provide detailed and accurate material inventory at contractor yards.

Q. Are there regulatory components to this project?

A. The project involves implementing a material management module in the current Construction Work Management System (CworX), which is based on the IBM Maximo platform. CworX, a Sarbanes Oxley (SOX) system was implemented in August 2024 and is Construction's work management system which processes payments and manages other construction related functions such as planning, project tracking and execution. The underlying request for a Material Inventory System is recognized by the Company as a "Day 2" build of new inventory functionality, meaning that it would be implemented after the initial launch phase of CworX to enhance the tracking, management, and optimization of materials within the company's supply chain. This system will ensure accurate inventory levels, reduce shrinkage, and improve overall operational efficiency.

Q. Please discuss Staff's adjustments to the Material Management Inventory Upgrade.

A. Staff recommended (p. 197) denying the requested funding in full, claiming that "[t]his strategic project is underdeveloped and results in insubstantial avoided costs."

Q. Do you agree with Staff's assessment?

A. No. First, the Company disagrees with the characterization that this project is underdeveloped. This project is a "Day 2" add to the recently deployed CworX - a SOX system in which over $1.4 billion in contractor payments are processed on an annual basis. The Company has developed scope and implementation plan for this work. The product to be used is the Company standard for Central Operations and the Construction Organization. This solution integrates with the Maximo platform, which in turn integrates with Oracle EBS. We possess in-house expertise in deploying modules within the IBM Maximo platform.

Q. In relation to staffing, does the Company agree with Staff's recommendation to seek a more cost-effective solution that 12 FTEs?

A. The initial analysis of 12 FTEs is for the onboarding and collection of material information into the module, as well as conducting a thorough assessment of the "as is process" and inventory at 30 contractor yards. Once the assessment and stabilization period are completed, we expect the

assessment to confirm that the ratio of 1:5 FTE to contractor yard management is appropriate.

Q. Please continue.

A. As discussed in the white paper, there are non-financial benefits: including process optimizations and efficiencies, improved transparency and visibility in material inventory at contractor yards, enhanced controls in material ordering, and better transparency to accurately manage inventory and material requests. This will help ensure that materials are available for timely work execution, enabling reduction of waste, lower costs, and improved customer satisfaction.

V. Core Infrastructure

XM8 Telecommunications Equipment

Q. Please explain XM8 Telecommunications Equipment.

A. As discussed in our initial testimony (Exhibit __ (IT-8)), XM8 Telecommunications Equipment (XM8) manages telecommunications equipment that support the Company's wireless and telephone networks, enabling employees to communicate and access various business systems, including process management systems, monitoring and control systems.

It also covers end-user customized telecom solutions and upgrades to subscriber equipment.

Q. Please discuss Staff's adjustments to XM8.

A. Staff applied a five-year linear forecast in recommending capital funding of $4.691 million, $5.146 million, and $5.601 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $2.882 million.

Q. What was Staff's justification for its recommendations?

A. Staff based its reduction on the assertion that the elements of the project are not sufficiently justified; that the project is strategic, pointed out an apparent contradiction regarding statements about cost avoidance in two documents, and that the Company already has a prioritized list of elements necessary to maintain current operational conditions.

Q. Does the Company agree with using a linear average?

A. No. Past spending is not always reflective of what is needed in the future. For example, increases in equipment prices and services are not expected to be linear in the next few years due to tariff increases, the expected interruption in the global supply chain, and the

availability of raw materials that go into the manufacturing of equipment.

Inflation can lead to higher costs for both labor and materials. For instance, the cost of specialized components like semiconductor chips has been volatile, affecting the prices of telecommunications equipment.

The increasing volume of aging telecommunications equipment necessitates greater investment in end-of-life replacements. This situation is driven by several factors, including technological advancements that render older equipment obsolete, the need for higher efficiency and reliability in communication networks, and compliance with safety standards.

Investing in new equipment provides opportunities for improved performance, scalability, and integration with emerging technologies.

In addition, advancements in technology mean that outdated equipment becomes more expensive to maintain and harder to integrate with new systems, necessitating upgrades.

All these factors must be considered when forecasting future expenditures.

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. To restate/clarify the benefits of the strategic elements of this project include the enhancement of mobile radio systems, telephony infrastructure, dispatch console, and turret systems utilized by control centers in all three commodity business units during day-to-day operations and during storm events and emergencies. These upgrades facilitate improved communication between electric, gas, and steam control centers and all operating crews, providing reliable service delivery to our customers. Upgrading conference room audio/video equipment with high-quality systems enhances meeting connectivity. This improvement in collaboration quality is crucial during safety meetings and storm events.

Q. Why are these benefits necessary?

A. Updated, customized end-user telecommunications solutions enhance communication clarity and reliability, which are critical for the stable and safe operation of energy systems. Upgrading subscriber equipment, such as modems, hand-held radios, and phones, along with investing in system upgrades, supports various business functions, including process management for electric, gas, and steam

operations, as well as monitoring and control systems. Reliable telecommunications systems are essential for addressing outages, mitigating risks associated with inadequate communication systems, and continuous operations. Additionally, robust cybersecurity measures integrated into these upgrades help protect against cyber threats.

Further, for customers, these upgrades translate into fewer service interruptions, enhanced response times during emergencies, and overall improved service quality.

Q. Please continue.

A. These enhancements enable precise and efficient collaboration during safety meetings, emergency responses, and storm restoration.

Q. Are Staff's reductions on the basis of expected cost avoidance warranted?

A. No. To be clear, replacing end-of-life equipment will not result in a net cost avoidance. As noted above, the major project benefits are realized from replacing end-of-life equipment.

XM10

Q. Please explain XM10.

A. As discussed in our initial testimony (Exhibit __ (IT-8, pp. 43-48)), XM10 enhances the core computing infrastructure that underpin reliable and resilient operations across data centers, networks, and end-user environments. This includes replacing outdated computing equipment, such as servers, storage systems, switches, and routers, and expanding capacity to support emerging application systems and growing operational demands. Further, XM10 promotes full lifecycle management of end-user devices, including desktops, laptops, tablets, mobile data terminals, and printers, along with the infrastructure that supports them. Together, these efforts strengthen the organization's ability to deliver secure, scalable, and efficient technology services.

Q. Please discuss Staff's adjustments to XM10.

A. Staff used its five-year linear forecast to recommend a capital budget of $22.723 million, $24.469 million, and $26.576 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $16.22 million.

Q. What was Staff's justification for its recommendations?

A. Staff claims (pp. 119-124) that other recommended reductions to data center budgets and the cancelling of

other initiatives that would otherwise result in increased data growth warrants a reduction to the project budget. Further, Staff claims that the reduction in FTEs recommended by Staff results in a reduced need for equipment (e.g., less desktops, tablets, laptops, field devices, and printers). Staff also categorizes certain equipment as not being operationally required and, therefore, a basis for reducing the project budget. Staff also claims that the Company does not explain the need for 10,000 new and more modern devices.

Q. Do you agree with the Staff Panel’s rationale for its reduction?

A. No. XM10 is vital for the Company's ability to maintain, protect, and enhance its IT infrastructure. The proposed capital budget increase and its associated strategic investments are essential to fulfilling the Company’s obligation to maintain a secure, adaptable, and operationally efficient IT environment. These investments are not discretionary; they are required for compliance with cybersecurity standards, to support evolving operational demands, and maintain the reliability of critical infrastructure systems. The linear forecast methodology used to recommend a reduction in the RY1

through RY3 capital budget does not correctly reflect the realities of infrastructure planning. Staff's rationale overlooks the significant and non-linear increases in costs driven by cybersecurity requirements to address external cyber threats to our computer infrastructures as well as price increases year over year and tariffs applied to the majority of our systems purchased. Cyber threats are constantly evolving to exploit new and unknown vulnerabilities which can only be addressed by patching of systems and their refresh/replacement which require new hardware standards to accept these security updates. This trend is expected to continue as the Company expands its capacity and infrastructure to support business and service delivery applications and operational demands for our external customers, such as the expansion of EGIS and AMI. The investments in these expansions are necessary to support organic growth of daily operations as well as planned and unplanned initiatives. These forward-looking investments are essential to keep the Company's IT infrastructure secure, scalable, and resilient.

Q. Do you agree with Staff's rationale that project element categorization warrants their recommended reductions?

A. No. While some equipment may be categorized as "strategic," failure to implement these elements would directly impact operational reliability, especially in field operations and emergency response.

Q. Please explain.

A. XM10 is the backbone of the Company's computing systems, funding all IT equipment for data centers, co-location facilities, and end-user computing, making it essential for operational continuity and cyber protection. It supports critical infrastructure across computing, networking, facilities, and data management, providing reliable access to systems for all employees — office, field, or remote (including but not limited to AMI, Work Management Systems, and Outage Management Systems). Application upgrades, end-of-life/support, and cybersecurity demands are driving the need for device refreshes, not discretionary upgrades. The lifecycle of devices is in a constant state of refresh. As applications are upgraded, security threat identification and performance capacities increase.

Unsupported hardware and software no longer receive critical security patches, leaving systems exposed to zero-day exploits, malware, and other advanced threats. As vendors phase out support, even routine updates can break

compatibility, forcing premature obsolescence of otherwise functional equipment. For example, Windows 11 cannot run on older desktop/laptop hardware lacking compatible TPM chips, making those systems ineligible for future updates. This not only increases the attack surface but also undermines compliance with security standards.

Q. Why is this project required now?

A. Operationally, legacy systems become a liability if they are unable to meet the performance demands of applications, slowing down workflows, increasing downtime, and straining IT resources. Departments across the organization increasingly rely on resource-intensive software for their daily operations, such as Work Management System (WMS). These applications demand higher computing power, memory, and graphics capabilities than legacy systems can provide. The life cycle of a system coincides with the vendor provided support (hardware and software patches released on a regular basis). These systems are in a constant state of refresh for the entire internal customer base (office and field employees). Without timely upgrades, users experience degraded performance, longer processing times, and reduced productivity. Refreshed hardware is essential not only for compatibility with evolving software platforms but also for

enabling advanced features that streamline workflows and support future innovation.

Q. What other areas would Staff's recommended budget impact?

A. The inability to procure refreshed devices also impacts onboarding. Without sufficient funding to replace outdated equipment, newly hired employees will not receive functional devices on day one that are required to perform their function, delaying their integration and reducing early productivity to access critical and required systems. Ensuring that new hires receive fully functional devices on day one is critical to onboarding success and operational readiness.

CCTN

Q. Please explain the CCTN program.

A. As we discussed in our initial testimony regarding the CCTN program (Exhibit __ (IT-8, pp. 1-8)), the Corporate Communication Transmission Network (CCTN), a high-speed telecommunications infrastructure, provides essential communication services for the safe and reliable operation of the Company's substations, Energy Control Centers, and data centers. CCTN supports critical operational functions such as Supervisory Control and Data Acquisition (SCADA)

systems, substation feeder protection, data management, voice and wireless communications, and operational communication across substations, energy control centers, data centers, and corporate facilities. This program will, among other things, upgrade aging outside plant fiber cables, install new fiber optic cables to establish network connectivity at previously unserved sites, upgrade network equipment at end-of-life and/or end-of-support conditions, and modernize the network.

Q. Please discuss Staff's adjustments to the CCTN program.

A. Staff recommended a budget of $11.899 million, $12.406 million, and $12.912 million for RY1, RY2, and RY3, respectively, thereby decreasing the overall request by $22.783 million.

Q. What was Staff's justification for its recommendations?

A. Staff used a five-year linear forecast of historical spending, averaging approximately $10.9 million annually (adjusted for inflation) between 2020 and 2024 to develop its adjustment. Staff considers the budget to be insufficiently justified and notes that although some infrastructure is aging, it is functioning and meeting critical service needs without failure.

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. The Company's proposed $20 million annually spend will address operational needs, infrastructure lifecycle requirements, and network modernization. Staff's theory that the equipment is still operating and therefore will continue to operate over the next several years may hold true for some equipment, but other equipment will likely fail. The Company cannot ignore the system age and hope that all the equipment will continue to operate indefinitely.

Q. Please explain.

A. This project is intended to maintain service and slightly grow the existing CCTN system. Several systems have already reached end-of-life, and they must be replaced based on the risk to long-term network reliability and supportability. Additionally, the scope and complexity of the planned projects, such as replacing aging outside plant fiber cables, upgrading end-of-life network systems, and expanding capacity to meet evolving operational demands—are driven by the need to maintain service reliability and operational effectiveness. Additionally, these systems are seeing increased volumes of day-to-day transactions, from

for example, AMI, SCADA and Corporate Data. This growth in demand places a strain on the network, increasing the need for replacement and upgrade. While the upgraded infrastructure may also support future capabilities, the primary purpose of the investment is to meet existing operational requirements and avoid service disruptions.

Q. Why is it necessary to upgrade the Company's aging outside plant fiber cable?

A. A significant portion of the Company's outside plant fiber cable is approximately 30 to 40 years old and is showing signs of age-related degradation, which will impact long-term reliability if not addressed proactively. Our fiber cables have undergone multiple repairs and splices due to aging (installed in the late 1980s) and harsh environmental conditions. These splices have left us in some cases with no spare strands left, making replacement essential.

Q. Why is long-term reliability of CCTN a concern?

A. Because this equipment supports SCADA, feeder protection, and data center operations, a failure of this infrastructure could result in the ECC losing visibility into critical feeder monitoring at substations. Inability to monitor feeders at substations may lead to unplanned outages and delays in executing SCADA functions such as

remote switching, fault isolation, and load restoration. Loss of visibility significantly impacts outage response times. Such delays can hinder timely restoration efforts and pose public safety risks, especially during emergency response situations.

Q. Staff claims (p. 127) that there is "no evidence suggesting that the benefits arising [from this program} will outweigh the costs." Do you agree?

A. No. As we have noted this is foundational equipment that upon failure can cause, among other things, a lack of visibility at the ECC to monitor equipment, resulting in public safety risks. There is a significant risk of equipment failure if it remains in its current condition.

Q. Does the existing fiber infrastructure have capacity to support continuous growth in network demands?

A. No. The existing fiber infrastructure does not have sufficient capacity to support continuous growth in the network demand. This growth is driven by expanding operational requirements across the system, including increased connectivity needs resulting from new substation developments and other infrastructure enhancements. As more systems and field assets require real-time data exchange and monitoring, the demand for high-speed, reliable

communications continues to rise. Proactively replacing aging fiber helps ensure continued network performance and scalability, while also avoiding the risk of unplanned service disruptions that could impact critical operations. This work is part of the Company's lifecycle-based infrastructure strategy and is necessary to maintain operational continuity.

Q. Why is it necessary to replace the Company's Synchronous Optical Networking (SONET) and Dense Wavelength Division Multiplexing (DWDM) infrastructure now, even though these systems are still operational, and the network is currently meeting critical service needs?

A. While the current communications network continues to support essential operations, its long-term performance and scalability are challenged by aging infrastructure and end-of-life equipment. The legacy SONET and DWDM systems are no longer supported by vendors, and replacement parts are becoming scarce or unavailable.

Technology Modernization – Applications and Infrastructure

Q. Please explain the Technology Modernization – Applications and Infrastructure program.

A. As described in our filing (Exhibit __ (IT-8, pp. 43-48 - Infrastructure Technology Modernization) and (pp. 49-52 (CECONY Technology Modernization – Applications)), the Technology Modernization Program – Applications and Infrastructure is a consolidated program, consisting of two white papers.

The Infrastructure Technology Modernization program focuses on modernizing Con Edison's IT infrastructure, making it more efficient, and resilient. This program will upgrade data centers, expand cloud and colocation capabilities, and introduce automation through AI-powered tools and practices, like Site Reliability Engineering (SRE). The initiative also focuses on improving the employee experience through a redesigned IT service portal and streamlined digital workflows. These efforts support operational excellence, cybersecurity resilience, and future scalability.

The CECONY Technology Modernization – Applications program does similar work as the prior program, but focuses on applications itself (i.e., Operating System, Database, Programming language)s Our plan requires modernizing or replacing over 165 business-critical applications and

performing security hardening on more than 90 high-risk applications.

Q. What are business critical applications?

A. Business-critical applications are those that directly enable core operational, regulatory, or customer-facing functions, where failure would result in significant disruption or compliance risk. For example, OMS and AMI are considered business critical applications.

Q. What are high risk applications?

A. High-risk applications are applications that are needed to function but face higher levels of risk, such as lack of vendor support, known security gaps, integration fragility, and the inability to meet current performance or compliance standards. These applications were identified through a structured evaluation process that considered their role in supporting essential business operations, their exposure to cybersecurity vulnerabilities, and their dependency on outdated or unsupported technologies.

Q. How did Staff handle the two projects?

A. Staff discussed them together as one project.

Q. Please discuss Staff's adjustments to the two projects called Technology Modernization – Applications and Infrastructure.

A. Inflating the average historical spending to 2026 dollars, Staff recommended capital funding of $22.408 million, $22.946 million, and $23.451 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $45.525 million. In addition, Staff recommended a reduction on the incremental O&M request of $6.82 million, 1.983 million and $.750 million for RY1, RY2 and RY3, decreasing the overall request by $7.789 million.

Q. What was Staff's rationale for its adjustment?

A. Staff claims (pp. 136-138) that there is insufficient justification for these two projects; that they are strategic, not operational, and that the benefits do not outweigh the costs. Staff also comments that the Company notes that there will be $2 million is cost avoidance, which Staff claims is insignificant given the amounts associated with the program.

Q. Did any other party recommend adjustments to this program?

A. Yes, NYECC recommends rejecting the Company's funding request in full.

Q. What was Staff's justification for its recommendations?

A. Staff claims that both projects contain insufficiently justified project elements.

For both projects, Staff claims that they are strategic work and that there is no evidence indicating that the benefits will outweigh the costs.

Q. What was NYECC's justification for the adjustments?

A. NYECC argues, in essence, that the status quo is acceptable and that the requested investments are unnecessary.

Q. Do you agree with the Staff Panel's and NYECC's rationales for their proposed reductions?

A. No. These two initiatives will modernize both infrastructure and applications. The work may be different on each infrastructure component or application but the aim in the end is the same – a more modern system.

Q. Is the use of an inflation adjusted historical average for these programs appropriate?

A. No. The prior spending for these programs involved a more limited scope. For example, on the infrastructure side, the scope has evolved to address emerging operational needs, including transitions to colocation data centers to address

space and reliability constraints, and implementing Site Reliability Engineering (SRE) to automate and stabilize infrastructure operations, For applications, a new element has been introduced to emphasize application security, such as proactively scanning and remediating application code vulnerabilities, which was not previously included in this program. These initiatives represent a significant expansion in scope when compared to prior years, making historical capital spending an unsuitable basis for determining current funding needs.

Q. Please comment on the strategic versus operational issues for these projects.

A. While some elements of these programs may appear strategic, most are operationally required. For example, on the infrastructure side, the move to colocation data centers is not just a strategic shift, it is operationally necessary due to space constraints and the decommissioning of aging facilities. Similarly, application modernization is required to maintain compatibility with evolving technology and business requirements, as applications must be regularly updated to ensure performance, security, and integration with newer systems and platforms.

Q. Please comment on Staff's statement that the cost avoidance is insufficient.

A. The driver of these two projects is properly maintaining infrastructure and applications, not cost avoidance. The level of cost avoidance is not relevant to the need for either project. It is important to note that nowhere does Staff say that the project is unnecessary or that modernization is not needed.

ServiceNow Platform Expansion

Q. Please explain the ServiceNow Platform Expansion.

A. As discussed in our initial testimony (Exhibit __ (IT-8-Upd)), the ServiceNow Platform Expansion will fix existing gaps in the platform's asset tracking and IT operations. Service Now is the platform the Company uses for IT incident tracking, change management, and asset configuration. We are upgrading to the next version of Service Now to assist in asset management, compliance, automation, contract workflows, and project portfolio management.

Q. Please discuss Staff's adjustments to the ServiceNow Platform Expansion.

A. Applying its 70 percent adjustment methodology, Staff recommended a capital budget of $1.219 million, $5.074 million, and $4.090 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $4.451 million. Staff recommended an incremental O&M budget of $.338 million, $.664 million, and $.552 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $.150 million, including a reduction of two FTE's.

Q. What was Staff's justification for its recommendations?

A. Staff claims that the project has elements unnecessary to maintain operations standards, that the project is the benefits will outweigh the costs, that there are no avoided costs and there are alternatives to the project, including maintaining existing practices and processes.

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. Staff's argument that the ServiceNow Platform Expansion contains elements unnecessary to maintain continued operational standards misses the point of the project. The requested funding includes costs for licenses and implementation for the Software Asset Management module which will provide centralized software deployment and

license tracking. If not implemented, there is increased risk of software compliance and financial costs arising from lack of compliance. That is, employees may be using software for which the Company does not properly have a license. Having proper licenses is necessary to maintain operational standards.

The project will also add the IT Operations Module (ITOM), providing the Company with a single event management tool and moving away from disparate systems and manual processes. This module will cover events such as servers, network devices being down; security breaches for unauthorized access to the network, to application performance issues. It will automate, categorize and prioritize events, allowing teams to focus on the most critical incidents. For example, regarding customer service incidents, the module allows for faster resolution and minimizing disruptions to our customers. Similarly, this module provides the ability to proactively create vulnerability tickets for servers and applications, meaning that we are not just waiting for incidents to occur; we are actively managing and reducing our risk exposure when the operational teams remediate the vulnerabilities.

Q. Please discuss Staff's avoided cost argument.

A. As explained earlier, not every project will have an avoided cost. Cost savings do not drive the projects that we do. This project will save potential issues by confirming software licenses and allowing the Company to better address incidents.

Q. Do the benefits of the project outweigh the costs?

A. They may. But this project is being undertaken to improve our abilities.

Q. Staff claims that there are alternatives to undertaking this project. Please comment on this position.

A. Essentially, Staff's position is to continue the existing process as is. Continuing a manual process will slow incident response time and leave the Company vulnerable to licensing issues. These are functions that can and should be addressed.

Data Center and LAN Infrastructure Improvements

Q. Please explain the Data Center and LAN Infrastructure Improvements project.

A. As discussed in our initial testimony (Exhibit __ (IT-8)), Data Center and LAN Infrastructure Improvements invests in the existing physical IT infrastructure of our data centers, and satellite locations where computing systems

infrastructure is located. This program includes investments for cooling, power, control, monitoring and cabling for IT infrastructure. We must maintain the availability and reliability of the critical applications and communications that the Company relies upon. This program continues efforts to reduce the risks associated with aging components by updating and securing current data center equipment and systems.

Q. Please discuss Staff's adjustments to project Data Center and LAN Infrastructure Improvements.

A. Staff recommended (pp. 130-131) a budget of $3.339 million, $9.205 million, and $11.165 million for RY1, RY2, and RY3, respectively, decreasing the Company's overall request by $10.161 million.

Q. What was Staff's justification for its recommendations?

A. Staff reduces the request to 70 percent, noting that the project is strategic, that it is not necessary to maintain operational standards, there is no evidence to suggest that the benefits will outweigh the costs, and the need to realign this project with the cuts recommended to the related Control Resiliency Phase 2 project, AMI

Sustainability project, and the denial of the Transforming Outage Management with Advanced AMI Integrations.

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. Strategic improvements in data center infrastructure, such as upgrading cooling, power, control, monitoring, and cabling systems, are essential for maintaining the reliability and availability of critical applications and communications. These enhancements mitigate risks associated with aging components, support critical systems used for energy delivery, and reduce errors, improving operational efficiency.

Q. How will strategic improvements in this project benefit operations?

A. Strategic investments in this project will benefit operations in several key ways:

- Redundancy and Upgrades: Strategic elements of the project are required to sustain current operational standards. For example, implementing HVAC redundancy provides continuous cooling even if one system fails. For instance, one of our data centers invested in a new chiller with a portable hookup and HVAC redundancy, enhancing its cooling capabilities. This data center contains the Company mainframe and the

back-up broadband connectivity to the internet and all cloud-based applications including internal and external facing. A loss of HVAC will necessitate a costly and disruptive disaster recovery exercise and potential downtime to those critical systems. The absence of redundancy in critical systems markedly elevates the risk of failures, which can result in extended downtime and substantial operational disruptions. This highlights the essential need for integrating redundancy as a strategic element.

- Networked Building Management Systems (BMS): These systems allow for better monitoring and control of HVAC systems, helping detect issues early and providing timely responses to maintain optimal ambient conditions. Modern BMS include cybersecurity measures, such as network management cards, software updates, and firewalls to protect these systems from unauthorized access and cyber threats.
- Environmental Monitoring: This supplements BMS by providing data on temperature and humidity levels, crucial for maintaining HVAC system performance. Secure sensor networks, regular vulnerability assessments, and data encryption ensure the security and integrity of environmental monitoring data.
- Precision Cooling: Data centers require precision cooling systems to handle high heat densities, maintaining consistent temperature, humidity, air movement, and air cleanliness to prevent equipment failures and costly downtime.
- Power Distribution and Redundancy: Reliable power distribution through fully redundant systems, such as

IT Room UPS and rack power distribution systems, supplies continuous power to critical equipment.

- Incident Response and Monitoring: UPS systems equipped with monitoring capabilities send alarms and temperature data to the Network Operations Center (NOC), helping to identify and address issues before they escalate - thus avoiding downtime of critical systems hosted in the data centers.

These benefits are not "nice to haves." They are essential to the proper functioning of modern data centers and illustrate how strategic improvements can enhance reliability, efficiency, resilience, and cybersecurity, preventing downtime and reducing maintenance expenses.

If the backbone for operating computing systems in a facility is not properly working, it will affect operations by causing downtime to critical systems housed in the facility.

Q. What risks arise if these improvements are delayed?

A. Delaying these improvements will lead to increased risk of system failures, downtime, and operational inefficiencies. Aging components are more prone to breakdowns, which can disrupt critical operations and applications including, for example, CC&B, AMI, and OMS, subsequently resulting in repairs and outages. Additionally, postponing upgrades can

hinder the ability to support new technologies and applications, reducing overall agility.

Q. Is reducing the scope of this project an effective strategy?

A. No. Breaking up the work into smaller, disjointed projects can impact project synergies and increase overall costs in the long term. For example, there are synergies in executing remediation projects together. For example, two data centers at the same location require similar upgrades to their power and cooling systems. Upgrading the two data centers at the same location simultaneously can leverage project synergies, reducing overall costs and improving efficiency. Fragmenting these projects would forfeit these synergies, leading to higher individual project costs and inefficiencies. Additionally, spreading out the work can result in repeated mobilization costs, prolonged project timelines, and increased complexity in project management, ultimately increasing the overall cost.

Q. Please comment on Staff's statement that this adjustment also reflects reductions to other projects.

A. As noted herein, the Company does not agree with these other adjustments and therefore costs associated with those programs should not be additive to this project.

Enterprise Architecture Modernization

Q. Please explain Enterprise Architecture Modernization.

A. The Enterprise Architecture Modernization project is a two-prong project intended to provide both IT and users with information, including current technology status, as well as to help IT and users understand architecture requirements when implementing projects. Currently, if a user group suggests implementing a technology, Enterprise Architecture (the Company organization responsible for determining how projects are architected and designed) manually reviews each suggested technology and advise users on acceptability or obsolescence. The Company employs almost 800 products, and Enterprise Architecture reviews 80-100 suggested products annually. This project will automate the review and provide users with this information, including providing proactive blueprints and frameworks for IT and users to understand technology and obsolescence of tools.

These products will continue the Company's progress toward an enterprise technology view as well as using consistent technology when developing and implementing new use cases.

Q. What are the key benefits of proceeding with the full project scope?

A. Implementing a standardized architecture framework and complimenting governance processes provides secure, efficient, and consistent technology adoption. It will help the Company better understand the existing technology debt and make it available to IT and users, so there is a common, overall understanding of the technology before its even suggested. These improvements directly support cyber resilience, operational excellence, and compliance with industry standards.

Q. Please discuss Staff's adjustments to Enterprise Architecture Modernization.

A. Staff recommended (pp. 251-253) reducing the capital request by $424,000 over three years, suggesting capital budgets at $448,000 for RY1, $459,000 for RY2, and $469,000 for RY3. For incremental O&M, Staff reduced the total request by $177,000, recommending incremental O&M budgets of $234,000 for RY1, $182,000 for RY2, and $156,000 for RY3.

Q. What was Staff's explanation for this adjustment?

A. Staff's reductions, which were calculated by inflating the average of historical spending to 2026 dollars, reflect three arguments. First, that as an alternative, the Company noted that the Enterprise Architecture group could remain at the current size, thereby not undertaking the work. Second, the project is already 50 percent complete. Third, based on its reductions to new initiatives and the Company's ability to adjust the project scope, Staff concluded that the project could be completed within a lower budget without impacting essential objectives.

Q. Do you agree with the Staff Panel's rationale?

A. No. Users should have the upfront ability to understand the Company's position on potential project technology. Our current efforts only result in manual reviews of about 15 percent of the technology being used or considered. Using automation, the constantly changing database will be increased and updated, keeping users up to date on technology.

Keeping the same level of staff without automation will continue the current dynamic, which potentially creates blind spots to the current versions of products in use.

Decreasing other projects does not assist in decreasing the work as we already are not meeting the Company's needs.

This project keeps technology at pace with business needs and industry changes, including advances in cloud computing, data governance, and AI. It is also essential for strengthening our cyber defenses and replacing outdated systems. Without this modernization, the Company would be more vulnerable to security threats and operational inefficiencies, making it harder to deliver reliable and secure service.

Q. Does the project assist with cyber risk?

A. The modernization effort includes the implementation of a Security Reference Model, which includes industry-standard governance processes and is vital for identifying vulnerabilities, meeting compliance requirements, and proactively managing cyber threats. Without these modernization measures, the Company remains exposed to unsupported technologies and inconsistent security practices.

VI. Enterprise Data & Analytics

Customer Data and Analytics

Q. Please describe the Customer Data and Analytics program.

A. As discussed in our initial testimony (Exhibit __ (IT-9, pp. 19-32)), the **Customer Data and Analytics** program is designed to centralize and enhance the use of customer data to improve service delivery, enhance operational efficiency, and support the clean energy transition. It connects disparate customer data sources to identify patterns and predict customer needs, enabling more personalized and proactive engagement. The program will deliver enterprise-wide data products like Customer360, support advanced analytics use cases (e.g., call volume forecasting, arrears prediction, fraud detection), and empower teams across departments with self-service analytics tools.

Q. Please discuss Staff's recommendations with respect to the Customer Data and Analytics program budget.

A. Staff recommends (p. 183) reducing the Company's proposed capital budgets for this program from $10.171 million to $8.638 million in RY1, from $13.561 million to $8.845 million in RY2, and from $12.205 million to $9.040 million in RY3. Overall, this is a $9.414 million reduction over the three-year period.

For the project's O&M budget, Staff recommended reducing the Company's request for $1.094 million in incremental O&M funding in RY1 to $977,000; the Company's request for an

incremental $1.459 million in O&M funding in RY2 to $952,000; and the Company's request for an incremental $1.148 million in RY3 to $850,000. Overall, this represents a reduction of $1.663 million in incremental O&M funding. These budget reductions were based on inflating the average of historical spending to 2026 dollars and reducing O&M by the same percentage as the capital expenditures.

Q. What was Staff's justification for its recommendations?

A. Staff argued that the project lacked cost-benefit justification and that it overlapped with other projects, like Back Office Automation and DCX. Furthermore, Staff contended that, due to the program's Agile framework, the Company could reduce the project scope to fit within Staff's recommended budget.

Q. Do you agree with Staff's rationale for its recommendation?

A. No. This work has clear program benefits. Further, the Company disagrees with Staff's budget reduction methodology.

Q. Why does the Company disagree with the budget reduction methodology?

A. Staff's use of a reduction based on prior years spending does not consider the different stages of the data and analytics projects. The historic years used (2020–2024) encompass two distinct stages of the program. During the

program's initial phase (2020-2022), the Company was implementing the program, spending funding on setup costs and foundational use cases. Following this initial phase, the Company moved into the operational phase. Thus, the 2023-2024 historic spending more accurately represents the funding levels needed to support the program than the Company's spending for 2020-2022. Moreover, the Company's 2025 spending forecast and its 2026-2028 request is in line with the 2023-2024 levels. Consequently, the adjustment should rely on only the 2023-2024 historic spending years.

Q. What are the benefits that further justify this program?

A. The benefits of the Customer Data and Analytics program are driven by two general outputs from its scope: (1) centralizing and standardizing data into data products and (2) delivery of analytics use cases.

Q. What are the benefits from centralizing and standardizing data into data products?

A. The creation of reusable data products by integrating data sources, modeling data into business terms, and standardizing shared definitions streamlines the analysis process and improves the quality of data needed for decisions within Customer Operations. The program's current data product supported 243,000 data queries in 2024 at an estimated cost avoidance of $1.68 million. In Q1 2025

alone, there were 266,000 queries executed, with an estimated $1.85 million of cost avoidance. Details on this update for 2025 can be found in the Company's Q1 2025 Strategic Customer Experience Report.

Q. Please explain the types of benefits that analytics use cases provide. Explain how many use cases the Company delivered in 2024 and provide an example.

A. Analytics use cases provide financial and non-financial benefits to the Company, its employees, and its customers. The program delivered 105 analytics use cases in 2024, many of which the Company discussed in the program's quarterly Strategic Customer Experience Reports. For example, a use case delivered in 2024 yielded an 11 percent reduction of call handle time for certain high bill calls. The Company achieved this successful result by identifying high bill calls and the average handle time for these calls, using this analysis to identify specific employees in need of improvement, and partnering with the Contact Center's training team on a custom training.

Q. Are there any operational benefits?

A. As the program has grown, its data and analytics use cases continue to become integrated into daily operations. Examples of how the program's impacts operational activities include:

- The program's data products include self-service analytics, allowing internal stakeholders to create their own analytics. This has been especially beneficial to the Outage Communications and CDG programs, which use the Customer Analytic Record for reporting and analysis.
- The Company uses credit and collections dashboards and a machine learning model daily to monitor customer arrears, improve field collections measurement and planning, and introduce new forms of customer communications.
- New tools and reporting provide contact center management insight into required staffing levels, allowing them to evaluate current and historical call metrics and engage employees about their call performance in new ways.
- Views into new case creation, initial customer interactions post case creation, case status tracking, escalations, and backlog management enable managers to prioritize work, summarize customer information, and evaluate which customers were contacted.

Q. Is there overlap between the Customer Data and Analytics program and the Back Office Automation program?

A. No. Back Office Automation focuses on automating repetitive manual tasks via Robotic Process Automation (RPAs). Conversely, the Customer Data and Analytics program focuses on reporting and analytics. It does not perform any back office work, except reporting. The back office work management tool provides dashboards with visibility into historical performance and areas needing intervention, like customer billing anomalies and complaints. With better

visibility into these areas of concern, the Company can more quickly address customer issues, communicate with customers in a more personalized manner specific to their issue and improve the customer experience.

Q. Is there overlap between the Customer Data and Analytics Program and DCX?

A. No. The Digital Customer Experience program enhances the customer experience on the Company's website, mobile app and other digital channels. The Customer Data and Analytics program, on the other hand, provides internal decision makers with tools, data products and analytics to measure omnichannel customer experiences, identify interdependencies between channels, and enable predictive analytics that identify the best channel through which to engage a given customer. Analytics outputs from the Customer Data and Analytics program can support DCX's strategy and inform future investments, but each program's development work is separate.

Q. Does the Company agree with Staff's recommendation to deny the Company's request for one additional FTE?

A. No. Removing this FTE would hinder the Company's ability to deliver on the use cases.

Q. Does the Company agree with Staff's Agile methodology assertion?

A. The Company does not agree with Staff's assertion around Agile methodology. Please see the Software Development Lifecycle Section earlier in the rebuttal for the Company's explanation for why Agile framework does not justify a reduction in the Company's budget request.

Q. Did Staff make any other recommendations with respect to the Customer Data and Analytics program?

A. Yes. Staff's Consumer Servies Panel recommended (pp.82-93) the Company submit annual reports regarding its Data and Analytics program.

Q. Does the Company agree with this recommendation?

A. The Company is already updating parties about this program through its Strategic Customer Experience reports filed quarterly in Cases 22-E-0064 and 22-G-0065, the most recent of which the Company filed on May 30, 2025.

Grid Asset Reliability and Resilience Data and Analytics

Q. Please explain the Grid Asset Reliability and Resilience Data and Analytics project.

A. As discussed in our initial testimony (Exhibit___(IT-9)), Grid Asset Reliability and Resilience Data and Analytics aims to modernize the Company's predictive maintenance program. Specifically, the project will better position the Company to more accurately predict and plan for asset

failures, perform predictive maintenance, and improve fault detection. Key areas of the program include developing analytics use cases around predictive maintenance, fault detection, long-term asset planning, cross-commodity analytics, inspection risk identification, and vegetation management.

Q. Please discuss Staff's adjustments to the Grid Asset Reliability and Resilience Data and Analytics project.

A. Staff recommended a capital budget of $7.592 million, $10.123 million, and $9.110 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $11.487 million. Staff also recommended an incremental O&M budget of $0.772 million, $0.825 million, and $0.694 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $2.241 million.

Q. What was Staff's justification for its recommendations?

A. Staff applies its 70 percent adjustment, claiming three factors. First, Staff states that a reduction in the GIS project budget warrants a reduction in this project's budget. Second, Staff claims an insufficient demonstration of cost avoidance and states that avoided costs arise outside the immediate rate period. Finally, Staff discussed

the alternative approaches provided in the project whitepaper and finds them acceptable.

Q. Did any other party recommend adjustments to this program?

A. Yes, NYECC rejects the Company's funding request in full.

Q. What was NYECC's justification for the adjustments?

A. NYECC argues (p. 33) that funding is not necessary because, for example, the Company is already "adequately predict[ing] and appropriately plan[ning] for asset failures …"

Q. Do you agree with the recommendations to reduce or remove the funding for this initiative?

A. No, we do not.

Q. Do you agree that Staff's proposed reduction to the GIS project warrants a reduction in this project?

A. No. The Enterprise GIS project is focused on the third phase of the Company's consolidation of GIS systems and is not related to the use of this data beyond that scope. This project is focused on the development of analytics related to grid asset reliability and resiliency with the goal of enabling better management of electrical faults, preventing safety incidents, and minimizing the risk of outages. GIS

data is an input into these analytics, but the funding of the eGIS project will not deliver the analytics in scope for this program. Further, for the reasons provided in this testimony, the Company does not agree with Staff's proposed reduction to the GIS project.

Q. Do you agree with the Staff Panel's claim that cost avoidance has been insufficiently demonstrated?

A. No. The Company provided detailed analysis, methodology, and benchmarking for its estimated cost avoidance in response to interrogatory DPS-30-740 from Staff.

Q. Do you agree that the alternatives for this project are acceptable?

A. No. Staff's discussion of project alternatives presents this effort as an enhancement to existing methods; this is not the case, as this project represents a new effort to build reusable and scalable analyses of the Company's grid assets. This work entails fault detection improvement through the identification of fault signatures in meter and sensor data and will represent a new ability to manage electric faults. This use case will help prevent safety incidents for both employees and customers, and reduce the risk of outages. The Company will integrate weather, customer, and asset data for long-term asset planning. This

will allow for better forecasting of future load requirements and strategic investments in grid infrastructure. This will enable the Company to better anticipate and respond to customer energy needs. These examples illustrate that continuing the program "as-is" is not a viable option.

Q. Please comment on NYECC's adjustment rationale.

A. The Company does its best to predict asset failures but the predictions can be improved through this project. This is a technology improvement that will better direct work.

Electric Work Management Data and Analytics

Q. Please explain the Electric Work Management Data and Analytics program.

A. As discussed in our initial testimony (Exhibit___(IT-9, pp. 54-62)), the Electric Work Management Data and Analytics program will modernize and optimize how electric work is scheduled, dispatched, and completed by leveraging advanced analytics. It aims to improve operational efficiency, safety, and customer experience by enabling predictive job scheduling, automating job verification, and integrating data from multiple systems into a centralized platform. The program supports strategic goals, such as reducing truck

rolls, enhancing crew safety, and aligning with clean energy and electrification initiatives. Ultimately, it seeks to increase work capacity and system reliability while reducing costs and supporting New York State's climate goals.

Q. Please discuss Staff's adjustments to the Electric Work Management Data and Analytics project.

A. Staff recommended a capital budget of $4.269 million, $5.692 million, and $5.122 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $6.461 million. Staff also recommended an O&M budget of $418,000, $588,000, and $422,000 for RY1, RY2, and RY3, respectively, decreasing the overall request by $606,000.

Q. What was Staff's justification for its recommendations?

A. Staff recommended reducing the budget for this program to 70 percent of the requested amount because this project is unnecessary to maintain current operational standards and lacked sufficient justification. Staff's claims that the Company did not show that the enhancements, such as streamlining outage management tools, would deliver benefits that outweigh their costs. Staff also claims the Company acknowledged that current restoration processes are adequate.

Q. Do you agree with Staff Panel's rationale for its reduction?

A. No. While this project may not result in a cost avoidance, the Electric Work Management Data and Analytics program aims improve resource management analytics and enhance safety. These benefits are tied to specific use cases, such as job duration estimates and safety analytics, which will lead to measurable qualitative improvements in planning and scheduling.

Q. Please continue.

A. Staff misunderstands the alternatives portion of the white paper. The Company explained that alternatives, keeping the program as is or procuring a vendor solution, would lead to siloed data and inconsistent reporting. This would hinder the Company's analytics capabilities and extend development times for new use cases.

Q: Does the Company agree that using an Agile framework is a relevant justification for reducing project scope to fit within Staff's recommended budget?

A: No. The Company does not agree. Please see the Software Development Lifecycle section earlier in the rebuttal for

the Company's explanation for why Agile framework does not justify a reduction in the Company's budget request.

Forecasting and Planning Data and Analytics:

Q. Please explain the Forecasting and Planning Data and Analytics project.

A. As discussed in our initial testimony (Exhibit___(IT-9)), the Forecasting and Planning Data and Analytics project is designed to address the Company's anticipated shortfall in forecasting and planning capabilities as the energy transition accelerates. The project enables the Company to model the impacts of electrification, uptake in clean energy technology, such as DERs, and customer behavior on energy systems - aligning with New York State's CLCPA goals. Ultimately, it aims to reduce uncertainty in forecasting, optimize capital deployment across the commodities, and improve customer experience through data-driven insights.

Q. Please discuss Staff's adjustments to the Forecasting and Planning Data and Analytics project.

A. Staff recommended that the entire capital funding be denied, decreasing the overall request by $24.012 million over the three-year period based on the Company request.

Staff also recommended that the entire incremental O&M funding be denied, decreasing the overall request by $1.893 million over the three-year period based on the Company request.

Q. What was Staff's justification for its recommendations?

A. Staff references three other projects – AMI Sustainability Program; Clean Energy, AMI and DER Data and Analytics Program; and AMI Steady-State – and indicates that these projects receiving partial funding will provide the benefits outlined for this project. Staff also bases its reduction on a perceived lack of evidence that the Company's forecasting or planning capabilities will become inadequate.

Q. Do the AMI Sustainability and AMI Steady-State projects Staff cites in its rationale represent either duplicative work or benefits in relation to this project?

A. No. The AMI Sustainability and AMI Steady-State projects are focused on the operation of AMI technology systems and AMI devices and network, respectively. Unlike this project, which focuses on the use of the data produced by these systems to enable improved capabilities in system-wide forecasting and planning, the AMI Sustainability and AMI

Steady-State projects focus on the hardening and maintaining the Company's AMI systems.

Q. Does the Clean Energy, AMI and DER Data and Analytics Program Staff cited in its rationale represent duplicative work or benefits in relation to this project?

A. No. While the Clean Energy, AMI and DER Data and Analytics Program is also focused on analytics and involves the adoption of new grid technologies, it does not target the same insights or outcomes as this project. That project seeks to identify opportunities to encourage the adoption of new grid technologies in support of the State's CLCPA goals. This project is focused on understanding the impact of said adoption for optimal forecasting and sufficient planning and avoid reliability issues, negative customer experiences, or avoidable cost to our customers.

Q. Do you agree with Staff's claim that there is insufficient evidence that the Company's forecasting and planning capabilities will become insufficient if this project is not funded?

A. No. Staff's claim is contradicted by the findings of the 2024 NYISO Reliability Needs Assessment, which clearly outlines that forecasting uncertainty is growing and being driven by state policies and the face of rapid changes in

the energy landscape. The 2024 NYISO Reliability Needs Assessment illustrates that historical trends in load growth will no longer be reliable indicators for future forecasted load growth (New York Independent System Operator. (2024, November 19). *2024 Reliability Needs Assessment (RNA)*. https://www.nyiso.com/documents/20142/2248793/2024-RNA-Report.pdf/0fe6fd1e-0f28-0332-3e80-28bea71a2344). Consequently, the Company needs to evolve its analytics capabilities to meet this need.

Q. Do any Public Service Commission orders underscore the need for this project?

A. Yes. The Commission's Order (PSC 23-G-0147) on the Con Edison Long Term Gas Plan requires the Company to "perform an optimization process to identify a preferred pathway" and to use that process to develop scenarios for the next long-term plan. Once that effort is completed, this mandate cannot be fulfilled without enhanced data analytics capabilities that support multivariable optimization across electric, gas, and steam systems. Denying this funding will directly undermine the Company's effort to develop tools that deliver the most cost-effective, emissions-reducing

solutions for customers and satisfy its regulatory obligations.

Q. Do any other industry groups support the Company's position that forecasting capabilities will become insufficient?

A. Yes. The Electric Power Research Institute (EPRI) launched an initiative specifically to address critical gaps in long-term load forecasting (Electric Power Research Institute. (2024, February 14). *Load Forecasting Initiative Kickoff Webcast* (p. 13). https://www.epri.com, Electric Power Research Institute. (2024, July). *Load Forecasting Overview* (p. 2). Electric Power Research Institute. https://msites.epri.com/lfi). One of the initiative's core workstreams focuses on developing new methodologies and guidance to incorporate emerging and large-scale loads from DERs and electrification. EPRI emphasizes that forecasting must evolve to track and predict customer adoption and to factor in load flexibility, as technology adoption is advancing rapidly.

Q. Are there any other shortfalls in Company capabilities that this project will address?

A. Yes. The Company does not currently develop cross-commodity asset investment plans, instead developing separate investment plans for electric, gas, and steam based on the

individual forecasts. It is imperative that we develop tools to optimize investments among electric, gas, and steam. This allows customers to benefit from having three commodities available in a coordinated planning process. In many cases, this coordination will be required to plan for customers' transition from gas to electric consumption.

Q. Would you like to address any additional parties in your rebuttal?

A. Yes. NYECC claims in its testimony that the Company already uses predictive modelling, electrification impact analysis, and other analytics use cases and, therefore, the funding request for this project should be denied.

Q. Do you agree with his assessment?

A. No. While the Company has achieved improvements with in-flight efforts, the future use cases demonstrate the ongoing need for further efforts.

Q. What factors drive the need for these further efforts?

A. The rapid growth of distributed energy resources (DERs) in New York is altering load patterns and challenging the effectiveness of traditional forecasting methods. Due to the highly variable and non-coincident load profiles introduced by DERs, relying solely on a single peak-hour

forecasting approach is no longer adequate. It is essential to transition to a dynamic peak hour, network-level analytical framework. By leveraging analytical capabilities, the Company will be able to proactively adjust its forecasting processes to accommodate the dynamic and decentralized nature of the modern grid.

Clean Energy, AMI and DER Data and Analytics

Q. Please explain the Clean Energy, AMI and DER Data and Analytics project.

A. As discussed in our initial testimony (Exhibit___(IT-9)), Clean Energy, AMI and DER Data and Analytics aims to enhance the Company's analytical capabilities to support the clean energy transition. It focuses on developing advanced analytics for distributed energy resources and customer propensity modeling, enabling improved customer engagement. By leveraging data, the project seeks to optimize operational efficiency and promote effective deployment of clean energy solutions.

Q. Please discuss Staff’s adjustments to the Clean Energy, AMI and DER Data and Analytics project.

A. Staff recommended a capital budget of $5.230 million, $6.973 million, and $6.275 million for RY1, RY2, and RY3,

respectively, decreasing the overall request by $7.919 million. Staff also recommended an incremental O&M budget of $0.533 million, $0.542 million, and $0.450 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $0.654 million.

Q. What was Staff's justification for its recommendations?

A. Staff claims that certain elements were lacking sufficient justification and evidence. Staff also suggested alternatives, such as continuing the program as-is.

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. The program is essential for supporting the Company's strategic goals related to the clean energy transition, as it enables the integration of advanced analytics for distributed energy resources and customer propensity modeling. The program's capabilities have continuously matured, and while there have been no expenditures since 2020 from this program, this does not diminish expenditures, and the value of the analytics developed under other initiatives which resulted in the foundational groundwork for building the analytics platform.

Q. Do you agree with Staff's statement that the program contains insufficiently justified elements?

A. No. The program emphasizes the necessity for continuous adaptation to new technologies and methods to support the clean energy transition. The Company's current analytics capabilities do not enable us to scale and deliver the analytics needed to meet our clean energy targets effectively. The Clean Energy, AMI, and DER Data and Analytics program is designed to develop advanced analytics that are critical for identifying customer propensity for adopting clean energy solutions.

Q. Do you agree with the Staff Panel's statement that there is no evidence to indicate that risk of no action will impact the customer experience?

A. No. The risk associated with not implementing the Clean Energy, AMI, and DER Data and Analytics program directly affects customer experience. The program is critical for identifying customers most likely to adopt clean energy solutions, thereby optimizing marketing efforts and improving customer engagement.

Gas Systems Analytics

Q. Please explain the Gas Systems Analytics project.

A. As discussed in our initial testimony (Exhibit __ (IT-9, pp. 80-88)), the project aims to modernize gas analytics across various operational areas within the Company, enhancing capabilities such as predictive maintenance, resource management, and emergency response. By utilizing advanced analytics, the program seeks to improve asset planning and optimize operational efficiencies for a reliable gas network. It supports the transition to clean energy and improved safety for both employees and customers.

Q. Please discuss Staff's adjustments to the Gas Systems Analytics project.

A. Staff recommended a capital budget of $2.615 million, $3.487 million, and $3.137 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $3.959 million. Staff also recommended an incremental O&M budget of $0.220 million, $0.446 million, and $0.281 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $0.406 million.

Q. What was Staff's justification for its recommendations?

A. Staff bases its reduction on a perceived overlap between this project and the existing Gas Applications project. Staff also perceived inadequate justification for deploying

advanced analytics at this time and claims that there is no evidence that the benefits of the new project components will outweigh their costs. Lastly, Staff notes that utilizing the Agile framework allows for modifications to the project scope to align with the recommended budget.

Q. Is there overlap between this project and the Gas Applications project?

A. No. The Gas Systems Analytics project is complementary to, and does not overlap with, the Gas Applications project; rather, it aims to build upon those improvements by incorporating advanced analytics and AI. For example, the Gas Applications program is the ongoing maintenance of existing Gas applications, such as Gas Central, which is the Company's work and asset management system. The data from Gas Central will be used in the Gas Systems Analytics program to deliver advanced analytics insights.

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. This project is designed to address specific gaps in capabilities, such as predictive maintenance and cross-commodity analytics. This project will leverage data from Gas Central to predict where work will be needed in the future. The Company does not conduct predictive maintenance

capabilities; this project is designed to fill this gap, enhancing reliability and operational effectiveness. The integration of these advanced tools is essential for optimizing operations and enhancing overall system reliability. The requested funding for this program will also enable the Company to incorporate public data sources with internal operational data, providing a more holistic view that can lead to improved decision-making and resource management in a way that is not currently achievable.

Q. What are some of the benefits the Gas System Analytics will provide?

A. The proposed analytics use cases are expected to enable operational efficiencies through enhancements in predictive maintenance, leak analytics, job scheduling, and cross-commodity analytics. While we currently lack the ability to fully quantify these impacts, specific initiatives like fault repairs could see a 20% reduction in faults. Implementing risk-based predictive maintenance for gas network components is anticipated to further reduce asset and repair costs. Other analytics use cases will also contribute to additional efficiencies through leveraging data to optimize work scheduling, leading to reduced travel and improved job site visits, as well as benefits in

marketing and billing accuracy. Overall benefits will be assessed and quantified as these use cases are rolled out.

Q. Does the Company agree with Staff's Agile methodology assertion?

A. The Company does not agree with Staff's assertion around Agile methodology. Please see the Software Development Lifecycle Section earlier in the rebuttal for the Company's explanation for why Agile framework does not justify a reduction in the Company's budget request.

Supply Chain Data and Analytics

Q. Please explain the Supply Chain Data and Analytics project.

A. As discussed in our initial testimony (Exhibit___IT-9, pp. 106-113)), the Supply Chain Data and Analytics project is designed to modernize and optimize the Company's supply chain operations — including procurement, vendor management, inventory, and warehouse logistics—through advanced analytics and centralized data governance. The project will improve forecasting, automate contract and supplier insights, and enhance operational efficiency, while supporting strategic goals such as cost reduction, risk mitigation, and clean energy readiness. By integrating data from multiple systems and applying tools, like

advanced analytics and AI, the project enables enhanced (i.e., smart, faster, more informed) decision-making, better vendor performance tracking, and more resilient supply chain planning.

Q. Please discuss Staff's adjustments to the Supply Chain Data and Analytics project.

A. Staff recommended a capital budget of $3.087 million, $4.117 million, and $3.704 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $4.675 million. Staff also recommended an incremental O&M budget of $0.277 million, $0.399 million, and $0.252 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $0.397 million.

Q. What was Staff's justification for its recommendations?

A. Staff applies its 70 percent methodology, claiming a lack of comprehensive justification for the proposed expenses. Staff emphasizes the necessity for a thorough cost-benefit analyses to demonstrate that the investments would yield tangible enhancements in supply chain efficiency and effectiveness.

Q. Did any other party recommend adjustments to this program?

A. Yes. NYECC rejects the Company's funding request in full.

Q. What was NYECC's justification for the adjustments?

A. NYECC argues (p. 34), in essence, that the status quo is acceptable and that the requested investments are unnecessary, concluding, without details or analysis that "the Company's current analytics capabilities meet its current needs."

Q. Do you agree with the Staff and NYECC's rationale for its reduction?

A. No. Staff bases its reduction on the estimated avoided costs of $2–$4 million, which it considers inadequate to offset the $4.4 million capital and $0.395 million O&M requests in RY1 - prompting a recommendation for budget reduction and a refocusing of efforts—under the Agile framework—on automations expected to yield the greatest cost avoidance.

Q. Are avoided costs the only benefit of the program?

A. No. Beyond the financial impacts, benefits of the program to the Company and its customers include:

- Improved Vendor and Employee Experience: By automating repetitive tasks and enhancing data accessibility, the program reduces manual workload and enables employees to focus on higher-value activities, improving overall job satisfaction and vendor interactions. This is critical now

as current processes rely heavily on manual data collection, introducing the risk of inefficiencies and inconsistent reporting.

- Enhanced Decision-Making: Centralized and standardized data analytics provide deeper insights, enabling better forecasting, planning, and strategic decision-making across supply chain operations. This is especially important now, as siloed data environments hinder the Company's ability to leverage analytics effectively.
- Support for Clean Energy Transition: The program facilitates the onboarding and management of vendors for clean energy solutions.
- Increased Operational Resilience: The program strengthens the Company's ability to respond to supply chain disruptions by enabling proactive risk assessment and further diversification of our supply base.
- Promotion of Supplier Diversificaiton and Community Impact: By incorporating supplier diversification and risk assessment models, the program supports procurement from small, local and diverse businesses.

Enterprise Data & Analytics Foundations

Q. Please explain the Enterprise Data & Analytics Foundations project.

A. As discussed in our initial testimony (Exhibit __ (IT-9, pp. 63-70)), the Enterprise Data & Analytics Foundations project will enhance and modernize the Company's analytics capabilities. The Company will have better ways to handle

data, follow regulatory and governance standards, and help different programs by using a cloud system that is both scalable and saves costs.

Q. Why is this project necessary?

A. Currently, analytics are being delivered in a siloed manner across the Company. This project creates a single, unified and governed Enterprise Data Analytics Platform (EDAP) that will centralize efforts across business units.

Q. Please discuss Staff's adjustments to the Enterprise Data & Analytics Foundations project and provide any historical spend where applicable.

A. Staff recommended reducing the proposed budget to 70 percent of the Company's request. This equates to a capital budget of $6.714 million, $6.822 million, and $5.476 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $8.147 million. Staff also recommended an incremental O&M budget of $1.916 million, $1.846 million, and $0.273 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $1.729 million.

Q. What was Staff's justification for its recommendations?

A. Staff bases its reduction primarily on the premise that its recommended adjustments to other projects in the Enterprise Data & Analytics project portfolio warrant a reduction to this project.

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. Staff's proposed budget changes for other projects affect the number of data integrations and analytics use cases delivered but would not change the Company's need for basic platform capabilities. Funding the Enterprise Data & Analytics (ED&A) Foundations project will enhance operational efficiency and strategic decision-making, including improved data integrity and accelerated analytics development.

Q. Do you agree with the methodology of Staff's reduction in capital and incremental O&M?

A. No. As referenced in the Capital and O&M Costs in IT Projects Section of the rebuttal, the capital funding request supports foundational technology investments in the ED&A Foundations whitepaper. The incremental O&M request is associated with supporting the platform, including increasing data volumes from new and existing data sources. This means that the need for incremental O&M is not tied

directly to the capital requested, and a reduction in capital funding will not reduce the need for O&M funding. Therefore, each budget should be assessed separately.

Q. Do you agree with Staff's assertion that there is no evidence to indicate reducing investment in the program will diminish the Company's current analytic capabilities?

A. No. This project aims to build a solid data, technology, operations, and governance foundation for analytics. Reducing the program prevents the Company from improving current processes and adopting new technologies that meet customer expectations.

Q. Do you agree with Staff's assertion that there is no evidence indicating that the benefits arising from the proposed project element will outweigh the costs?

A. No. The Company expects to realize the following benefits with this project:

1. Centralized Data Platform: Unifying enterprise data under a governed framework allows for a single source of truth to be reused across organizations and analytics projects, reducing the Company's overall expenditures on analytics platforms.

2. End-to-End Data Integrity: Enforcing data accuracy from source to platform will streamline costs and time required to maintain data integrity across systems, leading to reliable, actionable insights. This will enable business units across the organization to reliably deliver the benefits outlined in the programs under the Enterprise Data & Analytics portfolio.

3. Accelerated Solution Delivery: Reducing the need for repeated integrations will allow the Company to deploy analytics solutions faster, accelerating the delivery of solution benefits and supporting scalability and adoption of technologies like Generative AI. This enables the Company to provide its customers with innovative solutions as technology evolves rapidly.

4. Privacy, Security & Governance: Centrally securing and governing data allows the Company to protect the data gathered about the Company's operations and its customers, which is vital to maintaining customer trust and complying with privacy regulations.

Data and AI Governance

Q. Please explain the Data and AI Governance project.

A. As discussed in our initial testimony (Exhibit___(IT-9)), Data and AI Governance is an ongoing program which provides foundational data management capabilities to the Company including but not limited to:

- a data governance framework inclusive of maturity-based operating models and related processes;
- an enterprise data catalog and quality monitoring tool; and, most recently,
- a proposed risk-based AI governance framework to develop guardrails as the Company explores the use and usefulness of AI.

Q. Please discuss Staff's adjustments to the Data and AI Governance project.

A. Staff recommended a capital budget of $3.15 million, $2.8 million, and $2.45 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $3.6 million. Staff also recommended an O&M budget of $600,000, $266,000, and $415,000 for RY1, RY2, and RY3, respectively, decreasing the overall request by $550,000.

Q. What was Staff's justification for its recommendations?

A. Staff notes that recommended reductions to budgets associated with AI projects and programs implies a reduction of work associated with AI governance. It claims that reductions or denials to initiatives which would grow

the Company's volume of data in turn reduces the need for this project. Additionally, Staff indicates that while the project's whitepaper lists poor data quality as a risk, there is no evidence that without this program, Company data quality will decrease. Lastly, Staff notes that because the program is operating within the Agile project management framework, we can scale down scope to fit within the recommended budget.

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. The Data and AI Governance program is a foundational program enabling improvements to data management practices and maturity across the Company's data footprint. The program provides enterprise capabilities and support for all data and related processes and programs including privacy, clean energy initiatives inclusive of regulatory requirements and critical infrastructure data, data sharing, and AI.

Q. Do you agree with Staff's assertion that a reduction of AI work would correspondingly reduce scope for AI Governance?

A. No. AI Governance builds a foundational framework and capabilities which apply to AI activities regardless of scale or volume and is critical for trusted and safe AI

enablement. This includes the clear definition of organizational structures, roles and responsibilities across IT and stakeholders, a demand management process for AI project intake, assessment and prioritization, and protocols and standards for AI development, deployment and monitoring, reporting and other program components.

Q. Do you agree with Staff's assertion that reductions in other projects reduce data volumes reduce the need for this program?

A. No. Even if the amount of data decreases (which we do not expect), we still need to undertake basic data governance functions. For example, the Company still needs to populate an enterprise data catalog, facilitate processes and practices to drive quality, secure data, and provide standards, policies and guidance to promote responsible data use. All data assets created and managed by the Company must be governed to continuously drive data maturity for the enterprise and mitigate data-related risks.

Q. Do you agree with Staff's assertion that the identified Risk of No Action will not be mitigated by this program?

A. No. This program promotes good quality data as a foundational practice and will raise the levels of data

accuracy, interoperability, and observability across the Company. It also puts processes in place which aid swift identification and remediation of emerging data issues, such as mismatches between customer records across systems, which are important for continuously maintaining quality.

The proliferation of data across the Company will continue to accelerate, regardless of reductions or delays of projects proposed in this rate case. The amount of technical debt and associated risk will rise, and the overall quality of data across the Company will continue to be at risk of declining. This highlights the need for widespread data governance to mitigate this risk.

Q. Do you agree with Staff's assertion that utilizing the Agile framework should allow the program to scale down and manage funding reductions easily?

A. No. The Company does not agree. Please see the Software Development Lifecycle Section earlier in the rebuttal for the Company's explanation for why Agile framework does not justify a reduction in the Company's budget request.

Integration Technical Obsolescence

Q. Please explain the Integration Technical Obsolescence project.

A. As discussed in our initial testimony (Exhibit __ (IT-9, pp. 89-96)), Integration Technical Obsolescence focuses on replacing the Company's foundational technology for system integrations (Microsoft's BizTalk), which will no longer be supported by Microsoft in early 2030.

Q. What is the scope of the project?

A. With over 1,400 integrations built on this product, the impending end-of-life of the technology necessitates that the Company start to re-architecture its integrations onto a new software platform so that critical data flows between systems remain operational once the support for this product ends.

Q. What is the risk of not upgrading the integrations to the new platform?

A. Failing to undertake this work now will cause the Company to continue to use the existing tool for integrations without support, including essential security updates or necessary patches. This situation poses a significant risk of cyber-attacks and other operational failures, making it imperative to upgrade the platform.

Q. Why are system integrations required?

A. System integrations are required because they enable seamless communication and collaboration between different software applications and platforms. By integrating systems, organizations can streamline workflows, reduce manual data entry, and ensure data consistency across various products.

Q. Please discuss Staff's adjustments to Integration Technical Obsolescence project.

A. Staff recommended a capital budget of $23.380 million, $23.380 million, and $23.380 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $30.060 million. Staff also recommended an O&M budget of $2,121 million, $2,829 million, and $4,226 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $3.933 million.

Q. What was Staff's justification for its recommendations?

A. Staff applies its 70 percent adjustment methodology, claiming that the project includes elements deemed unnecessary for maintaining current operational standards. While Staff acknowledges that the system requires additional capacity to remain functional, Staff claims there is no evidence to support the need for an extensive due diligence review in selecting a future-proof

integration platform. Furthermore, Staff points out that since the scoping for the project is only 25 percent complete, the scope can be reduced to align with the recommended budget. Additionally, Staff claims (pp. 45-46) that this project is an example as to where the work plan does not justify the category designation but then goes on to question not the category but rather the thoroughness of the review for picking a product.

Q. Do you agree with the Staff Panel's rationale for its reduction in relation to maintaining current operational standards?

A. No. This project will pick a new technology for all Company system integrations as the existing technology will no longer be vendor supported as of 2030. Any integration still operating on the outdated platform will lack vendor support and will not receive essential security patches, exposing these integrations to vulnerabilities and potential operational impacts. Although the product will differ, the functionality delivered will remain unchanged, thereby maintaining current operational standards.

Q. Do you agree that there is no evidence to indicate why such an extensive due diligence review is necessary for selecting a replacement for BizTalk?

A. No. It is important to sufficiently evaluate current industry platforms, costs, ease of use, and implementation when selecting products with required technical capabilities and sustainability, avoiding the need to revisit this critical decision for many years. Given the function being performed, critical integrations with throughputs of 5,000 concurrent transactions (and the need to increase that number over time), this is one of the Company's more important system changes. Doing it without appropriate due diligence would be problematic and likely questioned by Staff.

Q. Do you agree with the Staff Panel's assertion that the project's scope can be reduced since only 25 percent of the scoping is complete?

A. No. To decommission Biztalk by 2030, we will need to aggressively work through the integration inventory. A scope reduction means leaving integrations on the expiring BizTalk platform and exposing them to the risks noted above.

Q. Is Staff correct when it claims (pp. 45-46) that this project is an example as to where the work plan does not justify the category designation?

A. No. As explained, the number of integrations and the number of transactions mandates the type of review to be undertaken.

Data Integration Modernization

Q. Please explain the Data Integration Modernization project.

A. As discussed in our initial testimony (Exhibit__(IT-9, pp. 44-53)), Data Integration Modernization is essential for establishing an enterprise data publishing system, known as the Data Distribution Hub. The Data Distribution Hub centralizes and consolidates data from across the Company, making it accessible in a consistent fashion. By making this data readily available, the business can be more anticipatory rather than reactionary in their operations. It is built upon Oracle technology, currently in production, and requires upgrades to stay current. Given the five-year lifespan of the Oracle hardware, it is imperative that we upgrade to the most recent version of the system to maintain performance, reliability, and security, thus safeguarding our data infrastructure.

Q. Why are data integrations required?

A. Data integrations are required to enable the seamless flow of information between different systems and applications,

keeping the data consistent, accurate, and readily accessible. By integrating data, organizations can eliminate silos, reduce redundancy, and improve collaboration across departments. For example, employees can access information without having to manually transfer or duplicate data. Additionally, data integrations support better decision-making by providing a comprehensive view of business metrics and insights, allowing leaders to make informed choices based on real-time data. Overall, data integrations are crucial for optimizing processes, enhancing productivity, and driving strategic growth.

Q. Please discuss Staff's adjustments to Data Integration Modernization budget.

A. Staff uses a three-year linear forecast to recommend a capital budget of $2.823 million, $2.956 million, and $3.089 million for RY1, RY2, and RY3, respectively, decreasing the overall request by $7.632 million. Staff also recommended an O&M budget of $1.576 million, $13,000, and $6,000 for RY1, RY2, and RY3, respectively, decreasing the overall request by $957,000.

Q. What was Staff's justification for its recommendations?

A. Staff bases its reduction on its statement that this project fits in the strategic category rather than the

operationally required category, quoting several sections from the original white paper. Staff states that there is no evidence that the benefits of this project will outweigh the costs. Staff also states that the original white paper makes note of cost savings but the response to DPS-25-596 states there will not be any cost avoidance.

Q. Do you agree with the Staff Panel's rationale for its reduction?

A. No. The Data Distribution Hub delivers essential operational data, including customer billing information and AMI data, to the necessary systems. Without these data feeds, critical efforts such as OPower, Integrated Energy Data Resource, and Customer Distributed Generation will not receive the Company data necessary to support their functions.

Q. Are there additional benefits the Company receives from Data Distribution Hub?

A. Yes. Expanding Data Distribution Hub will allow other systems to use the platform. This expansion will enable greater data accessibility and facilitate the integration of operational data without burdening the source systems, preserving the performance of our operational infrastructure.

Power Platform Governance and CoE

Q. Please explain the Power Platform Governance and CoE program.

A. As discussed in our initial testimony (Exhibit __ (IT-9, pp. 97-102)), the Power Platform Governance and COE program will migrate over 130 automations from Blue Prism to Microsoft Power Automate Desktop. The program aims to establish a Center of Excellence (CoE) to govern the use of various Microsoft's automation tools.

Q. What is the role of the CoE?

A. The COE promotes safety through putting restrictions in place to allow people across the Company to build applications and automations without risk and puts rules in place so that management and support of the applications and automations in the platform are in place. Additionally, the COE works closely with Microsoft to monitor the platform when updates to the platform are made.

Q. Please discuss Staff's adjustments to the Power Platform Governance and CoE program.

A. Staff recommended reducing the project's capital funding to 70% of the proposed $5.657M budget, recommending $1.084 million, $1.437 million, and $1.431 million in RY-1 to RY-

3, respectively. This resulted in a total recommended capital budget of $3.952M, which is a reduction of $1.695M from the initial request.

Q. What was Staff's justification for its recommendations?

A. Staff claims the program contains inadequately justified project elements that the benefits do not significantly outweigh the costs because Staff has approved funding for Law, IT, Customer Operations, Supply Chain, and Emergency Preparedness projects that include automations in their current scope of work, making this effort unnecessary.

Q. Do you agree with Staff's rationale that this effort is unnecessary because Law, IT, Customer Operations, Supply Chain, and Emergency Preparedness have automations included in their current scope of work?

A. No. The projects referenced are different. For example, Customer Operation's project discuses updating the code to optimize it to Power Automate, which is not included in this effort's scope. Law, Supply Chain, Emergency Preparedness, and Finance requests to build net new automations in the Power Platform which is a separate effort. There are two efforts outlined in this whitepaper:

1 1) Migrating the inventory of automations from the current
2 automation platform Blue Prism to Microsoft's Power
3 Platform.

4 2) Setting up a CoE to provide the structure so that others
5 in the organization can safely build applications and
6 automations.

7 Q. Why is a Center of Excellence Required?

8 A. Without a centralized governance model, disparate teams may
9 implement automation in silos, increasing the risk of data
10 breaches, broken applications, and orphaned processes when
11 employees leave the Company. The CoE mitigates these risks
12 by enforcing standards, managing connector usage, and
13 ensuring proper application lifecycle management and
14 ownership.

15 Q. What are the risks of reducing or delaying the scope of
16 work?

17 A. Reducing or delaying the scope of this work would result in
18 unmanaged applications, inconsistent data and processes,
19 and increased exposure to cybersecurity vulnerabilities.
20 Business users would be able to connect to other platforms
21 that would put company information at risk and critical
22 applications and automations would go unmanaged without

dedicated support to fix them. The longer the delay, the more entrenched these risks become, making future remediation more costly and complex.

Concerns and Recommendations from New York City

Q. Did NYC raise any additional concerns, beyond the adjustments recommended to specific projects/programs that are discussed above?

A. Yes. The City Electric Infrastructure Panel raises thematic concerns about the Company's IT Project and programs (pg. 34-35) which include:

- Premature Funding Requests
- Lack of Detailed Cost-Benefit Analyses
- Insufficient Justification for Cost Escalations
- Unclear Scope and Cost Allocation
- Potential Strategic Misalignments

Following a number of program specific adjustments, which are discussed herein, the City makes the following recommendations to the Commission, based on these concerns (pp. 44-45):

- Defer Significant Funding Pending Planning Completion
- Require Robust Cost-Benefit Analyses
- Demand Substantiation for Cost Escalations
- Ensure Granular Cost Allocation and Scope Clarity

- Reconcile Strategic Misalignments
- Justify Scope Beyond Baseline Needs
- Validate Necessity of Large Strategic Programs
- Strengthen FTE Justifications

Q Does the Company agree with the City's concerns and recommendations?

A. No. Proper planning is needed to manage and operate reliable, resilient, and secure IT infrastructure and applications. Detailed estimates and scoping materials may not always be available for all work when we make our rate case filings since the dates of those filings and application end dates are not aligned and some of our work is planned to begin two to three years out from the filing date. For example, even though the GIS platform will not be out of support until 2028, we have included a funding request to address the issue in this rate case. If funding is not secured in the current rate case, the platform is at risk, resulting in potential operational performance, stability and security issues. Scoping and estimate refinement occur over the course of time, but that this does not mean that the amount of scoping and cost estimate information provided at the time of filing is insufficient to properly evaluate the request. As stated earlier in testimony, we leverage our existing platforms, experience,

benchmarking with other utilities and consultants to build estimates and our planning processes apply appropriate contingency levels for the unknowns, similar to any construction project.

Q. What about the two specific projects that the City refers to in their discussion of these issues?

A. Both the Finance and Supply Chain Transformation Project and the Customer Care and Billing upgrade projects will go through a Phase 0. However, as previously stated, rate case filings and application needs don't necessarily align. Funding must be secured to perform necessary work. The spend for each project will be reported to the Public Service Commission on a quarterly basis, where Staff and parties will have the opportunity to review and, as needed, inquire on project details.

Q. Please continue.

A. The Company has provided a robust record of information regarding these initiatives via the project/program white papers that accompanied testimony and throughout the discovery process. We would further note that the Company's funding request reflects our "baseline" needs. We have provided ample information that justifies the scope of work

we are requesting funding for. The City's call for additional substantiation of cost escalations and FTE justifications would seem to suggest that they, and all other parties, have not had ample opportunity to request additional information regarding these topics. This is not the case, as evidenced by the over 2,200 discovery responses that the Company has provided to parties to date in this rate case.

Q. What about the City's issues and recommendations regarding detailed cost benefit analyses?

A. Detailed cost benefits are typically provided for our larger strategic IT initiatives (e.g., eGIS, OMS, Fixed Asset and Tax Accounting Transformation, Supply Chain/Financial Platforms). Furthermore, the Company again notes that cost avoidance/reductions are not a primary driver for most of our IT work and detailed CBAs are not intrinsic to the overall business cases for this work. In addition, many IT projects deliver benefits that are difficult to quantify in financial terms. Some IT investments—especially those in infrastructure, data platforms, or cybersecurity—are foundational. Their benefits accrue over time and across multiple systems or departments. As such, the value may not be realized until a

future event (e.g., a cyberattack is prevented, or a new regulation is met without disruption). These benefits are real but speculative or contingent, making them hard to model with precision.

Q. And finally, what about the strategic misalignments that the City refers to?

A. This appears to mostly be driven by the dynamic tension that exists between on-premises and cloud solutions, and the work needed to safely transition from one to the other, and the City speaks to this issue specifically as it relates to our Mainframe Exit program. Although cloud is a planned initiative, migrations can take years to complete. As such, on-premises data centers and applications need to be supported until applications are re-platformed or retired and this will take time to achieve. In addition, a limited number of applications, such as SCADA, will remain on premise for the foreseeable future and these must also be properly maintained.

Q. Does this conclude the IT Panel’s rebuttal testimony?

A. Yes.